Asia Siyaka Commodities PLC
Annual Report 2023/24

We Believe...



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We Believe...

We believe in being more than just the leading tea and commodity broker in the nation; we believe in fostering a future where those resources are obtained and managed responsibly. This year, our company, as the pioneer of green logistics in the tea trade, continued a journey of transformation, integrating sustainability into the very core of our operations. Our actions therefore were the embodiment of this belief, as we pioneered eco-friendly practices, harnessed renewable energy sources, and nurtured eco systems . Every step we took was measured against the impact it had on our planet and it extended beyond our operations. While building strong partnerships with responsible partners who share our commitment to ethical practices and minimizing environmental impact. We have remained transparent because we believe in fostering trust amongst all our stakeholders.

Our common belief also spearheaded innovation as we actively invested in groundbreaking technologies that minimized waste, optimized energy, and promoted biodiversity across the nation. We work with the industry value chain to make Sri Lankas' tea industry a world leader in sustainable practices.

This report is a testament to the strides we have made in a single year, a testament to what we believe in, and a call to action for a shared future, a future we believe in.

ABOUT THE REPORT

Welcome to the Integrated Annual Report of Asia Siyaka Commodities PLC ("ASC" or "the Company") for the financial year ending 31 March 2024. This report offers a balanced overview of how we strategically leveraged our resources to deliver value for our stakeholders. It also covers the operating environment, corporate governance, risk management, and our outlook for the future.

REPORTING PERIOD

This report covers the financial year ending 31 March 2024, following our annual reporting cycle. It builds on our previous report for the year ended 31 March 2023, with comparative figures included where relevant. No significant changes requiring restatements of financial information occurred during the reporting period.

SCOPE AND BOUNDARY

This report covers the operations of Asia Siyaka Commodities PLC (ASC) and its subsidiaries, Asia Siyaka Warehousing (Pvt) Ltd and Siyaka Produce Brokers (Pvt) Ltd (collectively, the "Group"). Financial information presented on pages 82 to 124 and the narrative report's financial discussion reflect a consolidated view of the Group, unless otherwise stated. Non-financial information throughout the narrative report pertains to the Company.

REPORTING FRAMEWORKS

This report is prepared using the following reporting frameworks.

FINANCIAL REPORTING

- Sri Lanka Financial Reporting Standards
- Sri Lanka Accounting and Auditing Standards Act No.15 of 1995
- Companies Act No 7 of 2007

NARRATIVE REPORTING

- Integrated Reporting Framework of the International Integrated Reporting Council (IIRC)

CORPORATE GOVERNANCE

- Continued Listing Requirements of the Colombo Stock Exchange
- Code of Best Practice on Corporate Governance issued by The Institute of Chartered Accountants of Sri Lanka

FEEDBACK & INQUIRIES

Your feedback is valuable to us. We welcome your comments and suggestions on this Report. Please direct your feedback to info@siyaka.lk

CONNECTIVITY OF INFORMATION

The connectivity of information has been improved by the use of the following icons throughout the report.

THE CAPITALS



Financial Capital


Human and Social Capital


Intellectual Capital


Natural Capital


Social and Relationship Capital


Manufactured Capital

STAKEHOLDERS


Clients- Commodity Producers, Warehousing Clients and Buyers of Estate Supplies


Employees


Buyers


Industry Bodies and Associations


Community



Shareholders

ABOUT US

Asia Siyaka Commodities PLC is a leading market intermediary in Sri Lanka's tea industry, driving innovation and efficiency since 1998. As a licensed broker for tea, rubber, and other commodities, we consistently rank among the top 4 tea brokers in the country by volume and value.

We are renowned for pioneering pragmatic solutions that have transformed Sri Lanka's tea auction process, creating shared value across the entire tea supply chain. Beyond tea, we trade rubber and a diverse range of non-traditional commodities, including spices and desiccated coconut.

Furthermore, we are proud to own and operate the world's only Leeds-certified "Green" tea auction logistics centre, solidifying our position as the leading tea auction logistics provider in Sri Lanka, managing over 24% of all teas stored for the Colombo Tea Auction.

OUR COMPETITIVE EDGE

We continuously invest in building and leveraging our unique knowledge base, fostering a culture of innovation and expertise that drives our competitive advantage and contributes to the industry's progress.

- Skilled and motivated team comprising industry veterans
- Holistic value proposition through an array of services
- Customer-centric and innovative solutions
- Industry thought leadership

OUR PRESENCE ALONG THE VALUE CHAIN

By expanding our services to include warehousing, advisory, and research, we have become a comprehensive and integrated solutions provider in the tea industry.

OUR GROUP STRUCTURE

Asia Siyaka Commodities PLC

100%

(Tea and Non-traditional Produce Broker)

74% of Group Revenue

70% of Group PBT

Asia Siyaka Warehousing (Pvt) Ltd

100%

(Operates state-of-the-art warehouses)

26% of Group Revenue

30% of Group PBT

Siyaka Produce Brokers (Pvt) Ltd

100%

The Company did not engage in any business activities during the year.

ABOUT US CONTD.

Brokerage Services	Warehousing	Advisory	Research
Connects tea manufacturers and buyers, leveraging the strong relationships across the entire supply chain.	Facilitating the smooth flow of Sri Lanka's tea logistics through effective warehousing solutions.	Empowering customers with market intelligence and guidance on factory and estate management.	Proactively researching emerging industry trends and sharing insights with stakeholders.

554
Years of experience

Managing 24%
of Sri Lanka's tea trade

130
Factories

402
Buyers



Our Vision

Being the safe, reliable, value enhancing, exchange facilitator in the commodity broking industry.

Our Mission

Driving commodity broking business with state-of-the-art practices through continual value addition by setting competitive standards in the industry to delight our customers.

Our Core Values

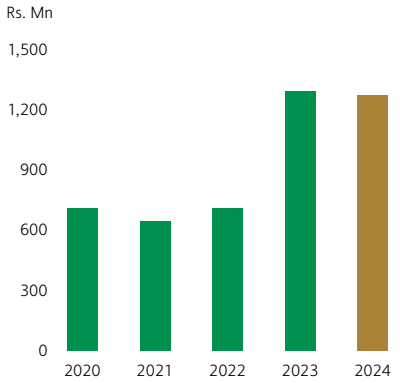
- Ethical
- Integrity
- Good Governance



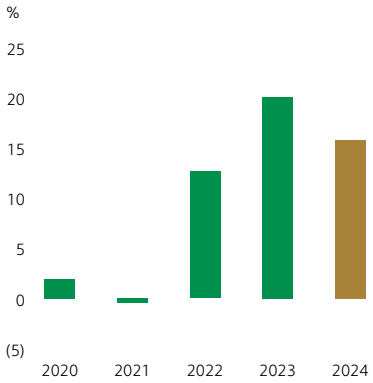
FINANCIAL HIGHLIGHTS

Performance for the Year ended 31st March		2024	2023	Change %
Revenue	Rs.million	1,275.47	1,292.10	(1.29)
Gross Profit	Rs.million	1,273.86	1,290.15	(1.26)
Operating Profit	Rs.million	539.71	651.79	(17.20)
Net Finance Cost	Rs.million	221.74	254.08	(12.73)
Profit Before Tax	Rs.million	317.97	397.71	(20.05)
Income Tax Expense	Rs.million	108.75	144.57	(24.78)
Profit for the period	Rs.million	209.21	253.14	(17.35)
Gross Margin	%	99.87	99.85	0.02
Operating Margin	%	42.31	50.44	(16.12)
Net Profit Margin	%	16.40	19.59	(16.27)
Return on Total Assets	%	5.27	6.32	(16.61)
Financial Position as at the Year ended 31st March				
Total Assets	Rs.million	3,972.34	4,007.74	(0.88)
Long-term -interest-bearing borrowings	Rs.million	-	10.71	(100.00)
Total Equity	Rs.million	1,322.65	1,261.47	4.85
Debt/(Debt+Equity)	Times	0.45	0.50	(10.44)
Debt/Total Assets	Times	0.28	0.31	(9.68)
Current Ratio	Times	1.17	1.12	4.46
Quick Asset Ratio	Times	1.17	1.12	4.46
Market/Shareholder Information as at the Year ended 31st March				
Earning per share	Rs.	0.80	0.97	(17.35)
Net Asset Value per Share	Rs.	5.09	4.85	4.85
Market Price per Share	Rs.	4.20	4.00	5.00
Market Capitalization	Rs.million	1,092.00	1,040.00	5.00
Price Earnings Ratio	Times	5.22	4.11	27.04
Dividend Payout	%	68.35	49.30	38.64
Dividend Yield	%	13.10	12.00	9.13
Value Added				
To Government	Rs.million	122.83	165.56	(25.81)
To Employees	Rs.million	290.18	266.41	8.92
To Providers of Capital	Rs.million	143.00	124.80	14.58
To Providers of funds	Rs.million	228.57	266.79	(14.32)
Retained for reinvestment and future growth	Rs.million	153.95	215.34	(28.51)
Total Value Added	Rs.million	938.53	1,038.90	(9.66)

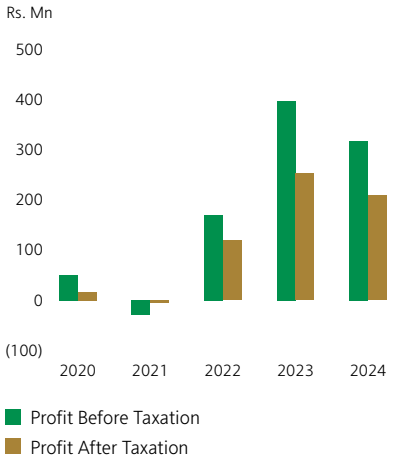
Gross Revenue



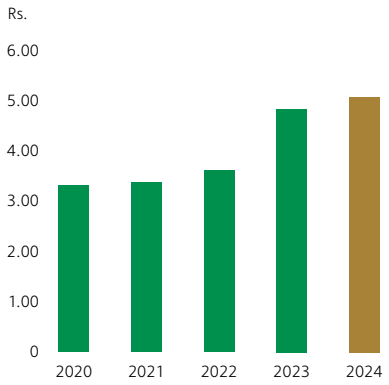
Return on Equity



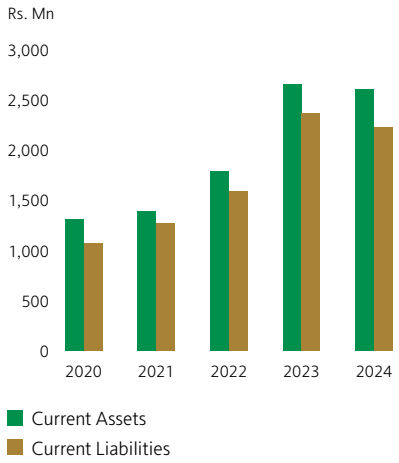
PBT/PAT



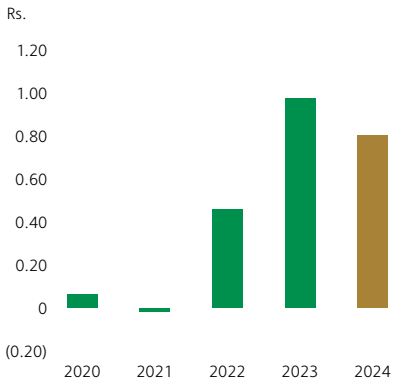
Net Assets Per Share



Current Assets/ Liabilities



Earnings Per Share



NON-FINANCIAL HIGHLIGHTS

		Unit	2023/24	2022/23
Human and Social Capital	Number of employees	No.	97	98
	Investment in employee learning	Rs. Mn.	1.03	0.49
	New recruits	No.	09	08
	Profit per employee	Rs. Mn.	2.16	2.58
	Female participation	%	11	9
	Number of promotions	No.	03	05
Manufactured Capital	Value of PPE	Rs. Mn.	1,219.82	1,265.34
	Capital expenditure	Rs. Mn.	34.11	43.76
	Depreciation and amortization	Rs. Mn.	79.02	77.76
	Capacity utilisation of the warehouse	%	71	86
	Turnover/PPE Ratio	Times	1.05	1.02
Relationship Capital	Number of suppliers	No.	130	98
	Number of tea smallholders	No.	450,000	450,000
	Investment on CSR	Rs. Mn.	4.34	5.41
	New customers acquired	No.	22	05
	Number of customers	No.	402	330
Natural Capital	Renewable energy generation	kwh	280,300	247,576
	Energy consumption	kwh	381,383	293,288
	Water consumption	M3	6,546	4,730
Intellectual Capital	Collective experience	Years	554	541
	Awards and certifications	No.	04	04

We believe
in protecting the
treasures of our island
for the next generation



CHAIRMAN'S MESSAGE

"As a long-standing member of the Sri Lankan tea industry, we are committed to its success and the prosperity of its stakeholders. Accordingly, we engage with industry leaders, promoting and supporting the sector through participation in key organisations and initiatives."

Dear Shareholders,

The past year presented a perfect storm for the Sri Lankan tea industry. The lingering effects of the global pandemic, coupled with the government's ban on chemical fertilisers and the intensifying impact of climate change, created a landscape of unprecedented challenges. Yet, amidst these headwinds, Asiya Siyaka Group demonstrated resilience, achieving a Profit After Tax of Rs. 209.2 Mn. It is my pleasure to present to you our Annual Report and Financial Statements for the year ended 31 March 2024, showcasing our commitment to navigating adversity and driving success.

NAVIGATING A COMPLEX LANDSCAPE

The Sri Lankan tea industry faced a confluence of challenges in 2023, impacting production and revenue. The adverse effects of climate change such as excessive rainfall, followed by periods of extreme heat and dryness, impacted not only tea production but also rubber and other agricultural sectors. These challenges, combined with the appreciation of the Sri Lankan rupee from over Rs. 360 to Rs. 320 against the US Dollar in 2023, led to a reduction in Auction prices and our revenue. While we benefited from the rupee depreciation the previous year, resulting in higher tea prices, the current economic climate impacted our top line.

These challenges were further compounded by external factors beyond our control. Global fuel prices rosa, driving up inflation in many of our key importing markets. Even after the government relaxed its fertiliser policy, the cost of chemical fertilisers rose significantly, making it difficult for both farmers and tea estates to purchase necessary supplies. Shipping disruptions, exacerbated by ongoing conflicts in the Middle East, further increased costs and complicated the movement of goods. At the same time Sanctions on Russia and Iran together with prolonged conflict in the Ukraine issue, affected tea prices globally. In the case of Iran, the 'Tea for Oil debt' deal helped the market later in the year.

PERFORMANCE

Despite navigating a challenging year marked by currency fluctuations and global economic headwinds, the Group achieved a resilient performance, highlighting our strategic diversification. Group revenue, while declining by 2% YoY to Rs. 1,275 Mn. in FY 2023/24, against historic highs the year before, demonstrated the impact of strategic initiatives.

While revenue from core tea operations declined largely due to currency fluctuations, our warehousing operations showcased growth, increasing by 8% to Rs. 359.46 Mn. in FY 2023/24. This reflects the group's efforts to expand our client base beyond the tea sector and drive higher occupancy levels. This strategic diversification will continue to mitigate the impact of weather-related challenges on our core business and ensure long-term stability.

SRI LANKA'S SUSTAINABLE ADVANTAGE IN THE TEA INDUSTRY

Sri Lanka holds a unique position in the global tea industry. We are a world leader in sustainability, compliance, and excellence. Not only do we produce high-quality tea, but we are also committed to responsible practices that benefit the environment, our workers, and our communities.

Sri Lanka has a long history of prioritising sustainability.

We were one of the first countries to achieve ozone-friendly certification for our entire tea industry, demonstrating our commitment to protecting the environment. Meanwhile Sri Lanka's Regional plantation Companies lead the world by being the first to achieve carbon neutral status and other science based certifications.

COLLABORATING FOR SUCCESS

As a long-standing member of the Sri Lankan tea industry, we are committed to its success and the prosperity of its stakeholders. Accordingly, we engage with industry leaders, promoting and supporting the sector through participation in key organisations and initiatives. Our belief in collaboration fuels our efforts to drive positive change and elevate the global standing of Sri Lankan tea.

We were proud to co-chair the Colombo International Tea Convention in July 2024, a significant event returning to Sri Lanka after seven years. This underscores our dedication to promoting Sri Lankan tea on the world stage and fostering international connections within the industry. Our directors and team members are engaged in a wide range of initiatives, both operationally and through policy advocacy, demonstrating our commitment beyond this event. We also chair the CTTA's Ceylon Tea Road Map 2030 initiative.

Our commitment to positive change extends beyond individual initiatives. As the presiding Chairman of Colombo Brokers Association, we led the industry response to the new VAT law implementation which called for accelerated and complex implementation by the value chain.

MANAGING OUR RISKS

One of our key priorities has been to manage risk within our financial operations. We provide loans to clients based on their tea stock held in our warehouses and sometimes for amounts above the level of tea stocks held by us. Market fluctuations in tea prices and other circumstances has led to defaults and write-offs in the past. Recognising this risk, we have implemented a structured approach to lending and changed our policies, practices, and strategies. As a consequence, our unsecured lending exposure has reduced and this should result in reduced bad debts going forward.

STRENGTHENING CORPORATE GOVERNANCE

Ethical conduct and good governance are fundamental to our Company's values and operations. We have a strict code of conduct, with zero tolerance for corruption, which is clearly articulated and communicated to all employees including the Board. We have drafted a code based on SLTB 'conditions as stated in our License and is signed off annually by all executives and directors, ensuring that everyone understands and adheres to the highest standards of compliance.

DIVERSIFYING FOR A SUSTAINABLE FUTURE

We recognise that our reliance on agriculture and climate-sensitive businesses exposes us to certain vulnerabilities. To mitigate these risks, we are pursuing a strategy of diversifying our operations. This includes expanding into non-agricultural sectors and seeking opportunities that are less susceptible to climate change and other external factors. By diversifying our revenue streams and client portfolio, we aim to build a more robust and resilient business model for the future.

APPRECIATION

In closing, I extend my deep gratitude to the Asia Siyaka team, led by our visionary Managing Director, Mr. Anil Cooke, for their unwavering commitment and tireless efforts throughout this challenging year.

I also express my sincere appreciation to our valued shareholders, customers, suppliers, industry stakeholders, and strategic partners for their ongoing support and collaboration. Your trust and partnership are fundamental to our journey.

A special thank you to my esteemed colleagues on the Board, whose invaluable expertise and guidance have been instrumental in our journey.

In the last few months, we saw the departure of two long-standing and respected board members in Mr. Tissa Gunatileke and Mr. Vernon Caldera. Both were stalwarts of the tea industry and stepped down due to their age.

We were delighted to welcome to the Board Ms. Rachini Rajapaksa in August 2024. She serves on several boards, is a qualified Accountant and CFA, and will head our Audit Committee.

As we strive to drive sustainable growth and deliver increased value to our stakeholders, we look forward to a future of growth and success.



C. L. de Silva
Chairman

23 August 2024

MANAGING DIRECTOR'S REVIEW

"Our immediate national priority would be to boost production and return to a level of 300 million kilograms. We must work together to overcome these challenges and secure a sustainable future for Sri Lankan tea."

It is my pleasure to present a synopsis of the Group's performance during the financial year ended 31 March 2024. Despite navigating a challenging year marked by currency fluctuations, inflation, and rising energy costs, the Group demonstrated resilience and strategic agility, achieving a Profit After Tax of Rs. 209.2 Mn.

SHIFTING MARKET DYNAMICS OF SRI LANKA'S TEA INDUSTRY

While the Sri Lankan tea industry experienced mixed results in 2023, with overall production reaching 256.04 million kilograms – a 4.20-million-kilogram increase compared to 2022, our immediate national priority was to boost production and return to a level of 300 million kilograms. We must work together to overcome these challenges and secure a sustainable future for Sri Lankan tea.

Following a continually strengthening SLR and correction in the market; Auction prices declined continually. Prices realized in the previous year were at historic highs and the YOY drop directly impacted our top line.

Cumulative tea exports declined by 8.28 million kilograms to 241.91 million kilograms. Despite this, the FOB value for tea exports reached Rs. 1,770.44 million, reflecting an increase of Rs. 127.33 million compared to 2022, indicating a positive trend in value addition.

The tea export market saw significant shifts in 2023. While Iraq remained the top importer of Ceylon Tea, Türkiye emerged as the second largest importer, surpassing Russia, and the UAE. China moved up to fifth position, while Iran experienced a significant decline in imports. These shifts highlight the evolving dynamics of the global tea market and underscore the importance of strategic adaptability.

DIVERSIFICATION AND A SUSTAINABLE FUTURE

During the year under review, we continued to strategically diversify our client portfolio in the logistics space, reducing our dependence on the tea sector. While the economic slowdown impacted the logistics business, with a decline in imports and exports, we are proactively seeking opportunities outside of agriculture. This strategy positions us to mitigate the impact of climate change and government policies that may affect agriculture-related businesses. We have already achieved success in attracting non-agricultural clients, and we are confident in the growth potential of this segment.

On the sustainability front, to reduce our carbon footprint, we invested Rs. 34 Mn in solar panels, utilizing the roof space of our warehouses. We are exploring opportunities to expand this initiative, but current uncertainties regarding government policy on solar energy rates have delayed our expansion plans. Despite these challenges, we have substantial roof space available, and we are committed to expanding our solar energy production. We see great potential to generate up to two megawatts of solar power, which would significantly contribute to our sustainability goals.

NAVIGATING ECONOMIC CHALLENGES AND ACHIEVING PROFITABILITY

Despite navigating a challenging year marked by currency fluctuations, inflation, and rising energy costs, the Group achieved a resilient performance, showcasing its strategic diversification and commitment to cost management. Group revenue declined by 2% YoY to Rs. 1,275 Mn. in FY 2023/24, primarily due to exchange rate volatility. However, our strategic diversification initiatives bore results, with revenue from warehousing operations increasing by 8%, reflecting

our successful efforts to expand our client base beyond the tea sector and drive higher occupancy levels. Moreover, we implemented cost management initiatives, reducing the direct cost of sales by 17.17% YoY, despite inflationary pressures. While administrative expenses rose by 17.14% representing 49.76% of revenue in FY 2023/24 compared to 41.44% in FY 2022/23, these increases demonstrate our effective cost control measures. Moreover, even though we recorded a 17.20% YoY decrease in operating profit, attributed mainly to the increase in administrative costs, the Group recorded a profit after tax of Rs. 209.21 Mn. for FY 2023/24.

As of 31 March 2024, the Group's total assets reflected a decline of 0.88% YoY, demonstrating our continued investment in growth. We maintain a balanced capital structure, funding 66.70% of our total assets through liabilities during the financial year. Total liabilities decreased to Rs. 2,649.70 Mn. as of 31 March 2024, primarily due to a reduction in short-term borrowings.

BUILDING A SKILLED AND AGILE WORKFORCE

We recognise that our people are our greatest asset, and we are committed to attracting and developing top talent. We have strengthened our team by recruiting key individuals who have broadened our expertise and enhanced our ability to deliver exceptional service.

However, we are also facing the challenge of talent loss due to migration, a trend that impacts many businesses. We are addressing this challenge by investing in employee development, both in terms of specialised skills and a broader knowledge base, particularly in technology. This proactive approach enables us to build a more resilient and agile workforce, reducing our reliance on specialists and fostering a culture of continuous learning.

OUR COMMITMENT TO INDUSTRY PROGRESS

Believing in a proactive approach to shaping the future of the industry, we are participants in the Ceylon Tea Roadmap, a strategic initiative of the Tea Association that brings together stakeholders from across the sector to develop a shared vision for the future of Sri Lankan tea. Leading this initiative since its inception, we have been instrumental in fostering collaboration and driving impactful policy change.

We are also proud of our role in modernising the tea auction system. Our team spearheaded the transition from a traditional outcry system to a modern, screen-based platform, a testament to our commitment to leveraging technology for greater efficiency and transparency in the tea market. This innovative system, adopted by the Kenyan tea industry, serves as a model for modernisation across the global tea landscape.

We are confident that our diversification strategy and sustainability focus coupled with the dedication of our exceptional team, will enable us to navigate challenges and build a resilient tea industry. Our commitment to good governance, and sustainable practices will pave the way for a positive future for our organisation and our stakeholders.

THANK YOU!

The progress we have achieved is a testament to the collective vision and dedication of our team. I express my sincere gratitude to our esteemed Board of Directors for their unwavering support and guidance throughout this journey. I am also deeply grateful to every member of the Asia Siyaka team, for their hard work, resilience, and commitment to excellence. Their dedication is the foundation of our success. I extend our appreciation to our valued customers, buyers, regulatory authorities, government partners, and all other stakeholders for their continued belief in us. Together, we will continue to navigate the challenges ahead, building a resilient industry, and deliver increased value to our stakeholders.



A. R. Cooke
Managing Director

23 August 2024

BOARD OF DIRECTORS

Mr. Chandana L. de Silva
Chairman

Board Committees

- Member of Board Audit Committee
- Chairman of Remuneration Committee
- Chairman of Nominations and Governance Committee
- Member of Related Party Transaction Review Committee

Skills and Expertise

Mr. de Silva has over 40 years of managerial and financial experience acquired in the United Kingdom and in Sri Lanka.

He is a Fellow of the Institute of Chartered Accountants in England and Wales and in Sri Lanka.

He also holds a Bachelor of Science in Mathematics and Management from the University of London, UK.

Positions held in Other Companies

- Chief Financial Officer for Europe, a Nasdaq quoted company, Level (3) Communications.
- Chief Executive Officer of the MAS Investments Division

Other Current Appointments

- Chairman - Janashakthi Limited
- Director - First Capital Limited
- Director - First Capital Asset Management
- Director - Eureka Technologies (Pvt) Limited
- Director - 24/7 Techies (Pvt) Limited
- Director - Centre for Policy Alternatives

Mr. Anil R. Cooke
Managing Director

Skills and Expertise

Mr. Cooke has a wealth of experience counting 46 years as a Broker, Auctioneer, Tea Taster and Valuer, with nearly 21 years of his work experience gained at Forbes and Walker Ltd.

He is a member of the Chartered Institute of Marketing (UK)

Positions held in Other Companies

- Director - Forbes & Walker Ltd, Forbes & Walker Tea Brokers (Pvt) Ltd and Forbes Ceylon Ltd
- Founder Director - Siyaka (Pvt) Limited
- Founder Deputy Chief Executive Officer - Asia Siyaka Commodities (Pvt) Ltd.
- Director - Sri Lanka Tea Board.

Other Current Appointments

- Director - Colombo Brokers' Association (CBA)
- Committee member - Colombo Tea Traders' Association (CTTA)
- Member of the Promotion and Marketing Committee of the Sri Lanka Tea Board and serves on committees of other marketing initiatives.
- Chairman - Colombo Tea Traders' Association 2030 Road Map initiative
- Member of the CTTA Steering Committee which develops the E-Auction Platform and its Governess Committee.
- Managing Director Asia Siyaka Warehousing (Pvt) Ltd; and Siyaka Produce Brokers (Pvt) Ltd.

Mr. Dhammike J. Wedande
Executive Director

Skills and Expertise

Mr. Wedande has over 50 years of experience as an Auctioneer, Broker and Valuer in tea, rubber, coconut products and spices, initially at Forbes and Walker Ltd

Positions held in Other Companies

- Chief Executive Officer - Centreline Tea Brokers, Mombasa, Kenya, 2000-2002
- Founder Director - Siyaka (Pvt) Ltd and Founder Senior Vice President of Asia Siyaka Commodities (Pvt) Ltd

Other Current Appointments

- Director of Asia Siyaka Warehousing (Pvt) Ltd; and Siyaka Produce Brokers (Pvt) Ltd.

Mr. Senaka G. Amarasuriya
Executive Director

Skills and Expertise

Mr. Amarasuriya commenced his career in tea at Bartleet & Company Ltd in the year 1980 up to 1986 where he was actively involved in the Broking operations. Thereafter, Mr. Amarasuriya worked with two leading Tea Export organisations i.e. M. S. Hebtulabhoy & Company Ltd and Stassen Exports Ltd gaining significant exposure in Tea Trading and Exports.

Positions held in Other Companies

- Director - Forbes & Walker Tea Brokers (Pvt) Ltd
- Director - Lanka Commodity Brokers Ltd

Other Current Appointments

- Director/CEO-Lanka Commodity Brokers Ltd

Mr. Yashojith Kuruneru
Executive Director

Skills and Expertise

Mr. Kuruneru counts over 35 years experience, 05 years estate management and 30 years in tea broking, Tea Tasting and as a Valuer. He specializes in Tea Manufacturing advices with regular technical advisory visits to Tea Estates and Factories.

Positions held in Other Companies

- Founder Director - Siyaka (Pvt) Ltd
- Founder Vice President -Asia Siyaka Commodities (Pvt) Ltd

Other Current Appointments

- Currently he serves as a resource person to the National Institute of Plantation Management
- Chief Executive Officer of Asia Siyaka Commodities PLC

Mr. R. Charmara Dissanayake
Executive Director

Skills and Expertise

Mr. Dissanayake has 37 years of experience in Tea Broking with deep expertise in Tea Grading / Sampling, Tasting and Tea Logistics. He also serves as an Advisor on Orthodox Leafy Tea Manufacture.

He holds a MSc in Logistics and Supply Chain Management from the Birmingham City University in the United Kingdom.

Positions held in Other Companies

- Founder Member of Asia Siyaka Commodities (Pvt) Ltd and was appointed Vice President in 2002, Senior Vice President in 2013 and Chief Operating Officer in 2022.

Other Current Appointments

- He serves as a Consultant to Asian Development Bank (ADB) on Tea Value Chain Development projects
- Faculty Member of the National Institute of Plantation Management (NIPM)
- Visiting Lecturer, Australian Tea Masters Ceylon.
- Honorary Resource person at the Universities of Peradeniya, Uva Wellassa and Wayamba

Mr. J. Naren Dambawinne
Non - Executive Director

Skills and Expertise

Mr. Dambawinne has an excellent knowledge of tea and is responsible for grading, tasting, auctioning and marketing of tea. He counts over 45 years in the tea trade.

Positions held in Other Companies

- Director – Tea at Mercantile Brokers Ltd
- Managing Director -Mercantile Produce Brokers (Pvt) Ltd
- Convener of the Tea Sub Committee in 1988/89, 2002/03 and the Broker Representative on the Committee of the CTTA in 1989, 2007/2008 and 2019/2020.
- A Surveyor for export of tea, appointed by the Ceylon Chamber of Commerce
- Member of the Tea Council in 1996
- Deputy Chairman - Colombo Brokers Association for 2004/2005 and 2005/2006
- Chairman - Colombo Brokers Association for 2007/2008, 2019/2020 and 2024/2025
- Chairman - Tea Association of Sri Lanka for 2007/2008
- Director - Sri Lanka Tea Board 2004/2005, 2007/2008, 2019/2020 and 2024/2025
- A member of the Committee of The Ceylon Chamber of Commerce 2004/2005, 2007/2008, 2011/2012, 2012/2013, 2015/2016 & 2016/2017
- Served on the Committee related to Plantations Sector appointed by the Hon. Minister of Public Enterprise Development in 2017/2018

Other Current Appointments

- Managing Director of Lanka Commodity Brokers Limited.

BOARD OF DIRECTORS CONTD.

Mr. Anandh Vaithylingam
Non - Executive Director

Board Committees

- Member of Board Audit Committee
- Member of Remuneration Committee
- Member of Nominations and Governance Committee
- Chairman of Related Party Transaction Review Committee

Skills and Expertise

With an impressive career spanning over 31 years, Mr. Vaithylingam has garnered extensive experience across leading companies in Sri Lanka and India.

His versatile expertise encompasses plantation management, exports, and shipping/logistics.

He is currently based in the United Kingdom.

Positions held in Other Companies

- Director - Sunshine Tea
- Head of Plantations at Hatton Plantations PLC from 2017 to 2022 during its integration into Watawala Plantations and subsequent inclusion in the esteemed G&G Group of Companies.

Mr. Reyhan Morris
Non - Executive Director

Board Committees

- Member of Board Audit Committee
- Member of Remuneration Committee
- Member of Nominations and Governance Committee
- Member of Related Party Transaction Review Committee

Positions held in Other Companies

- Managing Director, Belluna Lanka Pvt Ltd.

Other Current Appointments

- Director - Galle Heritage Lanka (Private) Limited
- Director - Marine Drive Hotels (Private) Limited
- Director - Miriandhoo Maldives Resorts (Private) Limited.
- Director - Lake Leisure (Private) Ltd
- Director - Granbell Property Management (Private) Limited

Ms. Rachini Rajapaksa
Non - Executive Director

Board Committees

- Chairperson of Board Audit Committee
- Member of Related Party Transaction Review Committee

Skills and Expertise

Ms. Rajapaksa, a Fellow Member of the Chartered Institute of Management Accountants, UK and a Chartered Financial Analyst of the CFA Institute, USA, counts over 30 years of experience in the fields of fund management and finance.

Positions held in Other Companies

- Director - CFA Society Sri Lanka
- Chief Financial Officer - IBM Sri Lanka & Bangladesh
- Senior Fund Manager - Ceybank Asset Management Ltd
- Audit Trainee – Pricewaterhouse Coopers

Other Current Appointments

- Independent Non-Executive Director - Nations Trust Bank PLC
- Director - Sri Lanka Accounting and Auding Standards Monitoring Board
- Independent Non-Executive Director - First Capital Holdings Ltd
- Advisory Committee Member - Tennyson & Vinitha Rodrigo Trust

CORPORATE MANAGEMENT TEAM

Corporate Management Team	
Anil Cooke	Managing Director
Yashojith Kuruneru	Director/Chief Executive Officer
Charmara Dissanayake	Director/Chief Operations Officer
Dhammike Wedande	Director/Consultant
Marketing and Consultancy	
Shashike Silva	Senior Vice President
Kirk Wijesekera	Senior Vice President- High & Medium
Deepal Jayamanne	Consultant-Tea
Praveen Weerasinghe	Senior Manager- Low Grown
Anjula de Silva	Manager- High & Medium
Hiran Premawardhana	Assistant Manager-Low Grown
Mohammed Himas	Assistant Manager- Low Grown
Nipuna Fernando	Assistant Manager- High & Medium
Manufacturing Advisory Service	
Avantha Nishshanka	Manager-Technical Low Grown
Corporate and Client Finance	
Roshantha Munasinghe	Senior Vice President-Finance
Champika Withanage	Manager-Finance
Pramitha Perera	Assistant Manager-Client Finance
Jagath Wijerathne	Assistant Manager-Client Finance
Tharindu Silva	Assistant Manager-Finance
Administration and Human Resources	
Ganga Udeni	Senior Manager-Human Resources
Warehousing / IT Services	
Emil Diaz	Director-Warehousing
Prabath Kasthuriarachchi	Assistant Manager-Warehousing
Chaminda Wijesooriya	Assistant Manager-Warehousing
Viraj Liyanage	System Administrator
Other Commodities	
Lakshman Kodytuakku	Consultant-Other Commodities
Lalith Perera	Vice President-Rubber Division

BUSINESS MODEL

Our value creation model illustrates how we generate positive and lasting impacts for our stakeholders utilising six forms of capitals.

Our Inputs

Financial Capital
(Refer to pages 28 to 30)
- Total Equity: Rs. 1.32 Bn.
- Borrowings: Rs. 1.06 Bn.

Human Capital
(Refer to pages 31 to 32)
- Employees 97
- Training and development
- Health and well-being

Manufactured Capital
(Refer to pages 35 to 36)
- State of the art warehousing facilities
- Other physical assets
- Investment in CAPEX: Rs. 34.11 Mn

Intellectual Capital
(Refer to pages 33 to 34)
- Investment in robust systems and processes
- Organisational tacit knowledge and industry specific knowledge
- Brand reputation

Social and Relationship Capital
(Refer to pages 39 to 40)

Relationship with:
- 130 estates, factories, and mills
- 402 traders and exporters
- Government and industry bodies

Natural Capital
(Refer to pages 37 to 38)
- Water consumption: 6,546 M3
- Energy consumption: 381,383 kWh

Our Core Activities and Enablers

Our Vision

Strategic Focus Areas

- Diversification
- Client Management
- Operational Efficiencies
- Talent Management

Key Processes and Activities

Brokerage → Warehousing → Funding → Research → Advisory

Impacts from the Operating Environment

- Commodity Price Movements
- Geopolitical Developments
- Macro-Economic Developments
- Government Policies
- Implications of Climate Change

Supported by

- Corporate Governance (Refer to page 41)
- Risk Management (Refer to page 57)

Our Outputs	Our Outcomes	Stakeholders
Financial Capital ◈ Rs. 1.28 Bn. Revenue ◈ Rs. 552.80 Mn. EBIT ◈ Rs. 122.82 Mn. taxes paid to the government	◈ Revenue increased by 2% YoY	Shareholders Government & Regulators
Human Capital ◈ 120 hours of training per employee ◈ Rs. 290.18 Mn. remuneration and benefits ◈ 99% retention rate ◈ Rs. 13.15 Mn. Revenue per Employee ◈ Rs. 2.16 Mn. Profit per Employee	◈ Enhanced employee productivity ◈ Safe and dynamic work environment ◈ Opportunities for skills and career development ◈ Competitive rewards and opportunities	Employees
Manufactured Capital ◈ Environmentally friendly business practices ◈ Automation of processes	◈ High-quality products ◈ Improved productivity ◈ Enhanced efficiency	Buyers
Intellectual Capital ◈ 4 awards and certifications ◈ 554 years of collective experience	◈ Increased tacit knowledge	Industry Bodies and Associations Employees
Relationship Capital ◈ Rs. 4.34 Mn. investment in CSR ◈ Rs.57 Bn. paid to suppliers ◈ 22 new suppliers ◈ 72 new customers	◈ Offering a unique and multi-faceted value proposition to customers ◈ Sustainable supply chain ◈ Empowered communities	Clients Buyers Community
Natural Capital ◈ 280,300 kwh renewable energy generated ◈ Paper saving	◈ Environmentally friendly business practices ◈ Automation of processes	Industry Bodies and Associations

STAKEHOLDER ENGAGEMENT

THE STAKEHOLDER ENGAGEMENT PROCESS OF THE COMPANY

As a leading tea broker, our value transformation process revolves around creating value for a broad range of stakeholder groups who are impacted by our actions. ASC identifies and prioritizes stakeholders who have the most significant impact on the value creation process and those who are affected most by our activities through a robust stakeholder engagement process. We engage with these stakeholder groups in order to understand and effectively respond to their concerns and expectations.

Stakeholder	Engagement Channel	Frequency of Engagement	Key Concerns Raised	Our Response
 **Employees**	◈ Open door policy ◈ Annual performance appraisals ◈ Multi-level staff meetings ◈ Work-life balance initiatives	Regularly scheduled interactions and updates	◈ Remuneration and Other benefits ◈ Safe and conducive workplace ◈ Training and development ◈ Job and financial security ◈ Work practices and logistics ◈ Dignity of labour ◈ Work-life balance	◈ Strategic management of HR processes ◈ Supporting employees during the economic crisis with continued emphasis on job security
 **Clients- Commodity Producers, Warehousing Clients and Buyers of Estate Suppliers**	◈ Weekly and quarterly performance reviews ◈ Research reports ◈ Site visits ◈ One-to-one engagement	Varied based on business cycle and client needs	◈ Ensuring secure supply ◈ Sustainable demand ◈ Fair pricing ◈ Ease of transacting ◈ Warehousing services ◈ System efficiencies	◈ Efforts to support customers during the economic crisis through ongoing engagement, financial support and sharing market insights
 **Shareholders**	◈ Financial Statements and quarterly financial results ◈ Annual General Meeting ◈ Annual Report ◈ CSE announcements ◈ Periodic press releases	Periodic updates and formal meetings	◈ Implications of the country's economic crisis on performance and stability ◈ Adequate financial returns commensurate with the risk undertaken ◈ Environment and social impact ◈ Share price and liquidity ◈ Business continuity and growth prospects ◈ Governance and risk management practices	◈ Strategic focus on earnings diversification ◈ Ongoing engagement with shareholders ◈ Improved productivity and cost efficiencies ◈ Transparency on communications on the implications of economic vulnerabilities

Stakeholder	Engagement Channel	Frequency of Engagement	Key Concerns Raised	Our Response
 **Buyers**	◈ Weekly engagement at tea auctions ◈ Face to face meetings ◈ Research reports and site visits	Regular communication to manage relationships	◈ Security of supply ◈ High quality produce ◈ Transparent and fair pricing ◈ Ease of transactions ◈ Efficient logistics	◈ Continuously support buyer requirements by facilitating access to high-quality produce
 **Government**	◈ Quarterly performance reviews ◈ Representation at industry associations ◈ Participation in economic and industry forums ◈ Contributions to policy making	As required by regulations and policy changes	◈ Compliance to all legal and statutory regulations ◈ Employment opportunities ◈ Community engagement initiatives	◈ Timely payment of all taxes and dues ◈ Zero instances of non-compliance with regulations ◈ Proactive role in creating a conducive industry environment
 **Community**	◈ Internship and training opportunities ◈ Seminars for tea smallholders ◈ Site visits ◈ Donations and other forms of support for schools in estate communities	Regular involvement in community initiatives and updates	◈ Internship programs ◈ Opportunities for skill development ◈ Employment opportunities ◈ Community engagement initiatives	◈ Operating responsibly and sustainably ◈ Specific CSR initiatives
 **Industry Bodies and Associations**	◈ Regular meetings ◈ Industry forums ◈ Promotional campaigns	Active involvement in industry events and initiatives	◈ Creating a conducive industry environment through meaningful engagement for long-term sustainability ◈ Contribution to policy making and planning	◈ Collaboration with industry stakeholders to enhance the digital auction and bring value addition to the industry

DEFINING MATERIAL ISSUES

Material matters are critical to our success in achieving our strategic goals and creating value over the short, medium, and long term. These issues are of importance to our stakeholders and serve as foundational elements in our strategic planning and risk management processes.

OUR MATERIAL TOPICS

Material Topic	Relevant Strategic Priority	2023/24 Ranking	2022/23 Ranking	Change in Ranking (YoY)
Macro-economic Stress The country's macroeconomic vulnerabilities pose significant risks to the Group's financial performance in the near to medium term.	◈ Diversification ◈ Operational Efficiency	01	01	-
Sustainable Growth in Earnings Sustainable earnings growth is key to delivering long-term value for our shareholders.	◈ Diversification ◈ Client Management	02	02	-
Innovation and Diversification Innovation fuels our competitive edge, while revenue diversification ensures stable cash flow amidst the inherent volatility of the plantation sector.	◈ Diversification	03	03	-
Client Debt Management Has become increasingly important considering the financial challenges faced by our clients.	◈ Client Management	04	04	-
Shortage of Fertilizer The fertilizer shortage significantly impacted both the quantity and quality of tea produced in Sri Lanka.	◈ Diversification	05	05	-
Government Policy Monetary and fiscal policy changes directly affect our operations and financial performance.	◈ Engagement with policy makers	06	06	-
Commodity Prices Our margins are susceptible to fluctuations in global tea prices.	◈ Research	07	07	-
Exchange Rate Volatilities Fluctuations in the exchange rate directly affect our profitability, as our tea buyers primarily rely on exports.	◈ Diversification	08	08	-
Process Efficiency Crucial for both customer satisfaction and cost optimisation, especially considering rising operational expenses.	◈ Operational Efficiency	09	10	Increased
Research Capabilities Identifying emerging market trends and sharing insights across the value chain is a key driver of our competitive advantage.	◈ New software	10	11	Increased
Community Relations Nurturing strong relationships with the communities where we operate is essential for maintaining our social license to operate.	◈ Engagement with Company and association initiatives	11	12	Increased
Employee Health and Safety The pandemic underscored the importance of employee safety, prompting a fundamental shift in our priorities.	◈ Talent Management	12	09	Decreased

STRATEGIC PRIORITIES AND RESOURCE ALLOCATION

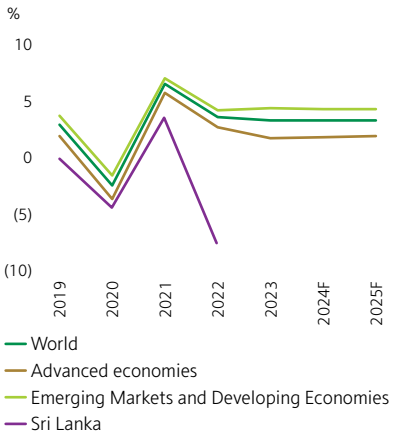
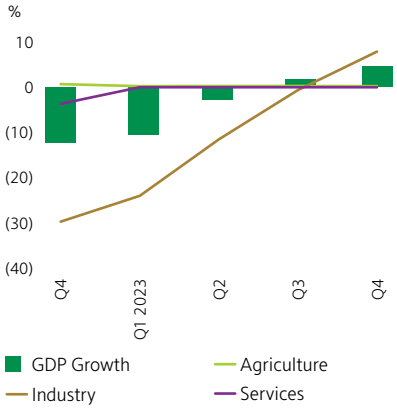
Our corporate strategy is formulated by carefully considering emerging opportunities, potential risks and challenges, as well as the needs of our diverse stakeholders and our impact on society and the environment. We focus on creating multi-stakeholder value across our business operations. This approach, coupled with a focus on our long-term strategic pillars, has enabled us to demonstrate resilience in the face of unprecedented volatility.

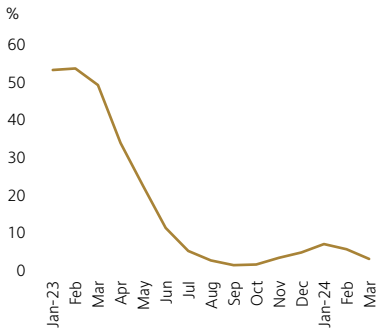
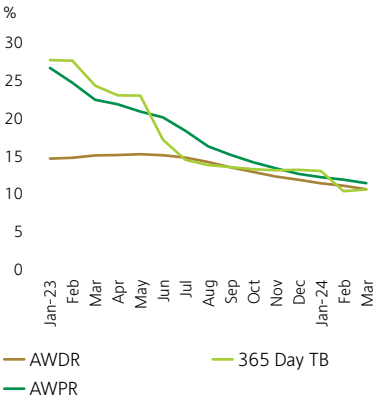
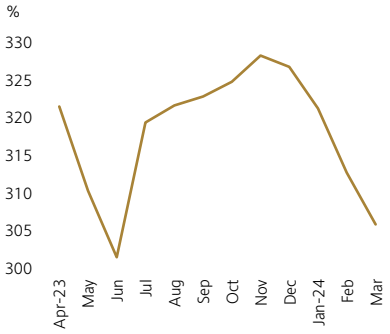
Through a thorough review this year, we remain confident that our strategy remains relevant and aligned with our long-term targets and Vision. We are committed to continually adapting and refining our strategy to ensure its ongoing effectiveness in navigating future challenges and achieving sustainable success.

	Diversification	Client Management	Operational Efficiencies	Talent Management
Objective	Diversification of revenue sources and customers, particularly in our warehousing operations, to optimise space utilisation and drive profitability.	Managing client advances, to optimise risk-return, with a focus on the long-term sustainability of our customers.	Driving cost and process efficiencies through ongoing investments in technology.	Continual enhancing our Employee Value Proposition by investing in training and development, fostering employee engagement, and implementing robust talent management and succession planning strategies, ultimately aiming to create a highly engaged and empowered workforce.
Key Initiatives/ Highlights for FY 23/24	◈ 8% Revenue growth in the warehouse business ◈ Expanding 3PL operations	◈ Acquisition of twenty-two new customers	◈ Introduction of a new lending policy to reduce bad debts. ◈ 71% capacity utilisation at Warehouse	◈ Rs. 2.15 Mn. Profit per Employee ◈ 99% Employee Retention Rate
Resource Allocation	◈ **Rs. 24 Mn.** CAPEX Investment in the warehouse ◈ **Rs. 34 Mn.** Solar energy investment	◈ **Rs. 1.50 Bn.** client advances	◈ **Rs. 2.75 Mn.** CAPEX investment in IT	◈ **Rs. 290.18 Mn.** Payments to employees ◈ **Rs. 1.03 Mn.** Training investment
Future Focus	◈ Continual investments in physical and digital infrastructure, to diversify our offering	◈ Focus on innovation and collaboration, and deliver increased customer value	◈ Promote sustainable practices across the tea value chain, investment in technology and employee training to drive effectiveness	◈ Adjust salaries and employee benefits to market rates

MANAGEMENT DISCUSSION AND ANALYSIS

OPERATING CONTEXT

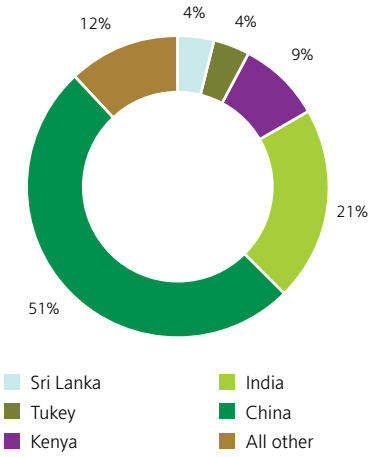
	Global growth	Sri Lankan economy	
Overview	**GDP Growth**  *Source: WEO April 2023* Sri Lanka: Data and projections for 2023–29 is excluded from publication owing to ongoing discussions on sovereign debt restructuring. The International Monetary Fund's (IMF) January 2024 update of its World Economic Outlook (WEO) indicates a deceleration in global growth, with estimates dropping from 3.5% in 2022 to 3.1% in 2023. Global growth is expected to hold steady at approximately 3.1% in 2024, followed by a slight acceleration to 3.2% in 2025. This positive trajectory is attributed to a rebound in several major economies, particularly the United States, and fiscal stimulus measures implemented in China.	**GDP Growth**  Following a period of rapid disinflation, inflation subsided to low single digits by the end of 2023. However, a temporary spike in inflation was observed in early 2024, primarily attributed to the implementation of Value Added Tax (VAT) adjustments in January 2024.	
Impact on the Group	A robust global economic climate, characterised by increased growth, has the potential to drive higher disposable incomes and consumer spending. This trend could translate into elevated demand for premium and speciality tea products, representing a growth opportunity for the tea industry.	Elevated inflation presents challenges for the tea industry, potentially leading to higher costs throughout the supply chain. This could impact a company's raw material procurement, transportation, storage expenses and demand for wage increase. Furthermore, adapting to Value-Added Tax (VAT) regulations changes may necessitate administrative and operational adjustments for tea brokering firms, requiring careful planning and resource allocation.	

	Inflation	Interest rates	External sector and exchange rate
	Inflation- NCPI 	**Interest Rates** 	**Monthly Average Spot Exchange Rate** 
	Inflation, which peaked at a historically high level in September 2022, underwent a rapid disinflationary period, reaching low single-digit levels by the end of 2023. This decline was primarily driven by the easing of supply chain bottlenecks, cost-reflective fuel price adjustments aligned with the normalisation of global crude oil prices, and the positive impact of the appreciating exchange rate. Additionally, the frequent adjustments in electricity tariffs, implemented to reflect true costs, influenced inflation dynamics during 2023. However, since September 2023, inflation has trended upward towards the targeted level, driven by energy price increases, particularly electricity tariff hikes. Weather-related disruptions to the agricultural sector also contributed to this upward movement in inflation.	The Central Bank embarked on a monetary policy easing cycle in June 2023, resulting in a cumulative reduction of 700 basis points in policy interest rates. This easing included a reduction of 650 basis points in 2023, followed by a further 50 basis points in 2024.	Sri Lanka transitioned to a flexible exchange rate regime throughout many months of 2023. On March 7, 2023, the Central Bank ceased its daily guidance to the foreign exchange market, previously implemented in May 2022, reflecting improved liquidity in the domestic market. This shift towards a more flexible rate allowed market forces to play a greater role in determining the exchange rate. The adoption of this policy fostered increased market confidence, leading to substantial net inflows into the domestic foreign exchange market. As a result, the Sri Lankan Rupee appreciated against the US Dollar by 12.1% in 2023, and by a further 7.6% by the end of March 2024, aligning with underlying market fundamentals.
	While temporary, higher inflation can negatively impact consumer spending power. This could potentially influence demand for higher-priced speciality teas, leading to a shift in consumer preferences towards more affordable options.	Lower interest rates offer several benefits for businesses, including the tea industry. Reduced borrowing costs make financing more affordable for operational needs or expansion projects. This can provide companies with greater flexibility to invest in growth initiatives. Furthermore, lower interest rates can stimulate consumer spending by making loans and mortgages more attractive. This potential increase in consumer spending can benefit the tea industry by boosting demand for speciality teas and related products.	Fluctuations in exchange rates can impact our company's profitability, as revenue earned in foreign currencies from tea exports may translate into lower local currency earnings. However, the stability and predictability inherent in a flexible exchange rate regime provide businesses with greater certainty for long-term financial planning and investment decisions. This enhanced clarity allows for more informed strategic choices.

MANAGEMENT DISCUSSION AND ANALYSIS CONTD.

Global Tea Market

Global Tea Production -2023



Source: Firsdtea

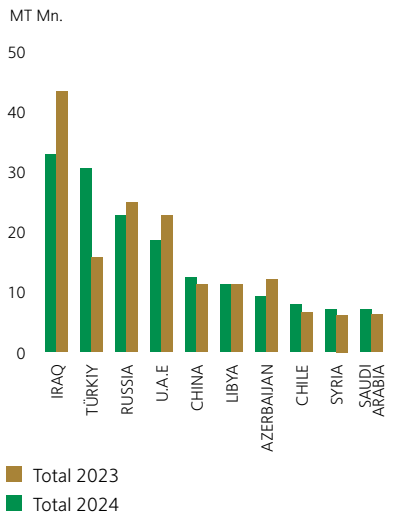
Global tea production increased by 3.2% in 2023, to reach 6.6 million metric tons. China, the world's leading producer, accounted for over half (50.6%) of the global output, producing 3.3 million metric tons, a 5% increase from the previous year. India followed closely with 20.7% of global production, up by 2%. Kenya secured third place with 8.6% of global production. These three top producers represent 80% of the world's tea production.

Despite recent challenges, Sri Lanka's tea production rose by 1.8%, while Argentina saw a 4.5% decline. Given the continued production increases from the major tea producers, global tea production is expected to continue rising in the coming years.

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Tea Exports

Top Tea Importers from Sri Lanka



Sri Lanka's tea exports in 2023 achieved a record high in terms of revenue, reaching Rs. 428.29 Bn. a 4% increase (Rs. 17.24 Bn.) compared to the previous year. This translates to $1.31 Bn. in US dollar terms, surpassing the $1.26 Bn. earned in 2022.

However, despite this financial success, the volume of tea exported in 2023 experienced a 3.3% decline, totaling 241.9 Mn. kilograms. This represents an 8.26-million-kilogram decrease compared to the 250.2 Mn. kilograms shipped in 2022.

While Sri Lanka's tea exports have generally trended upward since 1997, reaching a peak of 327 million kilograms in 2014, the recent decline in export volume highlights the challenges facing the industry.

The annual FOB unit price of $ 5.41 per kg for 2023 compared with $ 5.03 per kg in 2022 underscores the strong demand and premium commanded by Ceylon tea in the global market.

Tea Production

Sri Lanka's tea production in 2023 showed a marginal improvement, reflecting a slow recovery from the challenges posed by detrimental policy decisions and climate change.

The total tea production for 2023 reached 256.04 million kilograms, marking a slight increase of 4.20 million kilograms compared to the 251.84 million kilograms produced in 2022. While all elevations experienced positive growth compared to the previous year, except for the low-grown elevation, the industry remained optimistic that production would exceed 260 million kilograms by year's end, bouncing back from the 26-year low experienced in 2022.

Sri Lanka's tea export volume is closely tied to production levels. The 2023 harvest was impacted by various challenges faced since 2021, including the fertilizer crisis and the ban on herbicides, which significantly hampered production.

We believe
in seeking
sustainable energy options
for a cleaner environment

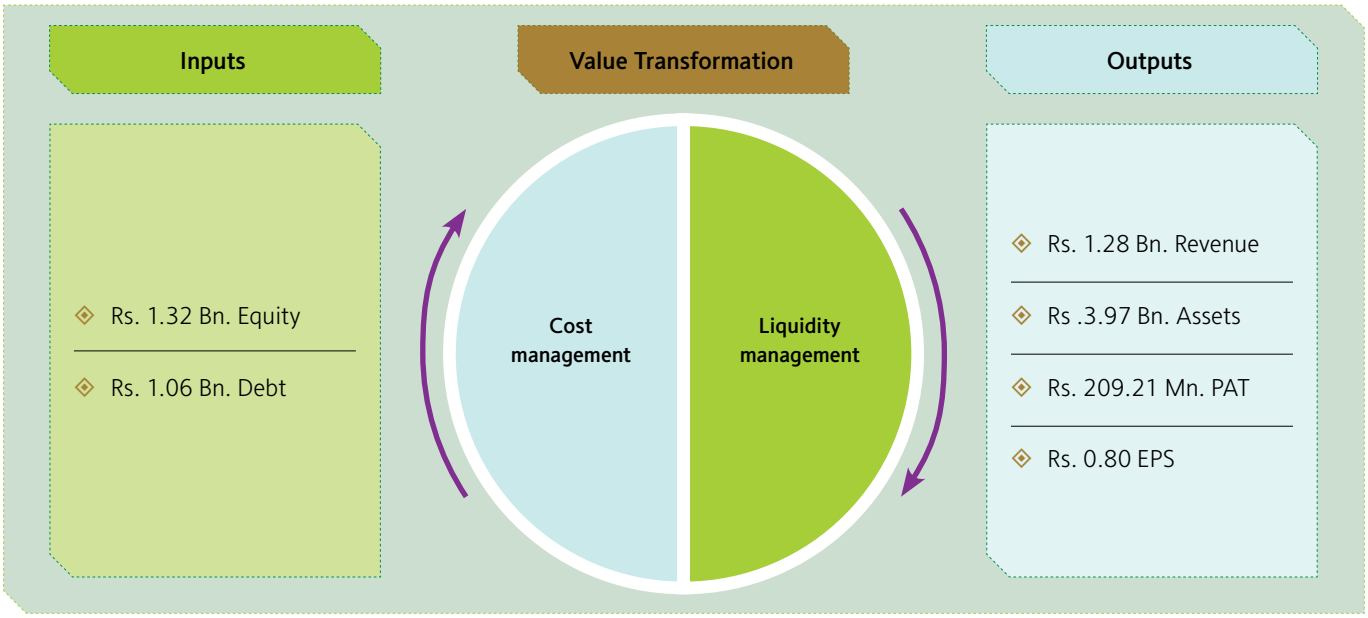


MANAGING OUR CAPITALS

FINANCIAL CAPITAL



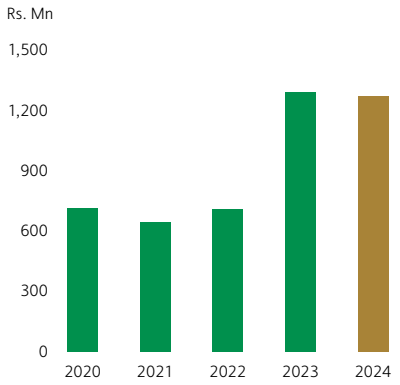
Through resilience and a proactive approach, we navigated a year of economic volatility and global uncertainty, achieving a Profit After Tax of Rs. 209.21 Mn. This fuels our commitment to continued growth and innovation in the future.



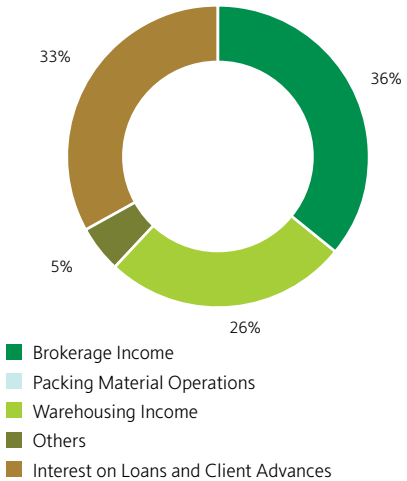
REVENUE

Group revenue declined by 1.29% YoY from Rs. 1,292 Bn. to Rs. 1,275 Bn. in FY 23/24. This is largely attributed to fluctuations in exchange rates, with gross proceeds declining from Rs. 52.35 Bn. to Rs. 46.53 Bn. We have demonstrated resilience through strategic diversification with the revenue from warehousing operations increasing by 8% to Rs. 359.46 Mn. in FY 2023/24. This reflects the Group's successful efforts to expand its client base beyond the tea sector and drive higher occupancy levels. The diversification strategy will continue, mitigating the impact of weather-related challenges on our core business and ensuring long-term stability.

Revenue



Breakdown of Group Revenue



COST MANAGEMENT

Despite operating in a challenging environment marked by inflation, currency devaluation, and rising energy costs, the Group implemented strategic cost management initiatives to maintain profitability as indicated below:

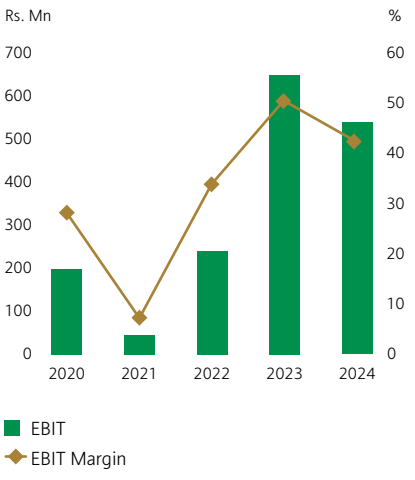
- Focus on efficiency: Group-wide efforts included optimising resource utilsation, driving energy savings, implementing process improvements and automation, and fostering a cost-conscious culture across all operations.
- Direct cost reduction: These initiatives resulted in a 17.17% YoY decrease in the cost of sales, reaching Rs. 1.62 Mn. for FY 2023/24.
- Managing operating expenses: While inflationary pressures led to a 17.14% increase in administrative expenses to Rs. 634.62 Mn, these costs represented 49.76% of revenue in FY 2024, compared to 41.93% in FY 2023, demonstrating the effective cost control measures.

PROFITABILITY

Operating Profit

Operating profit decreased by 17.20% YoY to Rs. 539.71 Mn. in FY 2023/24 from Rs. 651.79 Mn. in FY 2022/23. The decline is mainly attributed to the increase in administration costs.

Operating Profit



Net Financial Cost

The reduction in borrowings led to a 13.00% YoY decrease in finance cost to Rs. 234.89 Mn. in FY 2023/24, resulting in a consolidated net finance cost of Rs. 221.74 Mn.

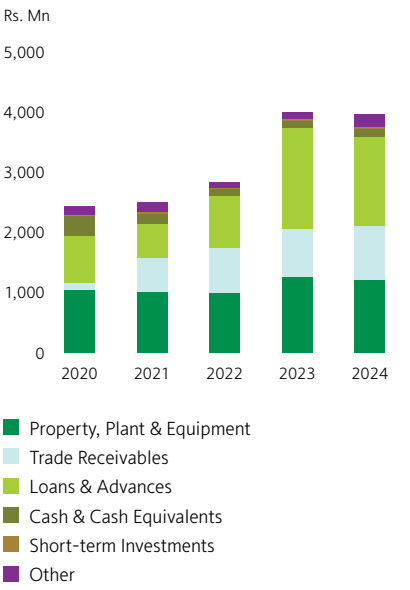
Net Profit

The consolidated pre-tax profit amounted to Rs. 317.97 Mn. for the year under review. After accounting for an income tax expense of Rs. 108.75 Mn., the Group recorded a profit after tax of Rs. 209.21 Mn. for FY 2023/24.

TOTAL ASSETS

The Group's total assets reached Rs. 3,972.34 Bn. as of 31 March 2024, reflecting a decrease of 0.88% compared to the previous year. Current assets accounted for a significant portion of the asset base, representing 65.75% of the total. Moreover, trade receivables, a key component of current assets, increased by 10.11% YoY to Rs. 886.69 Mn. representing 22.32% of the Group's total assets. Additionally, the Group maintained a robust liquidity position with cash and cash equivalents amounting to Rs. 118.68 Mn. at year-end.

Asset Composition

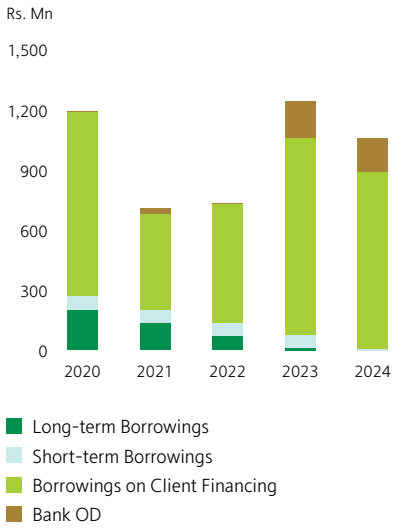


MANAGING OUR CAPITALS CONTD.

LIABILITIES AND CAPITAL

The Group's liabilities funded 66.70% of its total assets during the financial year, demonstrating a balanced capital structure. Total liabilities decreased to Rs. 2,649.70 Mn. as of 31 March 2024 mainly due to a reduction in short-term borrowings. Moreover, total debt decreased by 14.89% YoY to Rs. 1,062.98 Mn. reflecting prudent debt management. Trade payables increased by 6.70% YoY to Rs. 1,051.11 Bn. indicating strong operational activity in FY 2023/24.

Debt Composition



CASHFLOWS

The Group's operations faced a challenging and volatile environment during the year, necessitating a strategic approach to cash flow and liquidity management. Amid these challenges, the Group achieved a significant net inflow of Rs. 258.47 Mn. in FY 2023/24 from operating activities, a marked improvement compared to the previous year's inflow of Rs. 63.08 Mn. This strong performance was driven by the Group's ability to effectively manage its core operations and generate cash. To navigate the tough operating conditions, the Group prudently reduced capital expenditure, resulting in a net cash outflow of Rs. 27.31 Mn. from investing activities. Meanwhile, net cash flow from financing activities resulted in an outflow of Rs. 217.79 Mn. primarily driven by dividend payments and loan repayments. Despite these outflows, the Group's cash and cash equivalents increased by Rs. 13.36 Mn. in FY 2023/24, demonstrating its ability to maintain a healthy cash position.

HUMAN CAPITAL

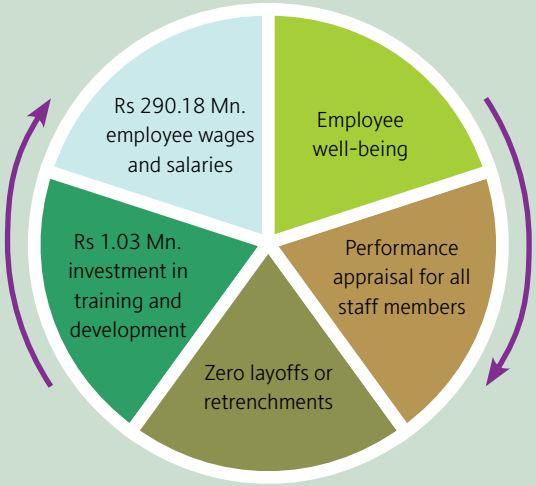


Our team of 97 employees, with their diverse knowledge, positive attitudes, and experience, have been instrumental in fostering resilience and ensuring the sustainability of our business over the years. We empower and develop our team through a holistic value proposition, aligning personal and organisational goals.

Inputs

- 97 Employees
- 11% female representation
- Multi-skilled team

Value Transformation



Outputs

- A motivated and committed team
- 3 promotions
- 99% retention rate
- Rs. 13.15 Mn. Revenue per Employee
- Rs. 2.16 Mn. Profit per Employee

MANAGING OUR CAPITALS CONTD.

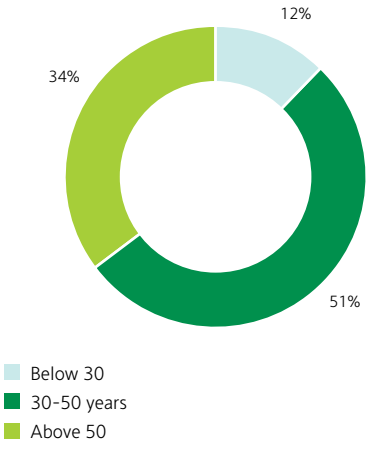
MANAGEMENT APPROACH

We strive to create a thriving work environment that values diversity, inclusivity, and equal opportunity. Our HR policies and procedures, aligned with regulatory requirements and industry best practices, support this commitment, and enable effective human capital management.

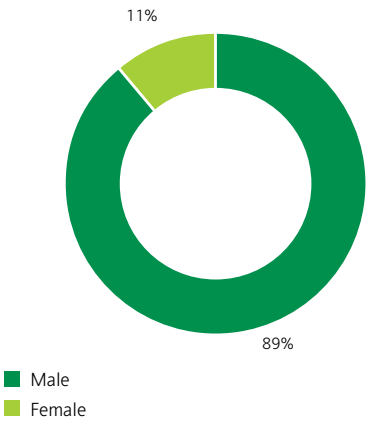
TEAM PROFILE

The skill profile of our team has evolved to meet the demands of our new online auction system, requiring employees with strong technical skills. This transition from the previous outcry system has been driven by the post-pandemic landscape.

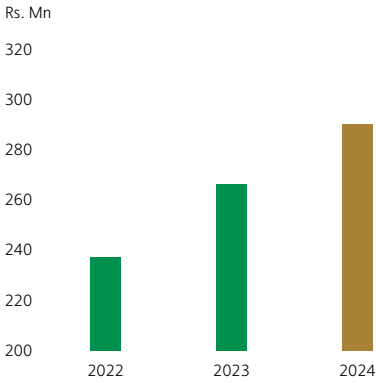
Employees by Age Group



Male: Female Ratio



Employee Payments



HIGHLIGHTS FOR FY 23/24

- A team of engaged and motivated employees
- Rs. 290.18 Mn. paid as employee benefits
- 120 hours of training
- Rs.1.03 Mn. invested in training and development
- 03 promotions

MOVEMENT IN THE TEAM

As a preferred employer, we attract top talent through a recruitment process that ensures we identify individuals with the necessary skills and experience. This year, we welcomed 9 new recruits and celebrated 3 promotions. Our commitment to job security, growth opportunities, and a positive work environment has resulted in a strong retention rate of 99%, demonstrating the effectiveness of our employee value proposition.

EMPLOYEE WELL-BEING

We continued to focus on employee well-being by retaining all permanent staff, ensuring financial security, and boosting their morale. Recognising the broader impact on living standards, we implemented a range of relief measures to support our employees. These initiatives included:

- **Full Remmuneration Adjustments:** Employees received full salaries, adjusted to compensate for high inflation.
- **Travel Expense Support:** Special compensation was provided for employees incurring additional travel expenses to work.
- **Flexible Work Arrangements:** Work-from-home arrangements were facilitated.
- **Essential Support:** Cash and vouchers for dry ration packs were distributed to assist employees with basic necessities

INVESTING IN OUR PEOPLE

Developing the skills and knowledge of our employees is a cornerstone of our employee value proposition. To ensure our team is equipped for success, we invested Rs. 1.03 Mn. in training and development, providing 120 training hours in the financial year under review. Key initiatives included:

- **Team Building Workshop:** A team building workshop in August 2023 fostered collaboration and strengthened relationships.
- **Specialised Training:** Training sessions at the Tea Research Institute - Walpola provided valuable expertise.

WAY FORWARD

We aim to create a highly skilled and motivated team that drives our growth plans. Accordingly, we will continue to invest in our employee value proposition, ensuring they are well-equipped to succeed. We are also committed to supporting our employees and prioritising their well-being. Moreover, we will adjust the salaries and other benefits to market rates to ensure we retain our staff.

INTELLECTUAL CAPITAL



Our success is fueled by our intellectual capital, a blend of expertise and experience that drives our innovation, responsiveness, and ability to anticipate industry trends. Our Board and management team, with their extensive industry knowledge, have nurtured a culture of excellence that sets us apart. This, in turn, fosters trust and confidence among our stakeholders, allowing us to maintain a strong competitive edge.

Inputs

- Organisational Tacit Knowledge
- 554 years of Collective Experience
- Robust Systems and Processes
- The Asia Siyaka Brand

Value Transformation



Outputs

- Low Grown – 17.05%
- High Grown – 9.89%
- 04 awards and certifications
- High auction prices

MANAGING OUR CAPITALS CONTD.

KNOWLEDGE AND EXPERTISE OF OUR LEADERSHIP TEAM

Our leadership team, with their deep knowledge and expertise, has been instrumental in driving the Sri Lankan tea industry forward, particularly during challenging times. Facing consecutive hurdles, including wage hikes and the ban on chemical fertilisers, our leadership team collaborated closely with industry stakeholders and international buyers, ensuring the global competitiveness and market position of Sri Lankan tea remained strong. This dedication to the industry's success is further demonstrated through the active participation of our senior management in various industry bodies, sharing their expertise for the benefit of the sector's sustainability. During the year under review, we achieved significant growth in our low-grown market share, solidifying our position in this segment.

ORGANISATIONAL TACIT KNOWLEDGE

The collective experience and tacit knowledge of our team permeates every aspect of our operations. We cultivate a culture of continuous learning and knowledge sharing, investing in initiatives that build upon and enhance our collective wisdom. This commitment to knowledge development is evident in our efforts to support our suppliers, as demonstrated by our recent knowledge-sharing sessions on VAT compliance.

SYSTEMS AND PROCESSES

We are dedicated to continuous improvement, investing in robust systems and processes to achieve optimal efficiency and productivity. We leverage technology to drive innovation, such as our investment in IT systems to ensure compliance with VAT requirements. This commitment to automation provides real-time data, enabling informed decision-making and fostering a culture of innovation across the organisation.

DRIVING INNOVATION IN THE TEA VALUE CHAIN

As a catalyst for innovation in the tea value chain, we share market insights and best practices to enhance the industry's global competitiveness. Our commitment to knowledge dissemination has empowered tea factories to produce the varieties and qualities of tea that are in high demand worldwide. This dedication to industry advancement is reflected in the 50 research reports published by the Group during the past year, providing valuable information and driving innovation across the tea sector.

INDUSTRY PARTNERSHIPS FOR ENVIRONMENTAL SUSTAINABILITY

We are a leader in promoting environmental sustainability across the entire tea value chain. We collaborate closely with manufacturers and other industry stakeholders to reduce emissions and minimise the use of chemical fertilisers, driving a collective effort toward a greener tea industry.

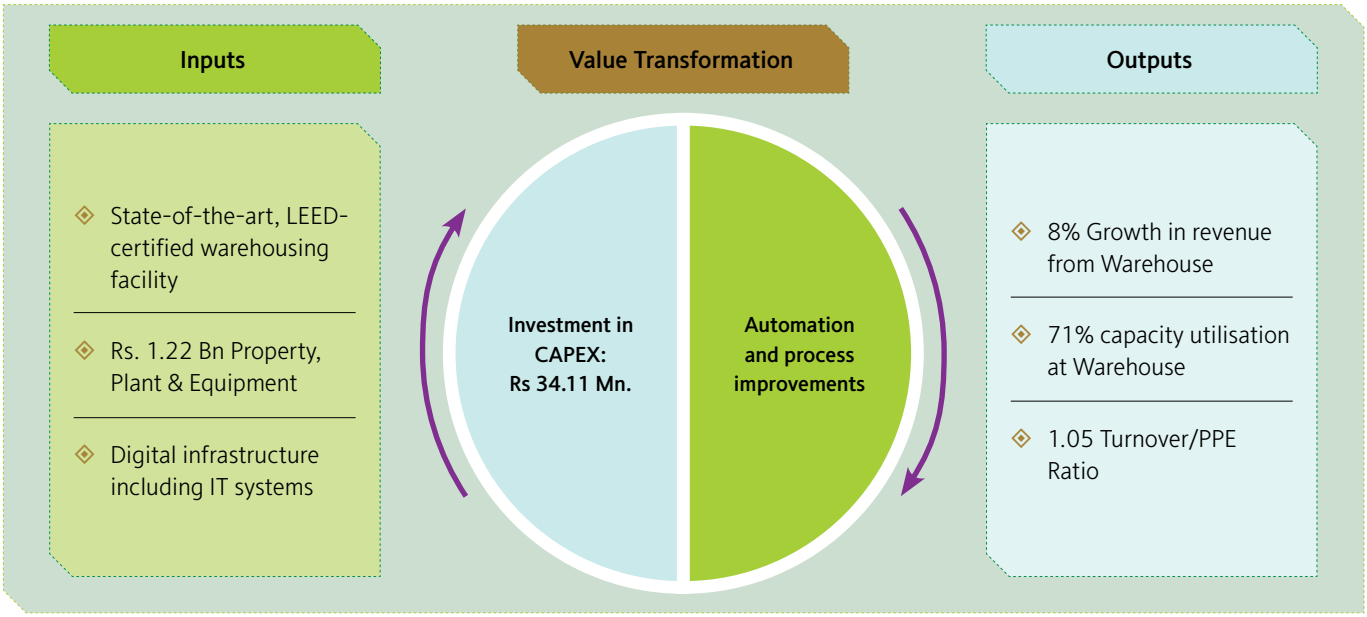
WAY FORWARD

We will continue to expand our intellectual capital base to ensure ongoing success and innovation, which fuels our value-creation process and drives us forward.

MANUFACTURED CAPITAL

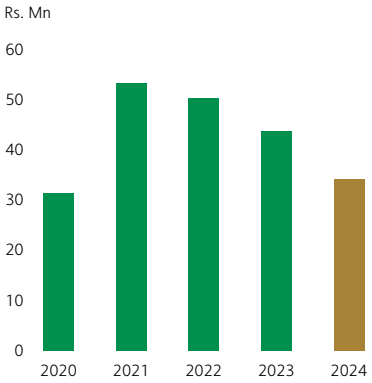


Our robust physical infrastructure encompassing state-of-the-art warehousing facilities, digital infrastructure, and other property, plant and equipment has enabled the transformation to a client-centric, digitally enabled organisation. This infrastructure supports smooth operations and customer interactions, delivering value to all stakeholders.

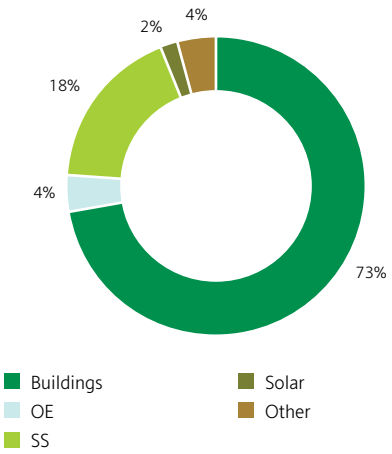


MANAGING OUR CAPITALS CONTD.

Capex



Property, Plant & Equipment -FY 23/24



HIGHLIGHTS

- Property, plant, and equipment accounted for 31% of the Group's total assets
- Rs. 34.11 Mn. capital expenditure to enhance storage systems and warehousing facilities

WAREHOUSING

Our warehousing facility, one of the largest in Sri Lanka, has two units offering a combined 197,500 square feet of storage space. Equipped with the latest technology, the facility goes beyond mere storage, adding value to its services.

This facility has been instrumental in our diversification strategy, mitigating the decline in broking operations through new revenue streams. By attracting clientele from diverse industries, we have reduced our reliance on tea and diversified the use of our space. This strategy proved successful during the year, with warehousing operations generating Rs. 359.46 Mn. in revenue, representing 26% of the Group's consolidated revenue.



First, LEED-certified tea centre in Sri Lanka

Demonstrating a commitment to sustainability, the warehousing facility incorporates a range of environmentally friendly design elements and practices. It is a pioneer in the tea industry, achieving the prestigious Leadership in Energy and Environmental Design (LEED) Certification (Silver) from the United States Green Building Council, becoming the first tea centre in Sri Lanka and one of only a few in the world to do so.

DIGITAL INFRASTRUCTURE

We continued to invest in digital infrastructure upgrades, encompassing hardware and software to enhance efficiency, accuracy, and quality of decision-making. Additionally, cybersecurity frameworks were strengthened to guarantee uninterrupted services to all stakeholders.

WAY FORWARD

We will continue to strengthen our manufactured capital through continuous investments in physical and digital infrastructure, to diversify our offering and drive future growth.

NATURAL CAPITAL

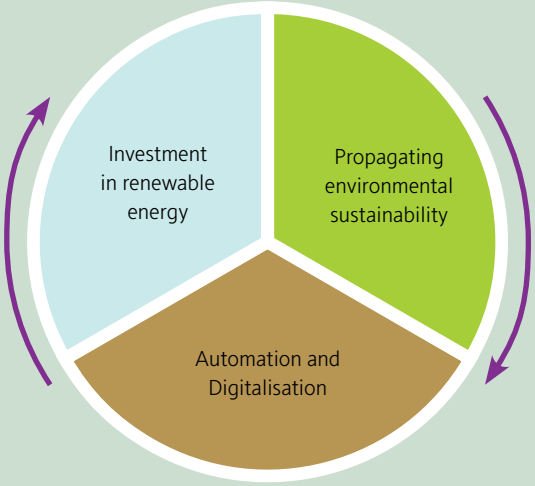


As a service organisation, we minimise our reliance on natural resources. However, we are committed to environmental stewardship through efficient resource allocation, innovative processes, and collaborative partnerships. We aim to reduce our operational carbon footprint by 20% by 2025, by investing in renewable energy solutions, implementing waste reduction programmes, and collaborating with industry partners to promote sustainable tea cultivation practices. Moreover, we play a critical role in propagating good environmental practices in partnership with industry stakeholders, given its prominent position in the tea value chain.

Inputs

- Energy Consumption: 381,383 kwh
- Water Consumption: 6,546 m3

Value Transformation

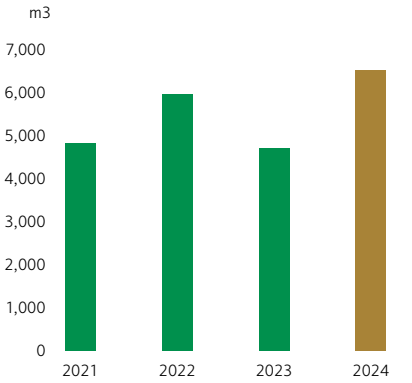


Outputs

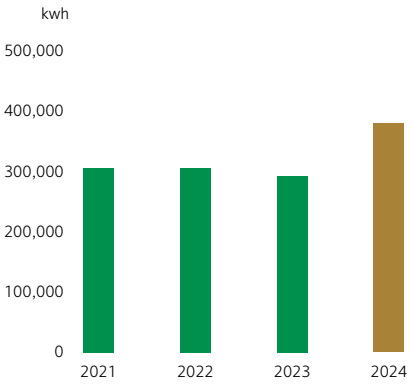
- 280,300 kwh Renewable energy generated
- Carbon footprint emissions
- Waste Generation

MANAGING OUR CAPITALS CONTD.

Water Consumption



Energy Consumption



MANAGEMENT APPROACH

As a responsible organisation operating in Sri Lanka, a nation highly vulnerable to the intensifying impacts of climate change, we strive to minimise our environmental footprint and contribute to a sustainable future for Sri Lanka's tea industry. Recognising the critical importance of sustainable agricultural practices, we are working to reduce our carbon footprint and strive to become a carbon-neutral tea broker. To achieve this, we provide advisory services to our clients and industry stakeholders, encourage the adoption of environmentally responsible practices across our supply chain, while also seeking to minimise energy use in our warehousing and office operations through the exploration of renewable energy solutions and implementing energy efficiency measures.

ENERGY MANAGEMENT

We strive to reduce our environmental impact by optimising energy consumption. While our primary energy source is electricity from the National Grid, we have made significant strides in energy efficiency using energy-efficient equipment throughout our operations. Our warehouse, the only green-certified logistics centre in Sri Lanka, exemplifies our commitment to sustainability. This state-of-the-art facility is designed to maximise natural light and airflow, minimising energy reliance. Additionally, our warehouse is equipped with solar panels capable of generating 280,300 kwh of renewable energy, which is exported to the National Grid, contributing to a cleaner energy future for Sri Lanka.

AUTOMATION

Our investment in innovative technology has not only streamlined our operations but also fostered a greener work environment. By automating numerous processes, we have achieved significant paper savings, reduced our environmental impact, and created a more efficient workflow.

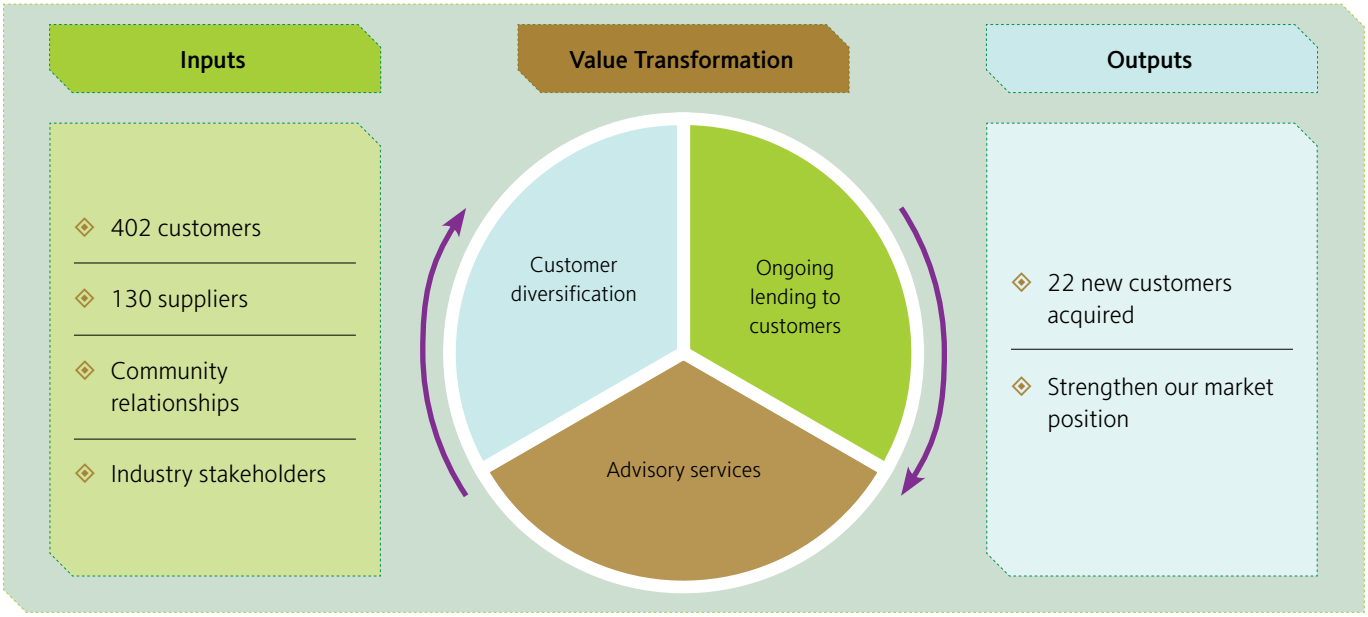
WAY FORWARD

Going forward, we will continue to promote sustainable practices across the tea value chain while seeking to reduce our energy consumption and optimise our resource usage.

SOCIAL AND RELATIONSHIP CAPITAL



We nurture meaningful and long-term relationships with our customers, tea factories, smallholders, exporters, and the broader community. These collaborative partnerships are essential to our success, ensuring both commercial and social sustainability, particularly during these unprecedented and challenging times.



MANAGING OUR CAPITALS CONTD.

CUSTOMER-CENTRIC APPROACH TO THE TEA INDUSTRY

We value long-term relationships with our diverse customer base, including regional plantation companies, private tea factories, and smallholders. We strive to understand and meet their evolving needs through active engagement and tailored solutions. Our value proposition includes warehousing facilities, financial support, advisory services, and more.

DIVERSIFYING OUR CUSTOMER BASE

Faced with the persistent challenges of the tea industry, including the fertiliser shortage, which impacted tea production volumes, we made a strategic decision to diversify our customer base beyond the tea sector. This proactive approach led to securing new clients in the export and large FMCG sectors, leveraging our warehousing operations for a wider range of industries. This diversification strategy has successfully driven higher occupancy levels and strengthened our resilience in a dynamic market.

SUPPORTING MANUFACTURERS

We support the growth and development of Sri Lanka's tea industry, providing crucial financial assistance and sharing valuable industry expertise with tea manufacturers. During the year, we provided client advances totaling Rs. 13.58 Bn. to support the manufacturers. Our 26 years of experience have developed a unique knowledge base, which we share with our clients, empowering them to create more competitive and attractive products. This collaborative approach strengthens the tea industry's global competitiveness and contributes to its overall growth.

INVESTING IN LOCAL SUPPLIERS

As a service organisation, our primary inputs are stationery and IT equipment, which we source locally whenever possible. During the year, we made payments totaling Rs. 57 Bn. to our local suppliers, supporting a strong and vibrant local economy.

COMMUNITY ENGAGEMENT

We believe in building meaningful and lasting relationships with our community. Accordingly, we strive to make a positive impact through active engagement and development initiatives. Our efforts in this regard include:

- Supporting education: Provide donations to educational institutions.
- Honoring cultural values: Recognising the importance of cultural heritage and community cohesion, we contribute to religious activities.

WAY FORWARD

We will continue to build stronger relationships with our customers, manufacturers and communities and deliver increased value through innovation, collaboration, and a shared commitment to success.

CORPORATE GOVERNANCE

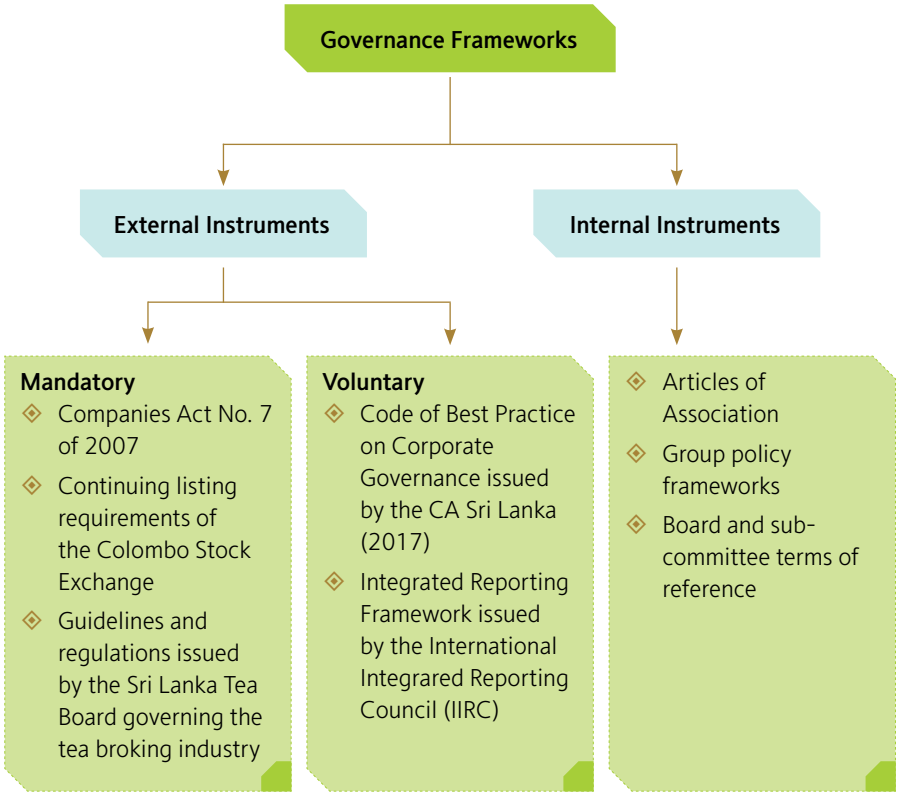
Good governance is integral for sustainable economic growth and corporate success. The Board is responsible for establishing sound corporate governance practices, frameworks, and processes, which signify the way Companies are directed and controlled. This ensures that the interests of the Company's many stakeholders are balanced, to deliver mutually beneficial returns for all.

OUR APPROACH TO GOVERNANCE

The Board of Directors of Asia Siyaka Commodities PLC is committed to maintaining high standards of integrity, accountability, transparency, and business ethics in the governance of the Group. Recognising the crucial importance of maintaining good governance in all aspects of business operations, the Board applies these principles to Asia Siyaka Commodities PLC and its fully owned subsidiaries, Asia Siyaka Warehousing (Private) Limited and Siyaka Produce Brokers (Private) Limited, collectively referred to as "the Group".

The Board is fully committed to discharge its statutory and fiduciary duties as defined in the Companies Act No. 07 of 2007 and all other applicable laws and regulations, while also adopting international good governance practices in the operational and internal control aspects of the Company.

Clearly defined processes and policies ensure compliance with laws and regulations, while there is an established line of authority for decision making and accountability, with well-defined reporting channels. The Company is bound by the license issued by the Sri Lanka Tea Board and guidelines and regulations that govern the tea broking industry, Companies Act. No. 07 of 2007 and the Listing Rules of the Colombo Stock Exchange.



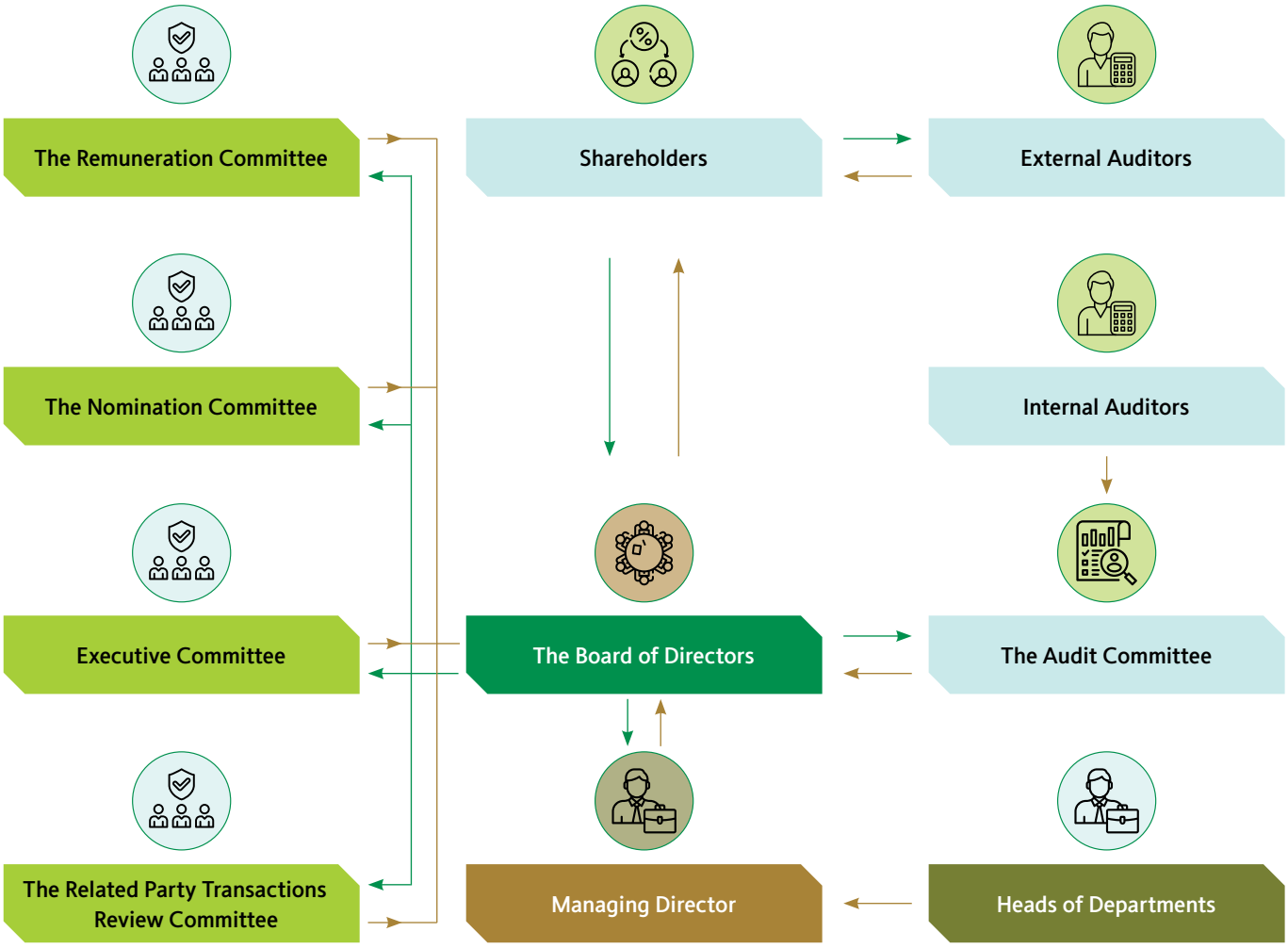
GOVERNANCE IN 2023/24

The Board continued its effective oversight and leadership during the year, maintaining enhanced scrutiny amidst economic and political uncertainty, while continuing to improve and build on the Company's Corporate Governance practices. The Board was well supported by the Board sub-committees in facing challenges, managing risks, and exploiting opportunities.

CORPORATE GOVERNANCE CONTD.

GOVERNANCE HIGHLIGHTS

Governance Structure



The Company remained committed to all good corporate governance practices, complying with applicable regulations, adopting best practices and ensuring that its obligations to all its stakeholders are understood and met, while upholding the highest standards of business integrity, ethical values, professionalism and transparency.

BOARD COMPOSITION

The composition of the Board plays an important role in achieving the strategic objectives of the group. The Group is led by a well-balanced Board of Directors with relevant expertise and knowledge to provide guidance and leadership to formulate the strategic direction of the Group. In line with best corporate practice, the Board of Directors has been vested with the powers to direct, lead and control the Company in an effective manner that reflects the best interests of the Company.

As of the end of the financial year 2023/24, the Board comprised of 11 members, of whom 6 are Non-executive Directors and 5 serve as Executive Directors.

ROLE OF THE CHAIRMAN AND MANAGING DIRECTOR

In conformity with best practice, we have segregated the roles of the Chairman and the Managing Director with a clear distinction of responsibilities. This ensures a balance of power and preventing any single individual from having unfettered control over decision-making and implementation.

INDEPENDENCE OF DIRECTORS

The independence of the Directors is determined by the Board based on the annual declarations submitted by the Non-Executive Directors in accordance with the Listing Rules of the Colombo Stock Exchange. Based on the declarations submitted, the Board has determined that Mr. C L de Silva and Mr. A Vaithylingam are 'Independent' as per the criteria set out in the Listing Rules of the Colombo Stock Exchange.

The Board was also of the view that the directorship of Mr. M R Morris in Lanka Commodity Brokers Limited does not compromise his independence and objectivity in discharging his functions as a Director and has determined that the said Director shall nevertheless be "independent" as per the Listing Rules.

BOARD MEETINGS

Board meetings are scheduled once every quarter and whenever necessary, to ensure regular reporting and oversight. The Board met 05 times during the financial year. Attendance at the scheduled meetings is as follows.

	Name of Director	Office Held	Attendance at Board Meetings
1.	Mr. T Someswaran	Chairman / Independent Director (resigned 01.06.2023)	0/1
2.	Mr. C L de Silva	Chairman / Independent Director (appointed 23.06.2023)	4/4
3.	Mr. A R Cooke	Managing Director	5/5
4.	Mr. D J Wedande	Executive Director	5/5
5.	Mr. S G Amarasuriya	Executive Director	4/5
6.	Mr. Y Kuruneru	Executive Director	5/5
7.	Mr. S T Gunatilleke	Non-Executive Director (Resigned w.e.f 31.07.2024)	5/5
8.	Mr. H R V Caldera	Non-Executive Director (Resigned w.e.f 02.04.2024)	2/5
9.	Mr. J N Dambawinne	Non-Executive Director	5/5
10.	Mr. R C Dissanayake	Executive Director	5/5
11.	Mr. A Vaithylingam	Independent Director	5/5
12.	Mr. M R Morris	Independent Director	4/5

BOARD SUB COMMITTEES

The Board has appointed sub-committees for assistance in discharging its duties more effectively and efficiently, in line with the mandatory requirements of the Listing Rules of the Colombo Stock Exchange and the voluntary requirements of the Code of Best Practices on Corporate Governance issued by the Institute of Chartered of Accountants of Sri Lanka.

Each committee so appointed reports to the Board and is accountable for its responsibilities. The committees include the Audit Committee, Remuneration Committee, Nominations and Governance Committee, and Related Party Transactions Review Committee. The composition of each committee is as follows:

Audit Committee	(Refer Page 74 for Audit Committee Report)
The Committee has met 05 times during the year. The meetings are attended by the Managing Director. Senior Vice President – Finance by invitation & other Directors and Executives when required.	
Mr. S T Gunatilleke (Ceased w.e.f. 31.07.2024)	Chairman/ Independent Non-Executive Director
Ms. R Rajapaksa (Appointed w.e.f. 06.08.2024)	Chairperson/ Independent Non-Executive Director
Mr. T Someswaran (Ceased w.e.f. 01.06.2023)	Member/ Independent Non-Executive Director
Mr. A Vaithylingam	Member/ Independent Non-Executive Director
Mr. M R Morris	Member/ Independent Non-Executive Director
Mr. C L de Silva	Member/ Independent Non-Executive Director

CORPORATE GOVERNANCE CONTD.

Remuneration Committee	(Refer Page 75 for Remuneration Committee Report)
The Committee has met 04 times during the year and regularly reviews the remuneration policy to ensure that the remuneration structures are in line with industrial standards. The main responsibility of the Remuneration Committee is to recommend to the Board a framework for the remuneration of Executive Directors, including its cost. The committee also determines, on behalf of the Board, the specific remuneration packages for each Executive Director. The aggregate remuneration paid to executive and non-executive directors is given on page 121.	
Mr. C L de Silva (Appointed w.e.f. 23.06.2023)	Chairman / Independent Non-Executive Director
Mr. T Someswaran (Ceased w.e.f. 01.06.2023)	Chairman / Independent Non-Executive Director
Mr. S T Gunatilleke (Ceased w.e.f. 31.07.2024)	Member / Independent Non-Executive Director
Mr. A Vaithylingam	Member / Independent Non-Executive Director
Mr. M R Morris	Member / Independent Non-Executive Director

Related Party Transactions Review Committee	(Refer Page 73 for Related Party Transactions Review Committee Report)
The Related Party Transactions Review Committee was appointed by the Board on 06 November 2015. The names of the Directors who serve on the said Committees are as follows:	
Mr. A Vaithylingam	Chairman / Independent Non-Executive Director
Mr. T Someswaran (Ceased w.e.f. 01.06.2023)	Member / Independent Non-Executive Director
Mr. M R Morris	Member / Independent Non-Executive Director
Mr. C L de Silva (Appointed w.e.f. 23.06.2023)	Member / Independent Non-Executive Director
Ms. R Rajapaksa (Appointed w.e.f. 06.08.2024)	Member / Independent Non-Executive Director

Nominations and Governance Committee	
The Nominations Committee was appointed by the Board on 06 November 2015. The names of the Directors who serve on the said Committees are as follows:	
Mr. T Someswaran (Ceased w.e.f. 01.06.2023)	Chairman / Independent Non-Executive Director
Mr. C L de Silva (Appointed w.e.f. 23.06.2023)	Chairman / Independent Non-Executive Director
Mr. S T Gunatilleke (Ceased w.e.f. 31.07.2024)	Member / Independent Non-Executive Director
Mr. A Vaithylingam	Member / Independent Non-Executive Director
Mr. M R Morris	Member / Independent Non-Executive Director

LEVEL OF COMPLIANCE WITH THE CSE'S LISTING RULES – SECTION 7.10. RULES ON CORPORATE GOVERNANCE

Reference	Principle / Rule	Compliance Status	Applicable Section in the Annual Report
7.10 Compliance			
(a) – (c)	The Company is in compliance with the Corporate Governance Rules and any deviations are explained where applicable	Compliant	Corporate Governance
7.10.1	**Non-Executive Directors (NED)**		
(a) – (c)	2 or at least 1/3 of the total number (whichever is higher) of Directors should be NEDs	Compliant	As at the conclusion of the last AGM there were 6 Non-Executive Directors
7.10.2	**Independent Directors (ID)**		
(a) (b)	2 or 1/3 of NEDs, whichever is higher, should be independent Each NED should submit a signed and dated declaration of independence or non-independence	Compliant Compliant	Of the 6 Non-Executive Directors 4 are independent. Please refer to page 43 of the Corporate Governance Report.
7.10.3	**Disclosures relating to Directors**		
(a) / (b)	The Board shall annually determine the independence or otherwise of the NEDs	Compliant	Please refer to page 43 of the Corporate Governance Report.
(c)	A brief resume of each Director should be included in the Annual Report (AR) including the Director's areas of expertise	Compliant	Please refer to page 14
(d)	Provide a brief resume of new Directors appointed to the Board along with details to CSE	Compliant	Provided to the CSE
7.10.4	**Criteria for defining independence**		
(a) – (h)	Requirements for meeting the criteria to be an ID	Compliant	All Independent Directors, except for Mr. M R Morris meet the criteria. The Board has determined that Mr. M R Morris shall nevertheless be determined an Independent Director.
7.10.5	**Remuneration Committee**		
7.10.5	The Human Resources and Compensation Committee (equivalent of the RC with a wider scope) of the listed parent company may function as the RC	Compliant	Corporate Governance
(a)	Shall comprise of NEDs, a majority of whom will be independent One NED shall be appointed as Chairperson of the Committee by the Board of Directors	Compliant	Corporate Governance
(b)	The RC shall recommend the remuneration of the CEO	Compliant	Corporate Governance
(c)	Names of Directors comprising the RC Statement of remuneration policy. Aggregated remuneration paid to NEDs	Compliant	Please refer to the Remuneration Committee Report on page 75 and Financial Report Note No. 32.2 on page 126.

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Reference	Principle / Rule	Compliance Status	Applicable Section in the Annual Report
7.10.6	**Audit Committee**		
(a)	Composition of Board Audit Committee (BAC) - Shall comprise of NEDs a majority of whom should be Independent	Compliant	Please refer to page 74 of the Audit Committee report
	A NED shall be appointed as the Chairperson of the Committee	Compliant	Chairman of the Audit Committee is a NED.
	CEO and Financial Controller should attend BAC Meetings	Compliant	MD, CEO, and Senior Vice President Finance attended Audit Committee meetings by invitation
	The Chairperson of BAC or one member should be a member of a professional accounting body	Compliant	The chairperson of the Audit Committee is a Fellow member of the Institute of Chartered Management Accountants, UK.
(b)	BAC Functions- Overseeing the: preparation, presentation and adequacy of disclosures in the financial statements in accordance with Sri Lanka Accounting Standards (SLFRS/LKAS)	Compliant	Please refer the Audit Committee Report on page 74.
	Compliance with financial reporting requirements, information requirements of the Companies Act and related regulations and requirements	Compliant	
	The process to ensure the internal controls and risk management is adequate to meet the requirements of the SLFRS/LKAS	Compliant	
	Assessment of the independence and performance of the External Auditors and	Compliant	
	Make recommendations to the Board about appointment, re-appointment, and removal of External Auditors, and approve the remuneration and terms of engagement of the External Auditor	Compliant	
(c)	Disclosure in Annual Report (AR) relating to BAC-	Compliant	Please refer to the Audit Committee Report on page 74.
	Names of Directors comprising the BAC		
	The AC shall determine the independence of the Auditors and disclose the basis for such determination		
	The AR shall contain a Report of the BAC setting out the manner of compliance with their functions		

LEVELS OF COMPLIANCE WITH THE CSE'S LISTING RULES – SECTION 9 RULES ON CORPORATE GOVERNANCE AND SUPPLEMENTARY NOTE TO SECTION 9

Reference	Principle / Rule	Compliance Status	Applicable Section in the Annual Report
9.1	**Applicability of Corporate Governance Rules**		
9.1.3	All Listed Entities shall publish a statement confirming the extent of compliance with the Corporate Governance Rules set out herein, in the Annual Report of the Entity	Compliant	Corporate Governance
9.3	**Board Committee**		
9.3.1 (b) – (d)	Minimum required Board Committees	Compliant	The required committees are maintained and are functioning effectively
9.3.2	Compliance with the composition, responsibilities and disclosures required in respect of the Board committees.	Compliant	Corporate Governance
9.4	**Meeting procedures and the conduct of all General Meetings with shareholders**		
9.4.1	Records of all resolutions and the following information upon a resolution being considered at any General Meeting shall be maintained.	Compliant	The group maintains all records and information regarding resolutions considered at general meetings
9.4.2 (a) – (c)	Communication and relations with shareholders and investors	Compliant	Refer to page 20 stakeholder management and effective communication
9.6	**Chairperson and CEO**		
9.6.1	Requirement for a Senior Independent Director (SID) if the positions of Chairperson and CEO are held by the same individual.	N/A	
9.6.2	Market announcement on the rationale behind the appointment of a SID	N/A	
9.6.3 (a) – (d)	Requirement for a SID	N/A	
9.6.3 (e)	SID shall make a signed explanatory disclosure demonstrating the effectiveness of their duties	N/A	
9.6.4	The rationale for the appointment of a SID set out in the Annual Report.	N/A	
9.7	**Fitness of Directors and CEO's**		
9.7.5 (a) / (b)	Disclosures that the Directors and CEO satisfy the Fit and Proper Assessment Criteria stipulated by the CSE, with any non-compliance and remedial action taken, also mentioned No non-compliances were reported in this regard.	Compliant	Directors are required to provide general disclosures annually, declarations on independence, fitness and propriety and report on any substantial change in their professional responsibilities and business associates
9.8	**Board Composition**		
9.8.3 (i) – (viii)	Requirements for meeting the criteria to be ID	Compliant	Corporate Governance
9.8.5 (a) – (c)	The Board shall annually determine the independence or otherwise of IDs and name the Directors who are determined to be 'independent.'	Compliant	All independent NED's have submitted declarations as to their independence

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Reference	Principle / Rule	Compliance Status	Applicable Section in the Annual Report
9.9	**Alternate Directors**		
9.9 (a) – (e)	Appointment of Alternate Directors to be in accordance with the Rules and such requirements to be incorporated into the Articles of Association.	Compliant	No alternate directors were appointed during the year
9.10	**Disclosures relating to Directors**		
9.10.2 / 9.10.3	Market announcement upon the appointment of a new Director and any changes to the Board composition	Compliant	Market announcement of the appointment of the new independent NED is made through the CSE
9.10.4 (a) – (i)	Details in relation to the Board members	Compliant	Refer Board of Directors
9.12	**Remuneration Committee**		
9.12.3	The Remuneration Committee shall establish and maintain a formal and transparent procedure for developing policy on Executive Directors (EDs) and individual Directors	Compliant	Refer Remuneration Committee report
9.12.4	Remuneration for NEDs shall be based on a policy of non-discriminatory pay practices to ensure the independence	Compliant	Refer Remuneration Committee report
9.12.5	The Remuneration Committee shall have written terms of reference clearly defining its scope, authority, duties, and matters pertaining to the quorum of meetings	Compliant	Refer Remuneration Committee report
9.12.6 (2)	Where the parent company and the subsidiary are Listed Entities, the Remuneration Committee of the parent company may function as the Remuneration Committee of the subsidiary.	Compliant	
9.12.6 (3)	An ID shall be appointed as the Chairperson of the Remuneration Committee	Compliant	
9.12.7	Functions	Compliant	
9.12.8 (a)	Names of Remuneration Committee Chairperson and members	Compliant	
9.12.8 (b)	Statement of Remuneration Policy	Compliant	
9.12.8 (c)	Aggregate remuneration paid to EDs and NEDs	Compliant	
9.13	**Audit Committee**		
9.13.2	The Audit Committee shall have written terms of reference clearly defining its scope, authority and duties.	Compliant	Audit Committee report
9.14	**Related Party Transactions Review Committee**		
9.14.2 (1)	Related Party Transactions Review Committee shall comprise of a minimum of 3 members, a majority of whom should be IDs and an ID shall be appointed as the Chairperson	Compliant	Related Party Transaction Review Committee report

Reference	Principle / Rule	Compliance Status	Applicable Section in the Annual Report
9.14.2 (2)	Where the parent company and the subsidiary are Listed Entities, the Related Party Transactions Review Committee of the parent company may function as the Related Party Transactions Review Committee of the subsidiary.	Compliant	Related Party Transaction Review Committee report
9.14.3	Functions	Compliant	
9.14.4	General Requirements	Compliant	
9.14.5	Review of Related Party Transactions by the Related Party Transactions Review Committee	Compliant	
9.14.6	Shareholder Approval	Compliant	
9.14.8 (1)	Details pertaining to Non-Recurrent Related Party Transactions	Compliant	Refer notes to the financial statement
9.14.8 (2)	Details pertaining to Recurrent Related Party Transactions	Compliant	Refer notes to the financial statement
9.14.8 (3)	Report of the Related Party Transactions Review Committee	Compliant	Related Party Transaction Review Committee report
9.14.8 (4)	Declaration by the Board of Directors as an affirmative statement of compliance with the rules pertaining to Related Party Transactions, or a negative statement otherwise	Compliant	Refer the Annual Report of the Board of Directors
9.14.9 (1) / (2)	Shareholder approval for acquisition and disposal of substantial assets	Compliant	There were no acquisitions and disposal of substantial assets during the year 23/24
9.14.9 (4) - (6)	Competent independent advice on acquisition and disposal of substantial asset	Compliant	
9.16	**Additional Disclosures**		
9.16 (i)	Directors have disclosed all material interests in contracts and have refrained from voting when materially involved.	Compliant	Directors make a disclosure of interest at appointment and during the year as required
9.16 (ii)	Directors have conducted a review of the internal controls and obtained reasonable assurance of their effectiveness and adherence	Compliant	Board takes steps to ensure the integrity of internal control systems remain effective via the review and monitoring of such systems on a periodic basis
9.16 (iii)	Directors are aware of laws, rules, and regulations and their changes particularly to Listing Rules and applicable capital market provisions	Compliant	Statement of Directors' responsibility
9.16 (iv)	Disclosure of material non-compliance with laws/ regulations and fines by relevant authorities where the Entity operates.	N/A	

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STATEMENT OF COMPLIANCE PERTAINING TO THE COMPANIES ACT NO. 7 OF 2007

Reference	Principle / Rule	Compliance Status	Applicable Section in the Annual Report
168 (1) (a)	The nature of the business of the Company or subsidiaries or classes of business in which it has an interest together with any change thereto	Compliant	Corporate Information
168 (1) (b)	Signed financial statements of the Group and the Company	Compliant	Financial statements
168 (1) (c)	Auditors' Report on financial statements	Compliant	Independent Auditor's report
168 (1) (d)	Accounting policies and any changes thereto	Compliant	Notes to the financial statements
168 (1) (e)	Particulars of the entries made in the Interests Register	Compliant	Annual Report of the Board of Directors
168 (1) (f)	Remuneration and other benefits paid to Directors of the Company	Compliant	Notes to the financial statements
168 (1) (g)	Corporate donations made by the Company	Compliant	Annual Report of the Board of Directors
168 (1) (h)	Information on the Directorate of the Company and its subsidiaries during and at the end of the accounting period	Compliant	Board of Directors
168 (1) (i)	Amounts paid/payable to the External Auditor as audit fees and fees for other services rendered	Compliant	Annual Report of the Board of Directors
168 (1) (j)	Auditors' relationship or any interest in the Company and its Subsidiaries	Compliant	Audit Committee Report
168 (1) (k)	Acknowledgement of the contents of this Report and signatures on behalf of the Board	Compliant	Annual Report of the Board of Directors

COMPLIANCE WITH THE CODE OF BEST PRACTICE ON CORPORATE GOVERNANCE ISSUED BY THE INSTITUTE OF CHARTERED ACCOUNTANTS OF SRI LANKA.

Reference	Principle	Adoption Status	Section in Annual Report
A Directors			
A.1 The Board			
A.1	Effective Board	Adopted	Corporate Governance
A.1.1	Regular Meetings at least once in every quarter	Adopted	Corporate Governance
A.1.2	◈ Ensure the formulation and implementation of sound business strategy ◈ Ensure that the CEO and management team possess the skills, experience, and knowledge to implement the strategy ◈ Ensure effective CEO and senior management succession strategy ◈ Approving budgets and major capital expenditure ◈ Determining the matters expressly reserved to the board and those delegated to the management including limits of authority and financial delegation ◈ Ensure effective systems to secure the integrity of information, internal controls, and risk management ◈ Ensure compliance with laws, regulations and ethical standards ◈ Ensure all stakeholder interests are considered in corporate decisions ◈ Recognising sustainable business development in Corporate Strategy, decisions, and activities and considering the need for adopting "integrated reporting" ◈ Ensure that the Company's values and standards are set with emphasis on adopting appropriate accounting policies and fostering compliance with financial regulations ◈ Establish a process of monitoring and evaluation of progress on strategy implementation, budgets, plans, and related risks ◈ Ensuring that a process is established for corporate reporting on an annual and quarterly basis or more regularly as relevant to the Company ◈ Fulfil such other Board functions as are vital, given the scale, nature and complexity of the business concerned	Adopted	Corporate Governance & Statement of Directors Responsibility
A.1.3	Act in accordance with laws relevant to the organisation and procedure for Directors to obtain independent professional advice	Adopted	Corporate Governance
A.1.4	Access to advice and services of the Company Secretary	Adopted	Corporate Governance
A.1.5	Independent judgment	Adopted	Corporate Governance

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Reference	Principle	Adoption Status	Section in Annual Report
A.1.6	Dedicate adequate time and effort to matters of the Board and the Company	Adopted	Corporate Governance
A.1.7	Resolution to be presented to the Board	Adopted	Corporate Governance
A.1.8	Appropriate training	Adopted	Corporate Governance
A.2 Chairman and Chief Executive Officer (CEO)			
A.2	Separating the activities of the Board from the executive responsibilities of the Company	Adopted	Corporate Governance
A.3 Chairman's Role			
A.3	Chairman's role in preserving good corporate governance. Conduct Board meetings in a proper manner	Adopted	Corporate Governance
A.4 Financial Acumen			
A.4	Availability of financial acumen and knowledge to offer guidance on matters of finance	Adopted	Corporate Governance
A.5 Board Balance			
A.5.1 and A.5.2	Non-Executive Directors of sufficient calibre and number	Adopted	Corporate Governance
A.5.3	Independence of Non-Executive Directors	Adopted	Corporate Governance
A.5.4	Annual declarations of independence from Directors	Adopted	Corporate Governance
A.5.5	Determination of independence of the Directors	Adopted	Corporate Governance
A.5.6	Appointment of an alternate Director	N/A	N/A
A.5.7	Senior Independent Director (SID)	N/A	N/A
A.5.8	SID to meet with other Directors	N/A	N/A
A.5.9	Chairman to hold meetings with NEDs, without EDs being present	Adopted	Corporate Governance
A.5.10	Recording of Directors' concerns in Board Minutes	Adopted	Corporate Governance
A.6 Supply of Information			
A.6.1	Management's obligation to provide appropriate and timely information to the Board	Adopted	Corporate Governance
A.6.2	Board papers and agenda to be circulated 7 days before meetings	Adopted	Corporate Governance
A.7 Appointments to the Board			
A.7.1	Formal and transparent procedure for new appointments through an established Nominations and Governance Committee	Adopted	Corporate Governance
A.7.2	Annually assess Board composition	Adopted	Corporate Governance
A.7.3	Disclosure of information to shareholders upon appointment of new directors	Adopted	Announcement made to CSE
A.8 Re-Election			
A.8.1 and A.8.2	◈ All NEDs should be appointed for specified terms subject to re-election ◈ All Directors including the Chairman to be subject to election at first opportunity after appointment and re-election at least every 3 years thereafter	Adopted	Corporate Governance / Notice of Meeting

Reference	Principle	Adoption Status	Section in Annual Report
A.8.3	Resignation of a Director prior to the completion of his appointed term, the Director should provide a written communication to the Board of his reasons for resignation	Adopted	Corporate Governance
A.9 Appraisal of Board Performance			
A.9.1 & A.9.2	Annual Performance Evaluation of the Board and its sub-committees	Working towards compliance	N/A
A.9.3	Review the performance of the Directors at the time of re-election	Working towards compliance	N/A
A.9.4	Disclosure of performance evaluation criteria	Working towards compliance	N/A
A.10 Disclosure of Information in Respect of Directors			
A.10.1	Annual Report to disclose specified information regarding directors	Adopted	Board of Directors / Corporate Governance
A.11 Appraisal of Chief Executive Officer/Managing Director			
A.11.1	Set reasonable financial and non-financial targets to be met by the CEO	Adopted	Corporate Governance
A.11.2	Evaluate the performance of the CEO with reference to targets	Adopted	Corporate Governance
B. Director's Remuneration			
B.1 Remuneration Procedure			
B.1.1	Remuneration Committee	Adopted	Corporate Governance
B.1.2	Composition of Remuneration Committee	Adopted	Corporate Governance
B.1.3	Disclosure of members of the Remuneration Committee	Adopted	Corporate Governance
B.1.4	Remuneration for NEDs	Adopted	Corporate Governance
B.1.5	Consultation of the Chairman and access to professional advice	Adopted	Corporate Governance
B.2 Level and Makeup of Remuneration			
B.2.1	Remuneration for Executive Directors should attract, retain, and motivate	Adopted	Corporate Governance
B.2.2	Design of the remuneration packages of Executive Directors to promote long-term success	Adopted	Corporate Governance
B.2.3	Comparison of remuneration with other Companies	Adopted	Corporate Governance
B.2.4	Comparison of remuneration with other Companies in the Group	Adopted	Corporate Governance
B.2.5	Performance-related elements of remuneration of EDs	N/A	N/A
B.2.6	Executive Share Options scheme	N/A	N/A
B.2.7	EDs' remuneration	Adopted	Corporate Governance
B.2.8	Compensation commitments	N/A	N/A
B.2.9	Remuneration Committees should, within legal constraints, tailor their approach in early termination cases to the relevant circumstances.	N/A	N/A
B.2.10	Levels of remuneration for NEDs	Adopted	Corporate Governance

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Reference	Principle	Adoption Status	Section in Annual Report
B.3 Disclosure of Remuneration			
B.3.1	Composition of Remuneration Committee, Remuneration Policy and disclosure of aggregate remuneration paid to directors	Adopted	Remuneration Committee Report / Financial Statements – Note No. 32.2
C. Relations with Shareholders			
C.1 Constructive Use and Conduct of Annual General Meeting			
C.1.1	Notice of the AGM and Related Documents	Adopted	Notice of Meeting
C.1.2	Separate resolution for all separate issues at the AGM	Adopted	Notice of Meeting
C.1.3	Use of Proxy Votes	Adopted	Notice of Meeting
C.1.4	Availability of Board Sub-Committee Chairmen at AGM	Adopted	Notice of Meeting
C.1.5	Summary of procedures governing voting at the AGM	Adopted	Notice of Meeting
C.2 Communication with Shareholders			
C.2.1 - C.2.7	◈ Channel to reach all shareholders ◈ Policy and methodology for communication with shareholders ◈ How the above policy & methodology is implemented ◈ Contact person for shareholder matters ◈ The process to make all Directors aware of major issues and concerns of shareholders ◈ Person to contact in relation to Shareholder matters ◈ Process of responding to shareholder matters	Adopted	Corporate Governance
C.3 Major and Material Transactions			
C.3.1	Disclosure of major and material transactions	Adopted	Notes to Financial Statements
C.3.2	Compliance with the disclosure requirements and the shareholder approval by special resolution	Adopted	Notes to Financial Statements
D. Accountability & Audit			
D.1 Financial and Business Reporting			
D.1.1	Present a balanced and understandable assessment of the Company's financial position, performance, and prospects, interim reports, price-sensitive public reports, regulatory reports, and statutory information requirements	Adopted	Chairman's and MD's Review / Financial Statements / Corporate Governance / Enterprise Risk Management
D.1.2	The Board's responsibility to present balanced and understandable information	Adopted	Statement of Directors' Responsibility / Financial Statements / Corporate Governance / Enterprise Risk Management
D.1.3	Declaration from the Chief Executive Officer and Chief Financial Officer	Adopted	Statement of Directors' Responsibility / Financial Statements / Corporate Governance / Enterprise Risk Management
D.1.4	Directors' Report in the Annual Report	Adopted	Statement of Directors' Responsibility / Financial Statements / Corporate Governance / Enterprise Risk Management

Reference	Principle	Adoption Status	Section in Annual Report
D.1.5	Responsibilities of the Board for the preparation and presentation of Financial Statements and the statement by the Auditors about their reporting responsibilities	Adopted	Statement of Directors' Responsibility/ Auditors' Report
D.1.6	Include a Management Discussion & Analysis	Adopted	Please refer the Management Discussion and Analysis on pages 24 to 26
D.1.7	Notify shareholders in case net assets of the company fall below 50% of the value of the Company's shareholders funds	N/A	N/A
D.1.8	Disclosure of Related Party transactions	Adopted	Notes to the Financial Statements Note No. 32
D.2 Risk Management and Internal Control			
D.2.1	Directors to review risk management and internal controls	Adopted	Report of the Audit Committee
D.2.2	Disclosures in the annual report on risk management and internal controls	Adopted	Statement of Directors' Responsibility / Financial Statements / Corporate Governance / Enterprise Risk Management
D.2.3	Internal Audit function	Adopted	Corporate Governance
D.2.4	Review of effectiveness of the risk management and internal controls	Adopted	Audit Committee/ Enterprise Risk Management / Statement of Directors' Responsibility
D.2.5	Responsibilities of Directors in maintaining a sound system of internal control	Adopted	Statement of Directors' responsibility
D.3 Audit Committee			
D.3.1	Composition of the Audit Committee	Adopted	Corporate Governance / Report of the Audit Committee
D.3.2	Duties of the Audit Committee and Terms of Reference for the Audit Committee	Adopted	Corporate Governance / Report of the Audit Committee
D.3.3	Disclosures regarding the Audit Committee	Adopted	Corporate Governance / Report of the Audit Committee
D.4 Related Party Transactions Review Committee			
D.4.1	A related party and related party transactions will be as defined in LKAS 24	Adopted	Financial Statements / Report of the related Party Transactions Review Committee
D.4.2	Related Party Transactions Review Committee (RPTRC)	Adopted	Report of the Related Party Transactions Review Committee
D.4.3	Terms of Reference of the Related Party Transactions Review Committee (RPTRC)	Adopted	Report of the Related Party Transactions Review Committee
D.5 Code of Business Conduct and Ethics			
D.5.1	Disclosure of Code of Business Conduct & Ethics	Adopted	Corporate Governance
D.5.2	The process to ensure that material and price-sensitive information is promptly identified and reported.	Adopted	Corporate Governance
D.5.3	Policy and process to ensure for monitoring and disclosure of shares purchased by any Director, Key Management Personnel or any other employee involved in financial reporting	Adopted	Corporate Governance

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Reference	Principle	Adoption Status	Section in Annual Report
D.5.4	Affirmation Statement by the Chairman	Adopted	Chairman's Report
D.6 Corporate Governance Disclosures			
D.6.1	Corporate Governance Report	Adopted	Corporate Governance
E. Institutional Investors			
E.1 Shareholder Voting			
E.1.1	Encourage voting at AGM Regular structured dialogues with institutional investors	Adopted	Corporate Governance
E.2 Evaluation of Governance Disclosures			
E.2	Encourage institutional investors to give due weight to relevant governance arrangements	Adopted	Corporate Governance
F. Other Investors			
F.1 Investing/Divesting Decision			
F.1	Individual shareholders are encouraged to do their own analysis or seek independent advice	Adopted	Corporate Governance
F.2 Shareholder Voting			
F.2	Encourage shareholders to participate and vote at the General meetings	Adopted	Corporate Governance
G. Internet of Things and Cyber Security			
G.1 – G.1.5	Internet of Things and Cyber Security	Adopted	Enterprise Risk Management
H. Environment, Society and Governance			
H.1-H.1.5	Environment, Society, and Governance	Adopted	Integrated Reporting Framework/ Management Discussion & Analysis/ Corporate Governance/Enterprise Risk Management

RISK MANAGEMENT

Risk management is an ongoing process facilitating constant review of external and internal developments and their impact on operations in the short, medium, and long term. In the current volatile business environment, it is imperative that the Group anticipates future challenges and addresses its risks strategically, through a robust risk management framework.



OUR APPROACH TO RISK MANAGEMENT

The Group adopts a structured and proactive approach to risk management that facilitates the identification of risks as well as opportunities for growth, service excellence and differentiation at a broader ecological, political and socio-economic frame, with inbuilt and flexible response mechanisms. As a business that is exposed to both domestic and global influences, the Group also closely monitors emerging global trends that could potentially disrupt the company's strategic plans through changes in the commodity market.

The Board is cognisant of the importance of effective risk management to safeguard shareholder assets and to facilitate long-term wealth creation for all stakeholders. The overall risk management process is continuously evaluated to reflect the rapidly changing nature of the operating landscape and to ensure the attainment of strategic objectives.

The Company has developed an effective Risk Management Framework (RMF) based on the Three Lines of Defense model. The Three Lines of Defense model, which is an international standard, enables the Company to harness different perspectives in defining risks and their impacts, while allowing to draw upon a wide range of skills for managing risks. The RMF is a continuous safeguard which is always active and operational in the day-to-day operations of the company as it permeates the width and breadth of the Organisation.

RISK GOVERNANCE

A strong risk governance system allows oversight of and accountability for risk at all levels and across all risk types. The Group's risk governance framework facilitates segregation of responsibilities, objective oversight by the Board and high levels of risk awareness by business owners, ensuring that the Group effectively identifies, measures, and monitors risks across the Organisation.

As the highest decision-making body of the Company, the Board of Directors is the final authority for determining the nature and extent of the significant risks the Company is willing to take and ensures that these risks are managed effectively. The Board is assisted in the discharge of duties by the Audit Committee, which reviews the effectiveness of the Company's risk management and internal control systems on an annual basis.

Regular risk reporting to the Board ensures that risks are monitored on an ongoing basis. For clarity and transparency within the risk management process, the Company has adopted a formal board-approved, documented risk management process, which stipulates the procedures for identification, analysis, evaluation, treatment, management, and communication of the material risks.

Our Risk Management Structure



RISK APPETITE

The Group has a formal risk appetite statement that defines the level of risk the Board is willing to accept, in achieving its strategic objectives. It provides oversight and consistency in the level of risk taken by the Group as a whole and ensures that risk-return dynamics are appropriately managed at all times. Risk appetites are regularly reviewed and refined in line with strategic cost-benefit objectives and the ability to absorb risk.

THE RISK MANAGEMENT PROCESS

The risk management process encompasses continuously monitoring the systematic and unsystematic risk landscape, identifying and prioritising risks based on a weighted scoring system, developing risk responses, and executing the risk management strategy. The overall risk management framework is strengthened through the adoption of

RISK MANAGEMENT CONTD.

the 3-Lines of Defence model, as the risk response and monitoring of risk receives close attention from specific risk owner groups.

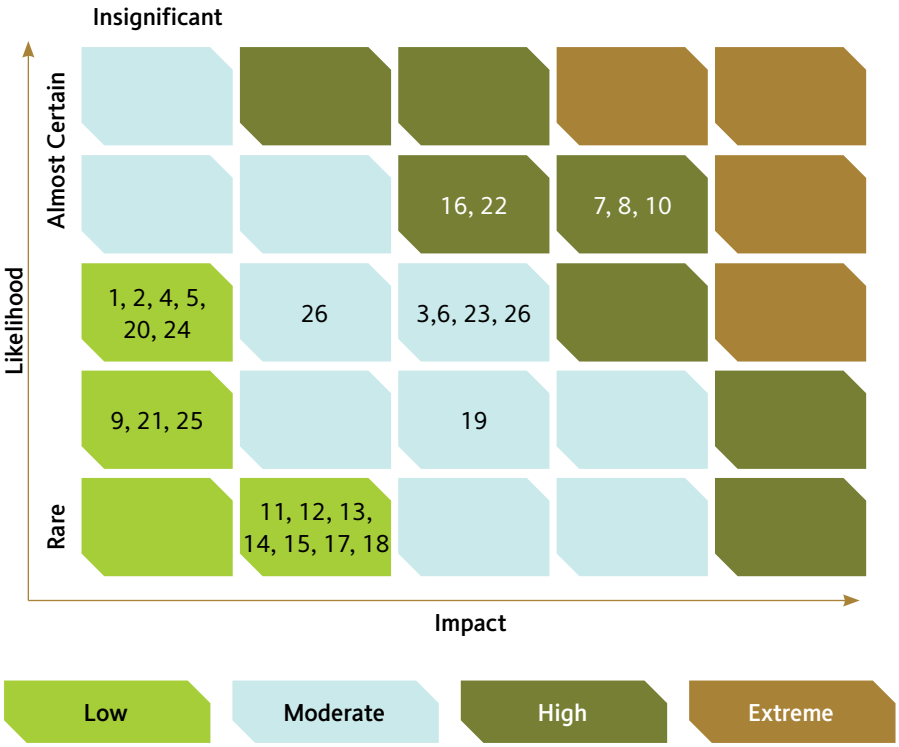


1. Risk Identification

Regular and continuous consultations between the CEO and Key Management personnel from different functional units ensure comprehensive coverage of the risk landscape. Identified risk elements are reviewed by the Senior Management team and the Audit Committee against the Group's strategic and tactical targets and stakeholder expectations.

2. Assessment and Analysis

Existing and emerging identified risks are mapped and rated based on the likelihood and potential level of impact as depicted below.



3. Response Planning and Execution

A practical response to each identified risk will be developed, in line with the chosen risk management approach. This responsibility lies with the respective risk owners. The Group will ensure there is sufficient flexibility to respond to risks and adequate resources to mitigate risks.

A robust risk culture is essential for effective risk management within the Group. While internal controls for risk management will be scrutinised by internal and external audit functions, it is crucial to understand that these controls can only minimise the consequences of occurrence based on impact and likelihood. They cannot eliminate the risk entirely.

Group Policies will ensure that fundamental risks in their department are identified, assessed, monitored, and incorporated in the Risk Register. Emerging risks will be added as required, and actions and controls put in place to mitigate them and provide assurance to the Board.

4. Control and Monitor

Monitoring risk exposure is the collective responsibility of the respective risk owners and the senior management team. The Internal Audit function is responsible for aspects of the annual review of the effectiveness of the internal control system within the Organisation, while the external audit function provides feedback to the Audit Committee on the operation of the adequacy and effectiveness of the internal control system within the Organisation. Assurance on the effectiveness of the Group's overall risk management framework and internal controls is provided by the Statement of Internal Controls.

5. Risk Reporting

Tracking the Group's risk exposures and ensuring that risk management strategies and internal controls are adequate in design and implementation through well-defined reporting structures and monitoring mechanisms.

RISK UNIVERSE

The Group's key risks can be categorised as follows.

In an increasingly challenging business landscape, we constantly monitor, manage and mitigate both current and emerging risks to ensure the sustainability of our business. The table below provides a summary of the potential impacts, mitigation mechanisms, and risk scorings for the year under review.

S/N	Type of Risk & Impact	Implications	Risk Mitigation	Net Risk Assessment			
				2023/24	2022/23	2021/22	2020/21
Market Risk							
1.	Changes in commodity prices – Cyclical price changes globally and locally.	◈ Direct impact on revenue ◈ Vulnerable to credit exposure of clients	◈ Consistently tracking market forces ◈ Achieving differentiation by focusing on quality of service ◈ Proactive client guidance on manufacturing	Low	Low	Low	Extreme
2.	Competition and potential loss of clients - increasing competitive pressures	◈ Loss of market share ◈ Impact on profitability ◈ Negative impact on cash flows	◈ Nurturing long-term relationships with clients ◈ Developing a broad client portfolio ◈ Close monitoring of competitor behaviour and client trends ◈ Continuous improvement of the service model ◈ Long-term investment in business diversification	Low	Low	Moderate	Moderate
3.	Closure of client factories	◈ Impact on profitability ◈ Increased provisions ◈ Negative impact on cash flows	◈ Proactive monitoring and tight control over client advances ◈ Tracking green leaf intake and quantities at factories ◈ Monitoring factory compliance with relevant SLTB regulations	Moderate	Moderate	Low	Moderate
4.	Demand for Tea/ Rubber/Other Commodity Industries – Emerging Global Trends that have an impact on the business. Increase in global inflation rates.	◈ Impact on profitability	◈ Continuous market research and knowledge sharing with producer clients ◈ Generating diversified income streams beyond broking	Low	Moderate	Moderate	Low

RISK MANAGEMENT CONTD.

S/N	Type of Risk & Impact	Implications	Risk Mitigation	Net Risk Assessment			
				2023/24	2022/23	2021/22	2020/21
5.	Interest Rate Risk- Increasing interest rates Shortage of liquidity in banking sector.	◈ Impact on profitability through rising funding costs	◈ Timely review of lending rates and proactive negotiations with financial institutions ◈ Effective treasury management to ensure borrowing costs are minimised ◈ Compliance with CBA regulations prohibiting rate-based competition in lending ◈ Building Company reserves	Low	High	Moderate	Low
6.	Exchange Rate Risk	◈ Impact on profitability	◈ Proactive monitoring of the exchange rate	Moderate	High	High	Moderate
Political and Economic Risk							
7.	Government Policy Change Risk – Political instability and sudden changes to fiscal and monetary policies by the government.	◈ Impact on costs and profitability ◈ Impact on budgets and targets	◈ Seeking advice from professional bodies/ consultancy firms ◈ Discussions with relevant authorities for exemptions/ rulings with the support of CBA	High	Extreme	Extreme	High
8.	Geopolitical Risk - Disruptions to trade caused by sanctions on the supply chain.	◈ Loss of markets impacting profitability ◈ Going concern issues	◈ Analysing global and national trends to advise clients on marketing and product strategies for the global market ◈ Launching national marketing campaigns to promote Ceylon Tea in emerging markets ◈ Providing leadership to national initiatives	High	High	High	High
9.	Rising global conflicts	◈ Emerging threats to Ceylon tea's market share ◈ Impact on profitability ◈ Increase in cost of logistics	◈ Engaging with all stakeholders to increase awareness ◈ Supporting clients to manufacture tea in demand to mitigate risk	Low	-	-	-

S/N	Type of Risk & Impact	Implications	Risk Mitigation	Net Risk Assessment			
				2023/24	2022/23	2021/22	2020/21
Operational Risk							
10.	Credit Risk - Potential loss of earnings and cash flow of clients to fulfil their financial obligations to the group due to market disruptions.	◈ Impact on profitability ◈ Increased bad debt provisions ◈ Going concern issues	◈ Revising client lending procedures and tracking ◈ Close monitoring through credit committee and automated processes for evaluation ◈ Acting within the legal framework to maximise the recoverability of client advance portfolios ◈ Maintaining close relationships with clients with continual inspection and monitoring ◈ Using CBA communication to enhance broker collaboration and prevent borrower defaults ◈ Evaluation of IRD protocols on bad debts	High	High	High	Moderate
11.	Liquidity, leverage, and increased credit exposure risk of the Company	◈ Claims by fund providers ◈ Disruption to the client advancing operation	◈ Maintaining an optimal Debt/Equity ratio as per Company policy ◈ Effective cash management with regular review ◈ Building company reserves ◈ Enhanced fundraising ability due to the availability of collateral	Low	Low	High	Low
12.	Fraud risk - Potential financial and reputational losses arising from frauds within the organisation	◈ Impact on Profitability	◈ Continuous review and strengthening of internal controls ◈ Updating procedure manual with internal controls for quantitative and qualitative measurements ◈ Implementing delegation of authorities, segregation of duties, and access controls	Low	Low	Low	Low

RISK MANAGEMENT CONTD.

S/N	Type of Risk & Impact	Implications	Risk Mitigation	Net Risk Assessment			
				2023/24	2022/23	2021/22	2020/21
13.	Compliance related risks - Regulatory and reputational risks arising from non-compliance with regulatory requirements	◈ Impact on reputation ◈ Going concern issues ◈ Fines and charges	◈ Appointing a Compliance Officer to maintain independent supervisory functions ◈ Conducting periodic reviews on compliance through internal audit and the implementation of ISO Audit ◈ Continuous engagement with the Sri Lanka Tea Board (SLTB) ensuring compliance with the requirements of other regulatory bodies ◈ Including the CTTA and CBA and ensuring the company and the clientele are operating within the legal environment ◈ Consulting professionals and specialists to provide guidance and direction to ensure compliance in transactions entered ◈ Maintaining an effective Corporate Governance structure	Low	Low	Low	Low
14.	Manual documents related data breaches / sabotage / burglary and theft	◈ Loss of sensitive information ◈ Loss of security documents ◈ Impact on profitability	◈ Storing sensitive data in secured locations (safes/ lockers) ◈ Limiting access to authorised personnel ◈ Maintaining additional backups as soft copies on cloud/other backup solutions ◈ Positioning security personnel on duty, 24/7 CCTV surveillance	Low	Low	Low	Low

S/N	Type of Risk & Impact	Implications	Risk Mitigation	Net Risk Assessment			
				2023/24	2022/23	2021/22	2020/21
15.	Public Liability	◈ Loss of reputation ◈ Legal issues ◈ Financial challenges	◈ Implementing health and safety policies ◈ Obtaining comprehensive insurance covers ◈ Maintaining a high industry reputation with a supportive organisational culture ◈ Maintaining an effective Corporate Governance structure	Low	Low	Low	Low
Human Resources (HR) Risk							
16.	People related risk - Risks arising from inability to retain staff, shortage of skilled workers, lack of adequate training, and inadequate standards of performance. Loss of talent due to migration.	◈ Loss of market share ◈ Loss of industry reputation	◈ Creating a motivating work environment ◈ Investing in employee training to adapt to changing environments ◈ Providing competitive remuneration schemes ◈ Implementing structured and comprehensive HR policies and frameworks	High	Low	Low	Low
17.	Communication and failed awareness of HR policies & procedures - Lack of knowledge of HR policies and procedures, user level authorisation for time and attendance system.	◈ Issues related to discipline productivity, and lack of teamwork	◈ Conducting programmes to educate employees about their corporate values including duties and responsibilities ◈ Becoming a member of the Employers' Federation of Ceylon ◈ Conducting HR training programmes ◈ Promoting a culture of rewarding performance	Low	Low	Low	Low
18.	Lack of succession planning framework.	◈ Going concern issues	◈ Implementing a succession plan ◈ Providing career advancement opportunities through the development of talent	Low	Low	Low	Low

RISK MANAGEMENT CONTD.

S/N	Type of Risk & Impact	Implications	Risk Mitigation	Net Risk Assessment			
				2023/24	2022/23	2021/22	2020/21
Information Technology (IT) Risks							
19.	Data integrity and IT-related risks – Data Access/ modification by unauthorised persons /loss of data/ data entry errors and sampling errors.	◈ Loss of reputation ◈ Loss of sensitive data ◈ Loss of clients ◈ Compliance issues	◈ Continuous development of IT resources ◈ Implementation of robust data security measures and backup systems ◈ Outsourcing of key IT functions to specialists to ensure a high level of competence in this dynamic business environment ◈ Introduction of multiple platforms for delivering data to clients ◈ Conducting periodic Information System audits by engaging professionals in the industry ◈ Departmental cross-checking and upgrading the ERPs to current versions ◈ Implementation of the e-platform for the auction has enabled data to be mirrored and stored in a cloud-based system	Moderate	Low	Low	Low
20.	Computer Hardware / Software / Communication / Connectivity failures.	◈ Loss of reputation ◈ Loss of clients' trust ◈ Compliance issues ◈ Timely reporting issues ◈ Disruption to work	◈ Implementation of a data recovery plan ◈ Staying current with technological advancements ◈ Investments in ICT hardware and software to facilitate an uninterrupted auction process ◈ Continuous software updates and bug resolution	Low	Low	Low	Moderate

S/N	Type of Risk & Impact	Implications	Risk Mitigation	Net Risk Assessment			
				2023/24	2022/23	2021/22	2020/21
Health and Safety Risk							
21.	Rising incidence of infection diseases – risk of new variants.	◈ Protection of Employees and ensuring business continuity ◈ Pressure on the business will erode margins and profits ◈ Reduce worker productivity ◈ Disrupt domestic value chain	◈ Conducting weekly e-auctions and digital communication ◈ Following guidelines issued by the Health Ministry, Health Authorities, and the Infections Control Unit on the pandemic to safeguard staff ◈ Implementation of the Business Continuity Plan ◈ Facilitating work from home to reduce the use of public transport	Low	Low	Low	Moderate
Other Risks							
22.	Risks of Climate Change- Agrochemical shortages have weakened tea and rubber plants, making them more vulnerable to the effects of climate change. Government fertiliser-related policies and high costs have made crops more vulnerable. Rising temperatures, erratic weather patterns, and soil degradation have also affected the quality and quantity of tea produced.	◈ Impact on profitability ◈ Disruption to the value chain and market demand	◈ Diversification of the business portfolio (Other Commodities and 3PL warehousing) ◈ Providing advisory services to RPCs and smallholders on sustainable agricultural practices ◈ Maintaining a clientele representing all three elevations to reduce the risk of low production ◈ Contributing to industry policy institutions ◈ Representation in diversified economic regions ◈ Engaging with stakeholders and informing clients	High	High	High	Moderate

RISK MANAGEMENT CONTD.

S/N	Type of Risk & Impact	Implications	Risk Mitigation	Net Risk Assessment			
				2023/24	2022/23	2021/22	2020/21
23.	Natural and man-made disasters- Disasters due to human error/ negligence and natural disasters such as floods, landslides etc. affect both the Company and its clients.	◈ Growing frequency of weather-related events ◈ Impact on profitability ◈ Loss of goods	◈ Implementing the Business Continuity Plan ◈ Training and regulations ◈ Comprehensive insurance cover extending to the weekly evaluation of tea stock ◈ Action plans and instructions in place for potential environmental changes ◈ Implementing security systems, fire drills, and fire detectors to avoid man-made disasters ◈ Contribution to national initiatives	Moderate	Moderate	Moderate	Moderate
24.	Miscommunication of buyer/ seller orders	◈ Loss of reputation ◈ Loss of clients ◈ Impact on Profitability	◈ Using new technology for the auction ◈ Introduction of digital platforms for processing ◈ Having proper checking mechanisms in departments ◈ Crosschecking with catalogues of marketing officers ◈ Continuous improvement of systems	Low	Low	Low	Low
25.	Loss of viable opportunity.	◈ Loss of potential profit	◈ Fostering an open-minded culture that embraces new opportunities ◈ Tracking trades ◈ Obtaining membership in the Ceylon Chamber of Commerce ◈ Participation in international events ◈ Promoting the corporate brand name to attract offers	Low	Low	Low	Moderate

S/N	Type of Risk & Impact	Implications	Risk Mitigation	Net Risk Assessment			
				2023/24	2022/23	2021/22	2020/21
26.	Business in a single geographical location.	◈ Adverse environmental and economic effects on the operating geographical location	◈ Seeking international opportunities ◈ Representing the Company in offshore events ◈ Establishing the head office and the warehouse in two geographical locations ◈ Exploring offshore activities ◈ Diversifying client distribution ◈ Obtaining an overseas insurance cover for SRCC and terrorism ◈ Using software system backups ◈ Using technology to promote work from home	Moderate	Low	Moderate	Moderate

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

The Directors of Asia Siyaka Commodities PLC have the pleasure in presenting their Annual Report together with the Audited Financial Statements of the Company and the Consolidated Financial Statements of the Company and its subsidiaries for the year ended 31st March 2024.

GENERAL

Asia Siyaka Commodities PLC is a public limited liability company which was incorporated under the Companies Act No. 17 of 1982 as a private limited company on 16th February 1998. The Company was re-registered under the Companies Act. No. 07 of 2007 on 30th April 2008 and was subsequently converted to a public limited liability company on 28th March 2012 and listed on the Colombo Stock Exchange on 12th September 2012. The registration number of the Company is PV3562PB/PQ.

PRINCIPAL ACTIVITIES OF THE COMPANY AND REVIEW OF PERFORMANCE DURING THE YEAR

The principal activities of the Company are carrying on the business of Tea Brokers, Produce Brokers, Auctioneers, Appraisers, Valuers, Commission Agents and General Agents.

The business of the subsidiary company, Asia Siyaka Warehousing (Private) Limited is providing warehousing facilities for clients of the parent and other selected third parties. Siyaka Produce Brokers (Private) Limited a fully owned subsidiary of the Company did not engage in any business activities during the year.

A review of the business of the Company and its subsidiaries performance during the year with comments on financial results, future strategies and prospects are contained in the Managing Director's Report on pages 12 and 13, which form an integral part of this Report.

This Report together with the Financial Statements, reflect the state of affairs of the Company and its subsidiary Companies.

FINANCIAL STATEMENTS

The complete Financial Statements of the Company and the Consolidated Financial Statements of the Company and its subsidiaries, duly signed by two Directors on behalf of the Board are given on pages 82 to 124.

AUDITORS' REPORT

The Report of the Independent Auditors on the Financial Statements of the Company and its subsidiaries is given on page 78.

ACCOUNTING POLICIES

The Financial Statements of the Company and the Consolidated Financial Statements have been prepared in accordance with the Sri Lanka Financial Reporting Standards (SLFRS / LKAS) and the policies adopted thereof are given on pages 88 to 124 Figures pertaining to the previous periods have been re-stated where necessary to conform to the current year's presentation.

DIRECTORS

The names of the Directors who held office as at the end of the accounting period are given below and their brief profiles appear on pages 14 to 16.

NAME OF DIRECTOR

Executive Directors

Mr. A R Cooke	Managing Director
Mr. D J Wedande	Director
Mr. S G Amarasuriya	Director
Mr. Y Kuruneru	Director/Chief Executive Officer
Mr. R C Dissanayake	Director/Chief Operating Officer

Non-Executive Directors

Mr C L de Silva*	Chairman (Appointed w.e.f. 23.06.2023)
Mr. S T Gunatilleke	Director (Retired w.e.f. 31.07.2024)
Mr. H R V Caldera	Director (Retired w.e.f. 02.04.2024)
Mr. J N Dambawinne	Director
Mr. A Vaithylingam*	Director
Mr. M R Morris*	Director
Ms. R.Rajapaksa*	Director (Appointed w.e.f. 06.08.2024)

* Independent Non-Executive Directors as per the Listing Rules of the Colombo Stock Exchange.

Mr. M R Morris retires by rotation at the conclusion of the Annual General Meeting in terms of Article 87(i) of the Articles of Association and being eligible is recommended by the Directors for reelection.

To elect Ms. R Rajapaksa in terms of Article 94 of the Articles of Association, as a Director of the Company.

DIRECTORS OF SUBSIDIARY COMPANIES

Asia Siyaka Warehousing (Private) Limited

Mr. C L de Silva
Mr. A R Cooke
Mr. D J Wedande
Mr. Y Kuruneru
Mr. A Vaithylingam
Mr. R C Dissanayake
Mr. M R Morris
Mr. E M Diaz

Siyaka Produce Brokers (Private) Limited

Mr. D J Wedande
Mr. A R Cooke
Mr. S G Amarasuriya
Mr. V L T Perera

COMPOSITION OF THE BOARD

The Board of Asia Siyaka Commodities PLC comprises ten members of whom five are Non -Executive Directors. Five members of the Board serve as Executive Directors.

INTEREST REGISTER

The Company maintains an interests register in terms of the Companies Act, No. 7 of 2007, which is deemed to form part and parcel of this annual report and available for inspection upon request.

The relevant interests of Directors in the shares of the Company as at 31st March 2024 as recorded in the interests register are given in this report under Directors' shareholding.

RELATED PARTIES' TRANSACTIONS WITH THE COMPANY

All related party transactions which encompasses the transactions of Directors who were directly or indirectly interested in a contract or a related party transaction with the Company during the accounting period are recorded in the interests register in due compliance with the applicable rules and regulations of the relevant regulatory authorities.

Transactions of related parties (as defined in LKAS 24 - Related Parties Disclosure) with the Company are set out in Note 32 to the financial statements.

The Directors declare that the Company is in compliance with Rule 9 of the Listing Rules of the Colombo Stock Exchange pertaining to Related Party Transactions during the year ended 31st March 2024.

DIRECTORS' REMUNERATION

The Directors' remuneration is disclosed under key management personnel compensation in Note 32.2 to the Financial Statements on page 121.

DIRECTORS' RESPONSIBILITY FOR FINANCIAL REPORTING

The Directors are responsible for the preparation of Financial Statements of the Company and the Group to reflect a true and fair view of the state of its affairs. A further statement in this regard is included on page 72.

AUDITORS

Messrs Ernst & Young, Chartered Accountants served as the Auditors during the year under review and also provided non audit/ consultancy services. They do not have any interest in the Company other than that of Auditor and provider of tax related services.

A total amount of Rs. 1,200,813/- is payable by the Company to the Auditors for the year under review comprising Rs. 834,912/- as audit fees and Rs. 365,902/- for non-audit services.

The Auditors have expressed their willingness to continue in office. The Audit Committee at a meeting held on 23 August 2024 recommended that they be re-appointed as Auditors. A resolution to re-appoint the Auditors and to authorise the Directors to determine their remuneration will be proposed at the Annual General Meeting.

Details of payments to Auditors of Subsidiary companies on account of audit fees and for permitted non-audit services are set out in Note 23 to the Financial Statements on page 114.

STATED CAPITAL

The Stated Capital of the Company as at 31st March 2024 was Rs.100,000,000/- represented by 260,000,000 ordinary shares. There were no changes in the Stated Capital of the Company during the year.

DIRECTORS' SHAREHOLDING

The relevant interests of Directors in the shares of the Company as at 31st March 2024 and 31st March 2023 are as follows.

	Shareholding as at 31/03/2024	Shareholding as at 31/03/2023
Mr. C L de Silva	-	-
Mr. A R Cooke	9,747,143	9,747,143
Mr. D J Wedande	8,403,067	8,403,067
Mr. S T Gunatilleke* (Resigned w.e.f 31.07.2024)	130,000	130,000
Mr. S G Amarasuriya**	-	-
Mr. Y Kuruneru	2,499,063	2,499,063
Mr. J N Dambawinne**	-	-
Mr. R C Dissanayake	1,279,808	1,279,808
Mr. A Vaithylingam	-	-
Mr. M R Morris**	-	-
Ms. R.Rajapaksa	-	-

*Mr. S T Gunatilleke is the Chairman of Lanka Commodity Brokers Limited, which holds 132,678,464 shares constituting 51.03% of the issued shares of the Company. He resigned on 31.07.2024.

**Messrs. J N Dambawinne, S G Amarasuriya and M R Morris serve as Directors of Lanka Commodity Brokers Limited.

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY CONTD.

SHAREHOLDERS

There were 2,107 shareholders registered as at 31st March 2024. The details of distribution are given on page 126 of this Report.

MAJOR SHAREHOLDERS, DISTRIBUTION SCHEDULE AND OTHER INFORMATION

Information on the distribution of shareholding, analysis of shareholders, market values per share, earnings, dividends, net assets per share, twenty largest shareholders of the Company, public holding as per the Listing Rules of the Colombo Stock Exchange are given on pages 125 and 126 under Share Information of the Company.

RESERVES

The reserves of the Company with the movements during the year are given in the Statement of Changes in Equity on page 85.

LAND HOLDINGS

The Company does not own any freehold land or buildings.

PROPERTY, PLANT & EQUIPMENT

Details and movements of property, plant and equipment are given under Note 3 to the Financial Statements on page 98.

INVESTMENTS

Details of the Company's quoted and unquoted investments as at 31st March 2024 are given in Note 5 to the Financial Statements on page 102.

DONATIONS

The Company made donations amounting to Rs. 4,343,247 in total, during the year under review.

DIVIDENDS

The Company paid a First Interim dividend of Twenty Cents (Cents 20) per share for the year ended 31st March 2024 on 16th November 2023. A Final Dividend of Twenty-Five Cents (Cents 25) per share for the year ended 31st March 2024 was declared and paid on 28th May 2024.

RISK MANAGEMENT

An ongoing process is in place to identify and manage the risks that are associated with the business and operations of the Company. The Directors review this process through the Audit Committee.

Specific steps taken by the Company in managing the risks are detailed in the section on Risk Management on pages 57 to 67.

There were no material issues pertaining to employees and industrial relations of the Company during the year.

STATUTORY PAYMENTS

The Directors confirm that to the best of their knowledge, all taxes, duties and levies payable by the Company, all contributions, levies and taxes payable on behalf of, and in respect of employees of the Company and all other known statutory dues as were due and payable by the Company as at the Reporting date have been paid or, where relevant provided for, except for certain assessments where appeals have been lodged.

CONTINGENT LIABILITIES

Except as disclosed in Note 29 to the Financial Statements on page 119 there were no material Contingent Liabilities as at the Reporting date.

EVENTS OCCURRING AFTER THE REPORTING DATE

Except for the matters disclosed in Note 31 to the Financial Statements on page 120 there are no material events as at the date of the Financial Statements which require adjustment to the Financial Statements.

CORPORATE GOVERNANCE

The Board of Directors confirm that the Company is compliant with Section 7.10 and Section 9 of the Listing Rules of the CSE.

The corporate governance of the Company is reflected in its strong belief in protecting and enhancing stakeholder value in a sustainable manner, supported by a sound system of policies and practices. Prudent internal controls ensure professionalism, integrity and commitment of the Board of Directors, Management and employees.

The Corporate Governance Statement on pages 41 to 56 explains the measures adopted by the Company during the year.

An Audit Committee, Remuneration Committee, Nominations and Governance Committee and Related Party Transactions Review Committee function as Board sub committees, with Directors who possess the requisite qualifications and experience. The composition of the said committees is as follows.

AUDIT COMMITTEE

Ms. R Rajapaksa	Chairperson (Appointed w.e.f. 06.08.2024)
Mr. S T Gunatilleke	Chairman (Ceased w.e.f. 31.07.2024)
Mr. C L de Silva	Member
Mr. T. Someswaran	Member (Ceased w.e.f. 01.06.2023)
Mr. A Vaithylingam	Member
Mr. M R Morris	Member

REMUNERATION COMMITTEE

Mr. C L de Silva	Chairman (Appointed w.e.f. 23.06.2023)
Mr. A Vaithylingam	Member
Mr. M R Morris	Member
Mr. S T Gunatilleke	Member (Ceased w.e.f. 31.07.2024

NOMINATIONS AND GOVERNANCE COMMITTEE

Mr. C L de Silva	Chairman (Appointed w.e.f. 23.06.2023)
Mr. A Vaithylingam	Member
Mr. M R Morris	Member
Mr. S T Gunatilleke	Member (Ceased w.e.f. 31.07.2024)

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

Mr. A Vaithylingam	Chairman
Mr. T Someswaran	Member (Ceased w.e.f. 01.06.2023)
Mr. C L de Silva	Member (Appointed w.e.f. 23.06.2023)
Mr. M R Morris	Member
Ms. R Rajapaksa	Member (Appointed w.e.f. 06.08.2024)

ANNUAL GENERAL MEETING

The Notice of the Annual General Meeting appears on page 130
This Annual Report is signed for and on behalf of the Board of Directors by

A. R. Cooke
Managing Director

Y. Kuruneru
Director

P W Corporate Secretarial (Pvt) Ltd
Secretaries

23 August 2024

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Directors are responsible for preparing the Annual Report and the Consolidated Financial Statements in accordance with the Companies Act, No.7 of 2007 and Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995 and are required to prepare Financial Statements for each financial year, which give a true and fair view of the state of affairs of the Company and its subsidiaries as at the reporting date and the income and expenditure of the Company for the accounting year ending on that reporting date.

The Directors are also responsible in ensuring that the Financial Statements comply with any regulations made under the Companies Act, which specifies the form and content of Financial Statements and any other requirements which apply to the Company's Financial Statements under any other law.

The Directors have ensured that the Financial Statements presented in this Annual Report have been prepared using appropriate accounting policies, consistently applied and supported by reasonable and prudent judgments' and estimates and in compliance with the Sri Lanka Financial Reporting Standards, Companies Act, No.7 of 2007 and the Sri Lanka Accounting and Auditing Standards Act No.15 of 1995.

The Directors are responsible for keeping sufficient accounting records, which disclose with reasonable accuracy the financial position of the Company and its subsidiaries, which will enable them to have the Financial Statements prepared and presented as aforesaid.

They are also responsible for taking measures to safeguard the assets of the Company and its subsidiaries and in that context to have proper regard to the establishment of appropriate systems of internal control with a view to prevention and detection of fraud and other irregularities.

The Directors are also confident that the Company and the group have adequate resources to continue in operation and have applied the going concern basis in preparing the financial statements.

The Directors are of the view that they have discharged their responsibilities as set out in this statement.

By Order of the Board
ASIA SIYAKA COMMODITIES PLC



P W Corporate Secretarial (Pvt) Ltd
Secretaries

23 August 2024

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE REPORT

The Related Party Transactions Review Committee (RPTRC) of the Company was established in November 2015 in accordance with Section 9 of the Listing Rules of the Colombo Stock Exchange to ensure compliance with the Rules in place for independent review, approval and oversight of Related Party Transactions of the Company and with particular emphasis relating to the interests of both major and minor stakeholders alike.

COMPOSITION OF THE COMMITTEE

As at the date of this report, the RPTRC of ASC consists of four (4) Directors. The members of the Committee during the year were:

Mr. A Vaithylingam	Chairman / Independent Non-Executive Director
Mr. T Someswaran (Ceased w.e.f. 01.06.2023)	Member / Independent Non-Executive Director
Mr. M R Morris	Member / Independent Non-Executive Director
Mr. C L de Silva (Appointed w.e.f. 23.06.2023)	Member / Independent Non-Executive Director
Ms. R Rajapaksa (Appointed w.e.f. 06.08.2024)	Member / Independent Non-Executive Director

P W Corporate Secretarial (Pvt) Ltd, the Company Secretaries of the Company functions as the Secretary to the Committee.

The Managing Director and the Senior Vice President Finance attend meetings by invitation.

MEETINGS

The Committee met four times during the year under review and the attendance of the Directors at the said meetings is given below.

Name of Director	Total Meetings Attended
Mr. A Vaithylingam	4/4
Mr. T Someswaran	0/1
Mr. M R Morris	4/4
Mr. C. L. de Silva	3/3
Ms. R Rajapaksa*	-

*On 06th August 2024, the Board resolved to appoint Ms. R Rajapaksa as a member of the committee.

CHARTER OF THE RELATED PARTY TRANSACTION REVIEW COMMITTEE

The Charter of the Related Party Transaction Review Committee clearly sets out the purpose, membership, authority and the duties and responsibilities of the Committee.
In order to discharge the duties and responsibilities effectively and efficiently, the Committee has been authorised to:

a) Receive regular reports from the management, and be provided with any information it requests relating to its responsibilities
b) Establish policies and procedures that provide general pre-approvals to certain classes or types of related party transactions
c) Review and evaluate the terms, conditions, and the advisability of, any related party transaction
d) Determine whether the relevant related party transaction is fair, and in the best interest of the Company and its shareholders as a whole
e) Recommend to the Board what action, if any, should be taken by the Board with respect to any related party transaction
f) Obtain advice and assistance from legal, technical, financial and other advisors from within or outside the Company as deemed necessary by the Committee in order to carry out its duties

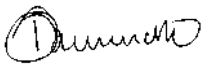
REVIEW OF RELATED PARTY TRANSACTIONS

The Committee reviewed all related party transactions of the Company for the financial year 2023/24 and has communicated its comments and observations to the Board. It was observed that all related party transactions entered during the year were of a recurrent, trading nature and were necessary for the day-to-day operations of the Company.

In the opinion of the Committee, the terms of these transactions were not more favourable to the related parties than those generally available to the public. The details of related party transactions entered into during the year are given in Note 32 to the Financial Statements, on pages 120 to 121 of this Annual Report.

DECLARATION

A declaration by the Board of Directors on compliance with the rules pertaining to related party transactions appears on the report of the Board of Directors on pages 68 and 71 of this Annual Report.



A. Vaithylingam
Chairman - Related Party Transactions Review Committee

23 August 2024

THE REPORT OF THE AUDIT COMMITTEE

Asia Siyaka Commodities PLC Management is responsible for it's internal control and financial reporting including the preparation of consolidated financial statements. Independent Accountants are responsible for auditing the annual consolidated financial statements in accordance with generally accepted auditing standards and ensuring that the financial statements truly and fairly present the results of operations and financial position of the company. The Independent Auditors also responsible for issuing a report on those financial statements. The Audit Committee monitors and oversees these processes. The Audit Committee annually recommends to the Board, for its approval, an independent accounting firm to be appointed as the Company's independent auditors.

To fulfill its obligations the Audit Committee carried out the following activities.

- Reviewed and discussed with the Company's Management and the Independent Auditors, the consolidated financial statements for the accounting year ended 31st March 2024. Reviewed the Management's representations to ensure that the consolidated financial statements are prepared in accordance with generally accepted accounting principles and truly and fairly present the results of operations and financial position of the Company.
- Recommended that the Board select ERNST & YOUNG , Chartered Accountants as Independent Auditors to audit and report on the annual consolidated financial statements of the Company and to forward copies of the Annual Report to the Colombo Stock Exchange prior to the Annual General Meeting.

  Based on the declaration provided by Messrs. Ernst & Young, Chartered Accountants and to the extent that the Directors are aware, the Auditors do not have any relationship with (other than that of the Auditors) or interest in, the Company, which in the opinion of the Board, may reasonably be considered to have a bearing on their independence within the meaning of the Code of Professional Conduct and Ethics issued by The Institute of Chartered Accountants of Sri Lanka as at the Reporting Date.
- Reviewed the procedures for identifying business risk and the management of its impact on the Group. Reviewed the policies, procedures and internal controls for detecting and preventing fraud.
- Reviewed the operational effectiveness and internal controls of the policies, systems and procedures.
- Reviewed and discussed with the Management, the annual and the quarterly financial statements prior to their release, including the extent of compliance with the Sri Lanka Accounting Standards and the Companies Act, No.7 of 2007.
- Reviewed the procedures established by Management for compliance with the requirements of regulatory bodies.

COMPOSITION OF THE COMMITTEE

The members of the Committee during the year were:

Mr. T Someswaran (Ceased w.e.f. 01.06.2023)	Chairman / Independent Non-Executive Director
Mr. S T Gunatilleke (Ceased w.e.f. 31.07.2024)	Chairman / Independent Non-Executive Director
Ms. R Rajapaksa (Appointed w.e.f. 06.08.2024)	Chairperson / Independent Non-Executive Director
Mr. C L de Silva (Appointed w.e.f. 23.06.2023)	Member / Independent Non-Executive Director
Mr. A Vaithylingam	Member / Independent Non-Executive Director
Mr. M R Morris	Member / Independent Non-Executive Director

P.W Corporate Secretarial (Pvt) Ltd, the Company Secretaries of the Company functions as the Secretary to the Committee.

MEETINGS

The Committee met five times during the year under review and the attendance of the Directors at the said meetings is given below.

Name of Director	Total Meetings Attended
Ms. R Rajapaksa*	-
Mr. T Someswaran	0/1
Mr. S T Gunatillke	5/5
Mr. A Vaithylingam	4/5
Mr. M R Morris	4/5
Mr. C L de Silva	4/4

*On 06th August 2024, the Board resolved to appoint Ms. R Rajapaksa as the chairman of the Committee.

CONCLUSION

The Committee is of the view that adequate controls and procedures are in place to provide reasonable assurance that the Company's assets are safeguarded and the financial position of the company is well monitored. The Audit Committee concurs that the adoption of the going concern premise in the preparation of the Financial Statement is appropriate. The Audit Committee recommends to the Board of Directors that the financial statements as submitted be approved.

Audit Committee wishes to express its appreciation of the services rendered by Group Auditors, Messrs. ERNST & YOUNG, Chartered Accountants who have assisted the Audit Committee in discharging its duties and responsibilities.

On behalf of the Audit Committee;



R. Rajapaksa
Chairperson – Audit Committee
23 August 2024

REPORT OF THE REMUNERATION COMMITTEE

The Remuneration Committee is responsible to the Board for recommending remuneration of the Executive Directors including the Managing Director/Chief Executive Officer, and setting the broad parameters of remuneration for Senior Management across the Group.

COMPOSITION OF THE COMMITTEE

Mr. C L de Silva (Appointed w.e.f. 23.06.2023)	Chairman/ Independent Non-Executive Director
Mr. S T Gunatilleke (Resigned w.e.f. 31.07.2024)	Member/ Independent Non-Executive Director
Mr. A Vaithylingam	Member/ Independent Non-Executive Director
Mr. M R Morris	Member/ Independent Non-Executive Director

The Company Secretaries, P W Corporate Secretarial (Pvt) Ltd acts as the Secretaries to the Remuneration Committee.

REMUNERATION POLICY

The remuneration policy aims to attract and retain management with the appropriate professional, managerial and operational expertise necessary to achieve the Group's objectives and create value for our shareholders. A significant portion of executives' total potential remuneration is performance related in order to drive the right behavior to optimize Group performance. The remuneration packages which are linked to individual performances are aligned with the Group's short-term and long-term strategy.

Remuneration levels are reviewed annually by the Remuneration Committee through a process that considers individual, business unit and overall performance of the Group and market practices. The Committee continues to provide analysis and advice to ensure key management personnel remuneration is comparable with market rates. The Committee has the authority to seek external independent professional advice on matters within its purview.

ACTIVITIES

The committee had four (4) meetings during the year, where they reviewed and made recommendations to the Board on salary increments to Executive Directors, Senior Executives of the Company and fees paid to consultants including bonuses and ex-gratia payments to staff.

MEETINGS

The Committee met four times during the year under review and the attendance of the directors at the said meetings is given below.

Name of Director	Total Meetings Attended
Mr. C L de Silva	3/3
Mr. S T Gunatilleke	3/4
Mr. A Vaithylingam	4/4
Mr. M R Morris	4/4

The Directors emoluments are disclosed in Note 32 to the financial statements.

On behalf of the Remuneration Committee;



C. L. de Silva
Chairman – Remuneration Committee

23 August 2024

We believe
in conserving
our unique biodiversity



FINANCIAL STATEMENTS

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FINANCIAL CALENDAR

Financial Calendar	2023/24	2022/23
1st Quarter	14th August 2023	09th August 2022
2nd Quarter	13th November 2023	14th November 2022
3rd Quarter	05th February 2024	10th February 2023
4th Quarter	27th May 2024	31st May 2023

ANNUAL GENERAL MEETINGS

2012/13	Annual Report Published on 30th August 2013 and 01st Annual General Meeting held on 23rd September 2013
2013/14	Annual Report Published on 22nd August 2014 and 02nd Annual General Meeting held on 15th September 2014
2014/15	Annual Report Published on 28th July 2015 and 03rd Annual General Meeting held on 24th August 2015
2015/16	Annual Report Published on 04th July 2016 and 04th Annual General Meeting held on 28th July 2016
2016/17	Annual Report Published on 21st July 2017 and 05th Annual General Meeting held on 14th August 2017
2017/18	Annual Report Published on 31st August 2018 and 06th Annual General Meeting held on 28th September 2018
2018/19	Annual Report Published on 29th August 2019 and 07th Annual General Meeting held on 23rd September 2019
2019/20	Annual Report Published on 06th Oct 2020 and 08th Annual General Meeting held on 28th October 2020
2020/21	Annual Report Published on 07th Sept 2021 and 09th Annual General Meeting held on 30th September 2021
2021/22	Annual Report Published on 06th Sept 2022 and 10th Annual General Meeting held on 30th September 2022
2022/23	Annual Report Published on 04th Sept 2023 and 11th Annual General Meeting held on 25th September 2023

INDEPENDENT AUDITORS' REPORT

Building a better working world

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Chartered Accountants
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INDEPENDENT AUDITORS' REPORT TO THE SHAREHOLDERS OF ASIA SIYAKA COMMODITIES PLC

Report on the audit of the Financial Statements

Opinion

We have audited the financial statements of Asia Siyaka Commodities PLC ("the Company") and the consolidated financial statements of the Company and its subsidiaries ("the Group"), which comprise the statement of financial position as at 31 March 2024, and the statement of comprehensive income and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including material accounting policy information.

In our opinion, the accompanying financial statements of the Company and the Group give a true and fair view of the financial position of the Company and the Group as at 31 March 2024, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Group in accordance with the Code of Ethics for Professional Accountants issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

Partners: D K Hulangamuwa FCA FCMA LLB (London), A P A Gunasekera FCA FCMA, Ms. Y A De Silva FCA, Ms. G G S Manatunga FCA, W K B S P Fernando FCA FCMA, B E Wijesuriya FCA FCMA, R N de Saram ACA FCMA, Ms. N A De Silva FCA, N M Sulaiman FCA FCMA, Ms. L K H L Fonseka FCA, Ms. P V K N Sajeewani FCA, A A J R Perera FCA ACMA, N Y R L Fernando ACA, D N Gamage ACA ACMA, C A Yalagala ACA ACMA, B Vasanthan ACA ACMA

Principals: T P M Ruberu FCMA FCCA MBA (USJ-SL), G B Goudian ACMA, Ms. P S Paranavitane ACA ACMA LLB (Colombo), D L B Karunathilaka ACMA, W S J De Silva Bsc (Hons) - MIS Msc - IT, V Gnanilingam B.Com (Cey), W D P L Perera ACA

A member firm of Ernst & Young Global Limited



We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

Key audit matter	How our audit addressed the key audit matter
Provision for Impairment of Loans and Advances As at 31 March 2024, carrying value of Group Loans and Advances given to Tea Clients amounted to Rs 1,500 Mn, with an accumulated provision for impairment of Rs 233 Mn, as disclosed in Notes 12 to the financial statements. This was a key audit matter due to; ◈ Materiality of the net carrying value representing 38% of the total assets; and ◈ The degree of management assumptions, judgments and estimates associated with evaluating the provision for impairment, as disclosed in Note 12 to the financial statements. The key areas of significant assumptions, judgments and estimates included risk over collection of loans and recovery of advances.	**Our audit procedures included the following:** ◈ Evaluated the reasonableness of credit quality assessments and checked that the disbursements and the recording of Loans and Advances are in accordance with the standard operating procedures for Loans and Advances given to Tea Clients. ◈ Obtained an understanding of the process for impairment assessment for Loans and Advances given to Tea Clients, including compliance with the contractual obligations and subsequent settlements of the Loans and Advances. ◈ Tested the computation of the provision of impairment and assessing the reasonableness of the assumptions and judgements used by the management in evaluating the probability of recoverability. We also assessed the adequacy of the disclosures in notes 2.3.11 (e), 12.1 and 12.2 to the financial statements regarding impairment for Loans and Advances given to Tea Clients.

Other information included in the 2024 Annual Report

Other information consists of the information included in the Annual Report, other than the financial statements and our auditor's report thereon. Management is responsible for the other information.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

INDEPENDENT AUDITORS' REPORT CONTD.

Responsibilities of management and those charged with governance for the financial statement

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgement and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal controls of the Company and the Group.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

Building a better working world

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 1864.

Ernst & Young

23 August 2024
Colombo

STATEMENT OF FINANCIAL POSITION

	Note	Group 2024 Rs.	Group 2023 Rs.	Company 2024 Rs.	Company 2023 Rs.
Assets					
Non-Current Assets					
Property, Plant and Equipment	3	1,219,827,485	1,265,345,876	10,904,104	3,067,164
Rights of Use Asset	6	56,066,527	26,749,036	38,833,463	11,176,747
Intangible Assets	4	684,274	78,699	684,274	78,699
Investments	5	-	-	190,250,000	190,250,000
Investment Property	7	755,727	755,727	755,727	755,727
Other Non-Current Financial Assets	8	8,118,954	9,888,974	8,118,954	9,888,974
Deferred Tax Asset	25	74,663,544	49,815,413	70,176,992	46,930,496
		1,360,116,511	1,352,633,725	319,723,514	262,147,807
Current Assets					
Inventory	10	4,468,834	3,559,577	4,363,173	3,453,916
Trade Receivables	11	886,689,281	805,245,513	835,582,504	741,709,319
Loans and Advances	12	1,500,020,496	1,668,946,771	1,500,020,496	1,668,946,771
Other Current Financial Assets	8	1,084,379	1,760,937	1,084,379	1,568,169
Other Receivables, Prepayments and Advances	9	60,729,169	19,427,522	56,402,634	15,828,989
Short Term Investments		40,556,488	33,283,946	40,556,488	33,283,946
Cash and Cash Equivalents	13	118,679,487	122,878,987	113,209,824	114,966,937
		2,612,228,134	2,655,103,253	2,551,219,498	2,579,758,047
Total Assets		3,972,344,645	4,007,736,978	2,870,943,012	2,841,905,854
Equity and Liabilities					
Capital and Reserves					
Stated Capital	14	100,000,000	100,000,000	100,000,000	100,000,000
Revaluation Reserves		622,313,935	622,313,935	-	-
Revenue Reserves		600,332,014	539,151,841	426,487,394	424,626,540
Total Equity		1,322,645,949	1,261,465,776	526,487,394	524,626,540
Non Current Liabilities					
Retirement Benefit Obligation	15	77,618,812	59,329,464	63,541,703	50,330,931
Lease Liabilities	6	30,203,886	-	35,350,412	7,700,299
Deferred Tax Liability	25	304,780,848	304,773,756	488,232	287,704
Long Term Interest Bearing Borrowings	16	-	10,714,292	-	-
		412,603,546	374,817,512	99,380,347	58,318,934

	Note	Group 2024 Rs.	Group 2023 Rs.	Company 2024 Rs.	Company 2023 Rs.
Current Liabilities					
Trade Payables	17	1,051,112,103	985,050,333	1,105,340,646	999,111,287
Income Tax Payable		29,635,731	38,664,559	27,440,100	32,452,431
Interest Bearing Borrowings on Client Financing	18	886,000,000	990,000,000	886,000,000	990,000,000
Interest Bearing Borrowings	16	10,585,954	64,285,710	-	-
Lease Liabilities	6	5,146,526	2,117,667	7,700,299	4,029,071
Sundry Creditors including Accrued Expenses		88,222,274	107,383,658	52,201,664	49,415,828
Bank Overdrafts	13	166,392,561	183,951,763	166,392,561	183,951,763
		2,237,095,149	2,371,453,690	2,245,075,268	2,258,960,379
Total Liabilities		2,649,698,695	2,746,271,201	2,344,455,618	2,317,279,314
Total Equity and Liabilities		3,972,344,645	4,007,736,978	2,870,943,012	2,841,905,854

These Financial Statements are in compliance with the requirements of the Companies Act No.07 of 2007.



Senior Vice President - Finance

The Board of Directors is responsible for these Financial Statements. Signed for and on behalf of the Board by;



Director



Director

The Accounting Policies and Notes on pages 88 through 124 form an integral part of these Financial Statements.

23 August 2024
Colombo

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

		Group		Company	
		2024	2023	2024	2023
	Note	Rs.	Rs.	Rs.	Rs.
Revenue	19	1,275,474,800	1,292,102,761	920,259,032	967,372,427
Cost of Sales		(1,617,962)	(1,953,286)	(1,617,962)	(1,953,286)
Net Revenue		1,273,856,838	1,290,149,475	918,641,069	965,419,141
Other Income and Gains	20	21,624,702	15,777,423	12,982,410	114,089,050
Distribution Expenses		(121,149,756)	(112,387,225)	(110,818,281)	(102,845,195)
Administrative Expenses		(634,623,859)	(541,747,050)	(371,065,480)	(319,936,653)
Operating Profit		539,707,924	651,792,623	449,739,717	656,726,343
Finance Cost	21	(234,890,556)	(269,985,423)	(230,719,062)	(258,719,004)
Finance Income	22	13,147,948	15,903,441	13,097,342	15,888,481
Net Finance Cost		(221,742,608)	(254,081,982)	(217,621,720)	(242,830,523)
Profit / (Loss) Before Tax	23	317,965,317	397,710,641	232,117,997	413,895,820
Income Tax Expense	24	(108,754,110)	(144,574,725)	(84,778,814)	(99,206,579)
Profit / (Loss) for the year		209,211,207	253,135,915	147,339,179	314,689,241
Other Comprehensive Income for the year, net of tax					
Items that will not be Reclassified Subsequently to Statement of Profit or Loss					
Actuarial Gain / (Loss) for the year	15	(7,187,191)	(5,753,417)	(3,540,465)	(5,317,823)
Tax Effect on Actuarial Gain and Loss	25	2,156,157	1,726,025	1,062,140	1,595,347
		(5,031,034)	(4,027,392)	(2,478,325)	(3,722,476)
Revaluation Surplus		-	309,996,930	-	-
Income Tax Effect	25	-	(113,362,435)	-	-
		-	196,634,496	-	-
Other Comprehensive Income/(Loss) for the year, net of tax		(5,031,034)	192,607,104	(2,478,325)	(3,722,476)
Total Comprehensive Income/(Loss) for the year, net of tax		204,180,173	445,743,019	144,860,854	310,966,765
Basic/Diluted Earnings/ (Loss) Per Share	26	0.80	0.97	0.57	1.21
Dividend Per Share	27	0.55	0.48	0.55	0.48

The Accounting Policies and Notes on pages 88 through 124 form an integral part of these Financial Statements.

STATEMENT OF CHANGES IN EQUITY

Group	Note	Stated Capital Rs.	Revaluation Reserve Rs.	Revenue Reserves Rs.	Total Rs.
Balance as at 1 April 2022		100,000,000	425,679,440	414,843,317	940,522,757
Net Profit for the Year		-	-	253,135,916	253,135,916
Other Comprehensive Income		-	196,634,495	(4,027,392)	192,607,103
Total Comprehensive Income		-	196,634,495	249,108,524	445,743,019
Dividend Paid		-	-	(124,800,000)	(124,800,000)
Balance as at 01 April 2023		100,000,000	622,313,935	539,151,841	1,261,465,775
Net Profit for the Year		-	-	209,211,207	209,211,195
Other Comprehensive Income		-		(5,031,069)	(5,031,069)
Total Comprehensive Income		-	-	204,180,173	204,180,126
Dividend Paid		-	-	(143,000,000)	(143,000,000)
As at 31 March 2024	14	100,000,000	622,313,935	600,332,014	1,322,645,949

Company	Stated Capital Rs.	Revenue Reserves Rs.	Total Rs.
Balance as at 1 April 2022	100,000,000	238,459,775	338,459,775
Net Profit for the Year	-	314,689,241	314,689,241
Other Comprehensive Income	-	(3,722,476)	(3,722,476)
Total Comprehensive Income	-	310,966,765	310,966,765
Dividend Paid	-	(124,800,000)	(124,800,000)
Balance as at 01 April 2023	100,000,000	424,626,540	524,626,540
Net Profit for the Year	-	147,339,179	147,339,179
Other Comprehensive Income	-	(2,478,325)	(2,478,325)
Total Comprehensive Income	-	144,860,854	144,860,854
Dividend Paid	-	(143,000,000)	(143,000,000)
As at 31 March 2024 14	100,000,000	426,487,394	526,487,394

The Accounting Policies and Notes on pages 88 through 124 form an integral part of these Financial Statements.

STATEMENT OF CASH FLOWS

	Note	Group 2024 Rs.	Group 2023 Rs.	Company 2024 Rs.	Company 2023 Rs.
Cash Flows From Operating Activities					
Profit/(Loss) before Income Tax Expense		317,965,317	397,710,641	232,117,997	413,895,820
Adjustment for					
Depreciation and Amortization	3.3, 3.11 & 4	79,019,266	77,767,463	2,278,838	1,529,193
Finance Cost	21	234,890,556	269,985,423	230,719,062	258,719,004
Finance Income	22	(13,147,948)	(15,903,441)	(13,097,342)	(15,888,481)
Gratuity Charge	15.1	13,919,288	13,212,907	11,692,866	11,277,979
(Gain) / Loss on sale of Property, Plant and Equipment	20	(913,564)	(1,064,081)	(411,000)	-
Provision for Impairment of Loans and Advances		58,599,152	59,623,505	58,599,152	59,623,505
Provision for Impairment of Trade Receivables		2,313,536	2,524,041	2,053,331	2,560,600
Bad Debts Written Off		6,031,501	6,586,904	6,031,501	6,451,577
Dividend Income Received		-	-	-	(105,940,790)
Amortization of Right of Use Assets	6	8,719,599	9,236,143	10,380,374	10,914,339
Operating Profit before Working Capital Changes		707,396,702	819,679,506	540,364,778	643,142,746
Decrease / (Increase) in Inventories		(909,257)	973,447	(909,257)	985,597
Decrease / (Increase) in Trade Receivables		(86,203,862)	(58,977,827)	(98,173,141)	(25,807,542)
Decrease / (Increase) in Other Financial Assets		2,446,578	(11,459,722)	2,253,810	(11,394,380)
Decrease / (Increase) in Loans and Advances		104,469,498	(872,688,496)	104,300,052	(872,688,496)
Decrease / (Increase) in Other Receivables, Prepayments and Advances		(50,327,220)	166,488,338	(38,709,146)	(2,659,158)
Increase / (Decrease) in Trade and Other Payables		46,900,336	-	109,015,196	80,091,380
Increase / (Decrease) in Interest Bearing Borrowings on Client Financing		(104,000,000)	397,000,000	(104,000,000)	397,000,000
		619,772,775	452,474,967	514,142,293	208,670,146
Income Tax Paid		(129,189,504)	(98,947,943)	(111,328,291)	(81,365,211)
Defined Benefit Plan Costs Paid	15.1	(2,817,131)	(21,548,166)	(2,022,559)	(20,759,810)
Finance Cost Paid	21	(229,289,773)	(268,898,429)	(222,809,237)	(256,236,102)
Net Cash Flows Generated from / (Used in) Operating Activities		258,476,367	63,080,429	177,982,206	(149,690,977)

	Note	Group 2024 Rs.	Group 2023 Rs.	Company 2024 Rs.	Company 2023 Rs.
Cash Flows From Investing Activities					
Acquisition of Property, Plant and Equipmentand Intangible Assets	3.1, 3.11 & 4	(34,106,445)	(43,757,935)	(10,790,343)	(1,290,800)
Sales Proceeds from Fixed Asset Disposals		913,564	1,625,400	411,000	-
Additions to Short Term Investments		(7,272,542)	(274,701)	(7,272,542)	(274,701)
Dividend Income Received		-	-	-	105,940,790
Finance Income Received	22	13,147,948	15,903,441	13,097,342	15,888,481
Net Cash Flows (Used in) / Generated From Investing Activities		(27,317,475)	(26,503,796)	(4,554,543)	120,263,771
Cash Flows From Financing Activities					
Repayments under Lease Liabilities		(10,385,152)	(11,824,405)	(14,625,573)	(15,668,102)
Dividend Paid		(143,000,000)	(124,800,000)	(143,000,000)	(124,800,000)
Loans Repaid		(64,414,039)	(64,285,714)	-	-
Net Cash Flows Used in Financing Activities		(217,799,191)	(200,910,119)	(157,625,573)	(140,468,102)
Net Decrease in Cash and Cash Equivalents		13,359,702	(164,333,487)	15,802,090	(169,895,308)
Cash and Cash Equivalents at the Beginning of the Year	13	(61,072,776)	103,260,711	(68,984,826)	100,910,479
Cash and Cash Equivalents at the End of the Year	13	(47,713,074)	(61,072,776)	(53,182,737)	(68,984,829)

The Accounting Policies and Notes on pages 88 through 124 form an integral part of these Financial Statements.

NOTES TO THE FINANCIAL STATEMENTS

1. CORPORATE INFORMATION

1.1 Reporting Entity

Asia Siyaka Commodities PLC is a public limited liability company incorporated and domiciled in Sri Lanka and listed on the Colombo Stock Exchange. The registered office and the principal place of business is situated at 1st Floor, 'Deutsche House', No. 320, T. B. Jayah Mawatha, Colombo 10.

1.2 Consolidated Financial Statements

The financial statements for the year ended 31 March 2024, comprise "the Company" referring to Asia Siyaka Commodities PLC as the holding company and "the Group" referring to the companies whose accounts have been consolidated herein.

1.3 Principal Activities and Nature of Operations

Holding company

The principal activities and the nature of operations are to carry on business of Tea Brokers, Produce Brokers, Auctioneers, Appraisers, Valuers, Commission Agents, and General Agents.

Subsidiaries

The companies within the Group and their business activities are disclosed in Note 2.1.4

1.4 Parent Entity and Ultimate Parent Entity

The Company's parent entity and the ultimate parent entity is Lanka Commodity Brokers Ltd, a company incorporated in Sri Lanka.

1.5 Date of Authorization for Issue

The financial statements of Asia Siyaka Commodities PLC for the year ended 31 March 2024 were authorized for issue in accordance with a resolution of the Board of Directors on 23 August 2024.

2. GENERAL ACCOUNTING POLICIES

2.1 Basis of preparation

The financial statements of the Company and the Group have been prepared on an accrual basis and under the historical cost convention, except for, buildings on leasehold lands and storage system that have been measured at fair value.

The financial statements are presented in Sri Lankan Rupees (Rs).

2.1.1 Statement of Compliance

The financial statements of the Company and the Group have been prepared in accordance with Sri Lanka Accounting Standards comprising SLFRS and LKAS (hereafter "SLFRS"), as issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and the requirements of the Companies Act No. 07 of 2007.

2.1.2 Going concern

The Board of Directors has made an assessment of the Company's ability to continue as a going concern in the foreseeable future and they do not intend either to liquidate or to cease trading.

2.1.3 Comparative Information

Presentation and classification of the financial statements of the previous year have been amended where relevant for better presentation and to be comparable with those of current year.

2.1.4 Basis of Consolidation

The consolidated financial statements comprise the financial statements of the Company and its subsidiaries as at 31 March 2024. Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. Specifically, the Group controls an investee if, and only if, the Group has:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee)
- Exposure, or rights, to variable returns from its involvement with the investee.
- The ability to use its power over the investee to affect its returns.

The Group re-assesses whether it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income, and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Profit or loss and each component of Other Comprehensive Income (OCI) are attributed to the equity holders of the parent of the Group and to the non-controlling interests, even if this results in the non-controlling interests having a deficit balance.

The financial statements of the subsidiaries are prepared for the same reporting year using uniform Accounting Policies for transactions, in similar circumstances and are applied consistently.

All intra-group assets and liabilities, equity, income, expenses, and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction.

If the Group loses control over a subsidiary, it derecognises the related assets, liabilities, non-controlling interest and other components of equity while any resultant gain or loss is recognised in profit or loss. Any investment retained is recognised at fair value.

Subsidiaries
The details of Subsidiaries are as follows:

Company Name	Asia Siyaka Warehousing (Pvt) Ltd	Siyaka Produce Brokers (Pvt) Ltd
Nature of Operations	The principal activities and the nature of operations are to carry on business of providing warehousing facilities for clients of parent and other selected third parties.	The principal activities and the nature of operations are to carry on business of Rubber Brokers, Auctioneers, Appraisers, Valuers, Commission Agents and General Agents. On 18 April 2017, the Company transferred its Rubber Broking Licence to Asia Siyaka Commodities PLC its parent company and since then the Company has not carried out any business activity. The Company is in the process of closing down by way of striking off in the ensuing year. Under these circumstances, the Board of Directors intends to liquidate the Company within foreseeable future.
Year of Ownership/ Incorporation	18.01.1999	15.02.2008
Ownership Percentage	100%	100%

2.2 Significant accounting judgments, estimates and assumptions

The preparation of the financial statements of the Group requires the management to make judgments, estimates and assumptions, which may affect the amounts of income, expenditure, assets, liabilities and the disclosure of contingent liabilities, at the end of the reporting period. In the process of applying the Group's accounting policies, the key assumptions made relating to the future and the sources of estimation at the reporting date together with the related judgments that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year have been discussed in the individual notes of the related financial statement line items.

The line items which have most significant effect on accounting, judgements, estimate, and assumptions are as follows.

a) Revaluation of property, plant and equipment

The Group measures buildings in leasehold lands and storage system at revalued amounts where changes in fair value being recognised in the statement of other comprehensive income. The Group engages independent, qualified valuation specialists to determine fair value. Such valuer uses assumptions and valuation techniques to determine the fair value. Please refer Note 3 for Revaluation of Property, Plant and Equipment.

b) Employee benefit liability

The employee benefit liability of the Group is based on the actuarial valuation carried out by independent actuarial specialist. The actuarial valuations involve making assumptions about discount rates, salary increment rate, staff turnover rate, mortality rate and retirement age. The complexity of the valuation, the underlying assumptions and its long-term nature, the retirement benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date. Details of the key assumptions used in the estimates are contained in Note 15.4.

c) Provision for expected credit losses of loans and advances

Details of the Group's policy relating to the Provision for expected credit losses of Loans and Advances are contained in Note 2.3.11 (e).

d) Income tax and Deferred tax rates

As per the new Inland Revenue (Amendment) Act No. 45 of 2023, which was implemented with effect from 1 January 2023, the tax rate of the company has increased to 30% from 24%. Accordingly, the deferred tax and income tax have been recognized considering this amended rate.

2.3 Summary of Significant Accounting Policies

2.3.1 Foreign Currency Translation

The financial statements are presented in Sri Lankan Rupees, which is the Group's functional and presentation currency. Transactions in foreign currencies are initially recorded at the functional currency spot rates at the date the transaction first qualifies for recognition. Monetary assets and liabilities denominated in foreign currencies are retranslated at the functional currency spot rate of exchange at the reporting

NOTES TO THE FINANCIAL STATEMENTS CONTD.

date. All differences arising from settlement or translation of monetary items are taken to the statement of profit or loss and other comprehensive income. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions.

2.3.2 Taxation

(a) Income Tax

Current income tax assets and liabilities for the current period are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted, at the reporting date which is currently the Inland Revenue Act No. 24 of 2017 effective from 1st April 2018 and subsequent amendments thereon.

Current income tax relating to items recognized directly in equity is recognized under other comprehensive income and not in the statement of profit or loss. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

The provision for income tax is based on the elements of income and expenditure as reported in the financial statements and computed in accordance with the provisions of the Inland Revenue Act.

(b) Deferred Tax

Deferred income tax is provided using the liability method on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred income tax liabilities are recognised for all taxable temporary differences except:

- Where the deferred income tax liability arises from initial recognition of goodwill or of an asset or liability in a transaction that is not a business combination and, at the time of transaction, affects neither the accounting profit nor taxable profit or loss; and
- In respect of taxable temporary differences associated with investments in subsidiaries, where the timing of reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred income tax assets are recognised for all deductible temporary differences, carry-forward of unused tax credits and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry-forward of unused tax credits and unused tax losses can be utilised except:

- Where the deferred income tax asset relating to the deductible temporary difference arises from initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of transaction, affects neither the accounting profit nor taxable profit or loss; and
- In respect of deductible temporary differences associated with investments in subsidiaries, deferred income tax assets are recognised only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilised.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised. Unrecognised deferred income tax assets are reassessed at each reporting date and are recognised to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realised or the liability is settled, based on the tax rates and tax laws that have been enacted or subsequently enacted as at the reporting date.

Deferred income tax assets and deferred income tax liabilities are offset, if a legally enforceable right exists to set off current tax assets against current income tax liabilities and the deferred income taxes relates to the same taxable entity and the same taxation authority.

2.3.3 Inventories

Inventories are valued at lower of cost and net realizable value, after making due allowances for obsolete and slow moving items. Net realizable value is the price at which inventories can be sold in the ordinary course of business less the estimated cost of completion and the estimated cost necessary to make the sale. The cost incurred in bringing its inventories to present location and condition is accounted at purchase cost on weighted average basis.

2.3.4 Current versus Non-Current Classification

The Group presents assets and liabilities in statement of financial position based on current or non-current classification. An asset is current when it is:

- Expected to be realized or intended to be sold or consumed in normal operating cycle
- Held primarily for the purpose of trading
- Expected to be realised within twelve months after the reporting period or
- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period

The Group classifies all other assets as non-current.

A liability is current when:

- It is expected to be settled in normal operating cycle
- It is held primarily for the purpose of trading
- It is due to be settled within twelve months after the reporting period or
- It does not have a right at the reporting date to defer settlement of the liability for at least twelve months after the reporting period.

The Group classifies all other liabilities as non-current.

Deferred tax assets and liabilities are classified as non-current assets and liabilities.

2.3.5 Non-financial assets

The carrying amounts of the Group's non-financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated.

Impairment exists when the carrying value of an asset or cash generating unit exceeds its recoverable amount, which is the higher of its fair value less costs to sell and its Value In Use (VIU). The fair value less costs to sell calculation is based on available data from an active market, in an arm's length transaction, of similar assets or observable market prices less incremental costs for disposing of the asset. The value in use calculation is based on a discounted cash flow model. The cash flows are derived from the budget for the next five years and do not include restructuring activities that the Group is not yet committed to or significant future investments that will enhance the asset's performance of the cash generating unit being tested. The recoverable amount is most sensitive to the discount rate used for the discounted cash flow model as well as the expected future cash inflows and the growth rate used for extrapolation purposes.

2.3.6 Property, Plant and Equipment

(a) Initial Recognition

All items of property, plant and equipment are initially recorded at cost.

The cost of property, plant and equipment is the cost of acquisition or construction together with any expenses incurred in bringing the asset to its working condition for its intended use and capitalised borrowing cost. Subsequent to the initial recognition as an asset at cost, revalued assets are carried at revalued amounts less any subsequent depreciation and impairment losses thereon. All other property, plant and equipment are stated at cost less accumulated depreciation and accumulated impairment losses, if any. Depreciation is provided for, on the bases specified in (c) below.

Where an item of property, plant and equipment comprises major components having different useful lives, they are accounted for as separate items of property, plant and equipment.

(b) Subsequent Expenditure

Expenditure incurred to replace a component of an item of property, plant and equipment that is accounted for separately, including major inspection and overhaul expenditure, is capitalized. Other subsequent expenditure is capitalized only when it increases the future economic benefits embodied in the item of property, plant and equipment. All other expenditure incurred on repairs or maintenance of property, plant and equipment in order to restore or maintain the future economic benefits expected from the originally assessed standard of performance, is recognised as an expense when incurred.

(c) Depreciation

Depreciation is calculated by using a straight-line basis on all property, plant and equipment over the estimated economic life of such assets.

The estimated useful life of assets is as follows:

Assets	Years
Buildings on Leasehold Land	Lower of 10-30 years or lease term
Land Development Cost	Over the lease term
Furniture and Fittings	6.67
Storage System	15
Solar Power System	10
Office Equipment	4 - 6.67
Computer Equipment	5
Motor Vehicle	4-5

The residual values, useful lives and depreciation method are reviewed at each reporting date and adjusted prospectively when appropriate.

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(d) Revaluation

Buildings on leasehold land and storage systems are measured at fair value at the date of revaluation less accumulated depreciation and impairment losses recognised after the date of the revaluation. Valuations are performed with sufficient frequency to ensure that the fair value of a revalued asset does not differ materially from its carrying amount.

The Group engages independent, qualified valuation specialists to determine fair value. Such valuer uses assumptions and valuation techniques to determine the fair value. Please refer Note 3 for Revaluation of Property, Plant and Equipment.

Any revaluation surplus is recognised in other comprehensive income and accumulated in equity in the revaluation reserve, except to the extent that it reverses a revaluation decrease of the same asset previously recognised in the statement of profit or loss, in which case the increase is recognised in the statement of profit or loss. A revaluation deficit is recognised in the statement of profit or loss, except to the extent that it offsets an existing surplus on the same asset recognised in the revaluation reserve.

Cost of repairs and maintenance are charged to the statement of profit or loss and other comprehensive income during the period in which they are incurred.

(e) De-recognition

An item of property, plant and equipment is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the statement of profit or loss and other comprehensive income in the year the asset is derecognised.

2.3.7 Leases

Lease Rentals Paid in Advance

Asia Siyaka Warehousing (Pvt) Ltd has entered into a 50-year Lease Agreement commencing from 22 June 1999 with the Sri Lanka Land Reclamation and Development Corporation to lease a land in Muthurajawela for a total lease rent of Rs. 47,000, 000/-.

Lease rentals paid in advance to acquire 'land use rights' are amortized over the lease term in accordance with the pattern of benefits provided.

The Company / Group as a lessee

The Entity applies a single recognition and measurement approach for all leases. The Entity recognizes lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

(a) Right-of-use assets

The Entity recognizes right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognized, initial direct costs incurred, and lease payments made at or before the commencement date (Lease Rentals Paid in Advance) less any lease incentives received.

Right-of-use assets are depreciated on a straight-line basis over the shorter of the lease term and the estimated useful lives of the assets, as follows:

- Head Office Premises 6 years
- Sample Room 4 - 6 years
- Motor Vehicle 5 years
- Lease Rentals Paid in Advance to acquire Lease Hold Land Rights 30 years

If ownership of the leased asset transfers to the Group at the end of the lease term or the cost reflects the exercise of a purchase option, depreciation is calculated using the estimated useful life of the asset. The right-of-use assets are also subject to impairment. Refer to the accounting policies in section 2.3.5- Impairment of non-financial assets.

(b) Lease liabilities

At the commencement date of the lease, the Group recognizes lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in-substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Group and payments of penalties for terminating the lease, if the lease term reflects the Group exercising the option to terminate. Variable lease payments that do not depend on an index or a rate are recognized as expenses (unless they are incurred to produce inventories) in the period in which the event or condition that triggers the payment occurs.

In calculating the present value of lease payments, the Group uses its incremental borrowing rate at the lease commencement date because the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the lease payments (e.g., changes to future payments resulting from a change in an index or rate used to determine such lease

payments) or a change in the assessment of an option to purchase the underlying asset. (Refer Note 06).

2.3.8 Investment Properties

Investment properties are measured initially at cost, including transaction costs. Subsequent to the initial recognition investment properties are stated at cost less accumulated impairment losses, if any.

2.3.9 Intangible Assets

Basis of Recognition
An intangible asset is recognised if it is probable that the future economic benefits associated with the asset will flow to the Group and the cost of the asset can be reliably measured.

Basis of Measurement
Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in a business combination is their fair value at the date of acquisition. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and any accumulated impairment losses. Internally generated intangible assets, excluding capitalised development costs, are not capitalised, and expenditure is charged against statement of profit or loss and other comprehensive income in the year in which the expenditure is incurred.

Useful Economic Lives, Amortization and Impairment
The useful lives of intangible assets are assessed as either finite or indefinite lives. Intangible assets with finite lives are amortised over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for an intangible asset with a finite useful life is reviewed at least at each financial year end and such changes are treated as accounting estimate changes. The amortisation expense on intangible assets with finite lives is recognised in the statement of profit or loss and other comprehensive income. Intangible assets with indefinite useful lives are not amortized but tested for impairment annually, or more frequently when an indication of impairment exists either individually or at the cash generating unit level. The useful life of an intangible asset with an indefinite life is reviewed annually to determine whether indefinite life assessment continues to be supportable. If not, the change in the useful life assessment from indefinite to finite is made on a prospective basis.

The estimated useful life of asset is as follows:

Asset	Years
Software	2

Disposal Gains and Losses
Gains or losses arising from de-recognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the statement of profit or loss and other comprehensive income when the asset is derecognised.

2.3.10 Investment in Subsidiaries

Investment in Subsidiaries are initially recognised at cost in the Financial Statements of the Company. Following initial recognition, investment in subsidiaries are carried at cost less any accumulated impairment losses.

2.3.11 Financial Instruments – Initial Recognition and Subsequent Measurement

Financial Assets

a) Initial recognition and measurement

Financial assets are classified, at initial recognition, as subsequently measured at amortised cost, fair value through other comprehensive income (OCI), and fair value through profit or loss.

The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Group's business model for managing them. With the exception of trade receivables that do not contain a significant financing component or for which the Group has applied the practical expedient, the Group initially measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs. Trade receivables that do not contain a significant financing component or for which the Group has applied the practical expedient are measured at the transaction price determined under SLFRS 15.

In order for a financial asset to be classified and measured at amortised cost or fair value through OCI, it needs to give rise to cash flows that are 'solely payments of principal and interest (SPPI)' on the principal amount outstanding. This assessment is referred to as the SPPI test and is performed at an instrument level.

The Group's business model for managing financial assets refers to how it manages its financial assets in order to generate cash flows. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both.

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Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the market place (regular way trades) are recognised on the trade date, i.e., the date that the Group commits to purchase or sell the asset.

b) Subsequent measurement

For purposes of subsequent measurement, financial assets are classified in four categories;

- Financial assets at amortised cost (debt instruments)
- Financial assets at fair value through OCI with recycling of cumulative gains and losses (debt instruments)
- Financial assets designated at fair value through OCI with no recycling of cumulative gains and losses upon derecognition (equity instruments)
- Financial assets at fair value through profit or loss

c) Financial assets at amortised cost (debt instruments)

This category is the most relevant to the Group. The Group measures financial assets at amortised cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows, and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding

Financial assets at amortised cost are subsequently measured using the effective interest (EIR) method and are subject to impairment. Gains and losses are recognised in profit or loss when the asset is derecognised, modified or impaired.

The Group's financial assets at amortised cost includes trade receivables, loans and advances, short term investments and cash and cash equivalents included under other financial assets.

d) Derecognition

Financial asset is derecognised when:

- The rights to receive cash flows from the asset have expired.
- The Group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either

  (a) The Group has transferred substantially all the risks and rewards of the asset, or
  (b) The Group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Group has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, and has neither transferred nor retained substantially all of the risks and rewards of the asset nor transferred control of it, the asset is recognised to the extent of the Group's continuing involvement in it.

e) Impairment of Financial Assets

The Group recognises an allowance for Expected Credit Losses (ECLs) for all debt instruments not held at fair value through profit or loss. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Group expects to receive, discounted at an approximation of the original effective interest rate. The expected cash flows will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

ECLs are recognised in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12 months (a 12 month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is required for credit losses expected over the remaining life of the exposure, irrespective of the timing of the default (a lifetime ECL).

For Loans and advances collectively assessed for impairment, the Group applies a simplified approach in calculating ECLs. Therefore, the Group do not track changes in credit risk, but instead recognises a loss allowance based on lifetime ECLs at each reporting date. The Group has established a matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

The matrix is initially based on the Group's historical observed default rates. The Group will calibrate the matrix to adjust the historical credit loss experience with forward-looking information. For instance, if forecast economic conditions are expected to deteriorate over the next year which can lead to an increased number of defaults, the historical default rates are adjusted. At every reporting date, the historical observed default rates are updated and changes in the forward-looking estimates are analysed.

The assessment of the correlation between historical observed default rates, forecast economic conditions and ECLs is a significant estimate. The amount of ECLs is sensitive to changes in circumstances and of forecast economic conditions. The Group's historical credit loss experience and forecast of economic conditions may also not be representative of customer's actual default in the future. The information about the ECLs on the

Group's loans and advances is disclosed in Note 12.

Financial Liabilities

a) Initial recognition and measurement

Financial liabilities are classified, at initial recognition, as financial liabilities at fair value through profit or loss, loans and borrowings, payables, or as derivatives designated as hedging instruments in an effective hedge as appropriate.

All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings, carried at amortised cost. This includes directly attributable transaction costs.

The Group's financial liabilities include trade and other payables, loans and borrowings including bank overdrafts.

b) Subsequent measurement

The measurement of financial liabilities depends on their classification as follows:

Loans and borrowings

After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost using the EIR method. Gains and losses are recognised in profit or loss when the liabilities are derecognised as well as through the EIR amortisation process.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance costs in the Statement of Profit or Loss. This category generally applies to interest bearing loans and borrowings.

c) Derecognition

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expired.

d) Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount is reported in the Consolidated Statement of Financial Position if there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, to realise the assets and settle the liabilities simultaneously.

Fair value of financial instruments

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either in the principal market for the asset or liability or in the absence of a principal market, in the most advantageous market for the asset or liability. The principal or the most advantageous market must be accessible by the company.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use. The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs. All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

Level 1 - Quoted (un-adjusted) market prices in active markets for identical assets or liabilities

Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable

Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognised in the financial statements on a recurring basis, the company determines whether transfers have occurred between levels in the hierarchy by reassessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period. The company determines the policies and procedures for both recurring fair value measurement, such as buildings on lease hold lands and storage systems and for non-recurring measurement. External valuers are involved for valuation of significant assets, such as buildings on leasehold lands and storage systems. Selection criteria for external valuers include market knowledge, reputation, independence and whether professional standards are maintained.

2.3.12 Trade and Other Receivables

Trade debtors, including amounts owing by subsidiaries, deposits and other debtors (excluding non-financial assets classified under deposits and other receivables which are measured at cost) classified and accounted for as loans and receivables.

NOTES TO THE FINANCIAL STATEMENTS CONTD.

2.3.13 Cash and Cash Equivalents

Cash and cash equivalents are cash at bank and in hand, demand deposits and short term highly liquid investments readily convertible to known amounts of cash and subject to insignificant risk of changes in value.

For the purpose of statement of cash flows, cash and cash equivalents consist of cash in hand, cash at bank, deposits in banks net of outstanding bank overdrafts. Investments with short maturities (i.e. three months or less from date of acquisition) are also treated as cash equivalents.

2.3.14 Provisions

Provisions are recognized when the Group has a present obligation (legal or constructive) as a result of a past event, where it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. When the Group expects some or all of a provision to be reimbursed, the reimbursement is recognised as a separate asset but only when the reimbursement is virtually certain. The expense relating to any provision is presented in the statement of profit or loss and other comprehensive income net of any reimbursement.

If the effect of the time value of money is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognized as an interest expense.

2.3.15 Retirement Benefit Obligations

(a) Defined Benefit Plan – Gratuity

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The defined benefit is calculated by independent actuaries using Projected Unit Credit (PUC) method as recommended by LKAS 19 – "Employee benefits". The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related liability. However, under the Payment of Gratuity Act No.12 of 1983, the liability to an employee arises only on completion of 5 years of continued service.

The present value of the defined benefit obligations depends on a number of factors that are determined on an actuarial basis using a number of assumptions about discount rate, staff turnover rate, future salary increment rate and mortality rates. Due to the long-term nature of these plans, such estimates are subject to significant uncertainty. All assumptions are reviewed at each reporting date. Details of the key assumptions used in the estimates are contained in Note 15.4.

Accordingly, the employee benefit liability is based on the actuarial valuation as of 31 March 2024, carried out by Messrs. Actuarial and Management Consultants (Private) Limited, actuaries.

Funding Arrangements

The Gratuity liability is not externally funded.

(b) Defined Contribution Plans-

Employees are eligible for Provident Fund Contributions and Trust Fund Contributions in line with respective statutes and regulations. These are recognized as an expense in the statement of profit or loss and other comprehensive income as incurred.

The Group contributes 12% of gross emoluments of the employees to Employees' Provident Fund, Estate Supplier's Provident Society, Ceylon Planters' Provident Society and 3% of gross emoluments of the employees to Employees' Trust Fund.

2.3.16 Revenue Recognition

Revenue from contracts with customers is recognised when control of the goods or services are transferred to the customer at an amount that reflects the consideration to which the Group expects to be entitled in exchange for those goods or services.

In determining the transaction price for the revenue contracts, the Group considers the effects of variable consideration, the existence of significant financing components, non-cash consideration, and consideration to the customer (if any).

2.3.16.1 Principal versus agent considerations

In determining whether the Group is the principal or the agent pertaining to certain revenue contracts the Group has evaluated who has control over the goods before transferring it to the customer;

The following factors were also considered;

- The primary responsibility for fulfilling the promise to provide the specified goods or the service.
- Inventory risk before or after the specified goods has been transferred to the customer
- The discretion in establishing the price for the specified good or service

Based on the above factors the Group concluded that it does not have the control over the goods or services on broking before transferring it to the customer, it will recognise revenue on the contract on net basis.

a) Brokerage Income

Brokerage income is recognised on net basis on the date of the auction. The settlement terms are generally within 7 days.

b) Warehousing Income

Handling income is recognised on net basis as an agent on the date of the auction and the handling income from third parties is recognised on net basis. Settlement terms are generally within 7 - 60 days.

c) Interest Income

For all financial instruments measured at amortised cost and interest bearing financial assets classified as available for sale, interest income or expense is recorded using the Effective Interest

Rate (EIR), which is the rate that exactly discounts the estimated future cash payments or receipts through the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial asset.

Interest income is included in revenue and finance income in the statement of profit or loss and other comprehensive income. Advance settlement terms are generally within 4 weeks.

d) Rent Income

Rent income is recognised on accrual basis.

e) Others

Other income is recognised on accrual basis.

Net gains and losses of a revenue nature resulting from the disposal of property, plant & equipment have been accounted for in the statement of profit or loss.

Gains and losses arising from incidental activities to main revenue generating activities and those arising from a group of similar transactions are not material, are aggregated, reported and presented on net basis.

f) Dividend Income

Dividend income is recognised when the Group's right to receive the payment is established.

g) Solar Power Income

2.3.17 Segment Information

2.3.17.1 Reporting segments

The group's internal organisation and management is structured based on individual products and services which are similar in nature and process and where the risk and return are similar. The primary segments represent this business structure. Since the individual segments are located close to each other and operate in the same industry environment, catering to clientele from the same geographical location, the need for geographical segmentation does not arise.

2.3.17.2 Segment information

Segment information has been prepared in conformity with the accounting policies adopted for preparing and presenting the consolidated financial statements of the group. An individual segment manger is determined for each operating segment and the results are regularly reviewed by the Board of Directors. The Board of Directors monitors the operating results of its business units separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profit or loss which in certain respects, as explained in the operating segments information, is measured differently from operating profit or loss in the consolidated financial statements.

2.4 Standards Issued But Not Yet Effective

The new and amended standards are interpretations that are issued, but not yet effective, to the date of issuance of these financial statements are disclosed below. The Company intends adopt these new and amended standards and interpretations, if applicable, when they become effective.

These amendments to various standards are effective for the financial reporting periods beginning on or after 01 January 2024.

Classification of Liabilities as Current or Non-current - Amendment to LKAS 1

Amendments to LKAS 1 relate to classification of liabilities with covenants as current or non-current. The amendments clarify that if an entity's right to defer settlement of a liability is subject to the entity complying with the required covenants only at a date subsequent to the reporting period ("future covenants"), the entity has a right to defer settlement of the liability even if it does not comply with those covenants at the end of the reporting period. The requirements apply only to liabilities arising from loan arrangements.

The amendments are effective for annual periods beginning on or after 1 January 2024.

Disclosures: Supplier Finance Arrangements - Amendments to LKAS 7 and SLFRS 7

The amendments clarify the characteristics of supplier finance arrangements and require an entity to provide information about the impact of supplier finance arrangements on liabilities and cash flows, including terms and conditions of those arrangements, quantitative information on liabilities related to those arrangements as at the beginning and end of the reporting period and the type and effect of non-cash changes in the carrying amounts of those arrangements.

The amendments are effective for annual periods beginning on or after 1 January 2024.

Lease Liability in a Sale and Leaseback - Amendment to SLFRS 16

The amendments to SLFRS 16 Leases specifies the requirements that a seller-lessee uses in measuring the lease liability arising in a sale and leaseback transaction, to ensure the seller-lessee does not recognise any amount of the gain or loss that relates to the right of use it retains. A seller-lessee applies the amendment retrospectively in accordance with LKAS 8 to sale and leaseback transactions entered into after the date of initial application.

The amendments are effective for annual periods beginning on or after 1 January 2024.

International Tax Reform—Pillar Two Model Rule - Amendments to LKAS 12

The amendments to LKAS 12 introduce a mandatory exception in LKAS 12 from recognising and disclosing deferred tax assets and liabilities related to Pillar Two income taxes. An entity is required to disclose that it has applied the exception to recognising and disclosing information about deferred tax assets and liabilities related to Pillar Two income taxes.

The amendments are effective for annual periods beginning on or after 1 January 2024.

NOTES TO THE FINANCIAL STATEMENTS CONTD.

3. PROPERTY, PLANT AND EQUIPMENT

Group	Balance As at 01.04.2023 Rs.	Additions Rs.	Revaluation Rs.	Disposals/ Transfers Rs.	Balance As at 31.03.2024 Rs.
3.1 Gross Carrying Amounts					
At Cost /Valuation					
Buildings	926,400,000	310,000	-	-	926,710,000
Furniture and Fittings	49,203,143	3,112,841	-	(896,418)	51,419,566
Office Equipment	198,443,633	23,129,162	-	-	221,572,795
Storage System	235,100,000	-	-	-	235,100,000
Solar Power System	34,055,629	-	-	-	34,055,629
Computer and Accessories	18,840,139	2,818,183	-	-	21,658,322
Motor Vehicle	38,502,995	3,449,860	-	(297,040)	41,655,815
	1,500,545,539	32,820,047	-	(1,193,458)	1,532,172,128
Assets on Lease Hold Land					
Land Development Cost	46,525,291	-	-	-	46,525,291
	46,525,291	-	-	-	46,525,291
Total Value of Depreciable Assets	1,547,070,830	32,820,047	-	(1,193,458)	1,578,697,419
3.2 In the Course of Construction					
Capital Work In Progress	-	-	-	-	-
	-	-	-	-	-

3.3 Depreciation

	Balance As at 01.04.2023 Rs.	Charge for the year Rs.	Revaluation Rs.	Disposals/ Transfers Rs.	Balance As at 31.03.2024 Rs.
At Cost /Valuation					
Buildings	-	37,478,744	-	-	37,478,744
Furniture and Fittings	43,941,428	2,187,596	-	(896,418)	45,232,606
Office Equipment	163,263,010	15,330,817	-	-	178,593,827
Storage System	-	15,673,333	-	-	15,673,333
Solar Power System	8,513,907	3,405,563	-	-	11,919,470
Computer and Accessories	16,270,091	971,828	-	-	17,241,919
Motor Vehicle	36,732,960	1,943,226	-	(297,040)	38,379,146
	268,721,396	76,991,108	-	(1,193,458)	344,519,045
Assets on Lease Hold Land					
Land Development Cost	13,003,556	1,347,333	-	-	14,350,889
	13,003,556	1,347,333	-	-	14,350,889
	281,724,952	78,338,441	-	(1,193,458)	358,869,933

3.4 Net Book Values

	2024 Rs.	2023 Rs.
At Cost /Valuation		
Buildings	889,231,256	926,400,000
Furniture and Fittings	6,186,960	5,261,715
Office Equipment	42,978,968	35,180,623
Storage System	219,426,667	235,100,000
Solar Power System	22,136,159	25,541,722
Computer and Accessories	4,416,404	2,570,048
Motor Vehicle	3,276,669	1,770,035
	1,187,653,083	1,231,824,144
Assets on Lease Hold Land		
Land Development Cost	32,174,402	33,521,733
	32,174,402	33,521,733
Total Carrying Amount of Property, Plant and Equipment	1,219,827,485	1,265,345,877

3.5 During the financial period, the Group acquired Property, Plant and Equipment to the aggregate value of Rs. 32,820,047/- (2023 - Rs. 43,721,930/-) cash payment amounting to Rs. 32,820,047/- (2023 - Rs. 43,721,930/-).

3.6 Property, Plant and Equipment includes fully depreciated assets still in use having a gross carrying amount of Rs. 120,174,699/- (2023 - Rs. 121,368,157/-).

Group

3.7 Non-Financial Assets Fair Value Hierarchy

As at 31 March		Fair value measurement using		
Assets Measured at Fair Value	Valuation Date	Quoted Prices in active market (level 1)	Significant observable inputs (Level 2)	Significant unobservable inputs (Level 3)
Buildings on Leasehold Land	3/31/2023	-	-	926,710,000
Storage System	3/31/2023	-	-	235,100,000

NOTES TO THE FINANCIAL STATEMENTS CONTD.

3. PROPERTY, PLANT AND EQUIPMENT (CONTD...)

3.8 In determining the fair value, highest and best use of the property has been considered including the current condition of the properties, future usability and associated redevelopment requirements have been considered. Also the valuers have made reference to market evidence of the transaction prices for similar properties, with appropriate adjustments for the size and location.

The fair value of the Group's Buildings on Leasehold Land and Storage System were determined by means of a revaluation during the financial year 2022/2023 by Mr. A.R. Ajith Fernando, an independent valuer based on depreciated replacement cost. The results of such revaluation were incorporated in these Financial Statements from its effective date which is 31 March 2024. The surplus arising from the revaluation was transferred to a revaluation reserve.

Mr. A.R. Ajith Fernando inspected the above assets on 01 April 2024 and confirmed that the fair value of these assets are not materially different to market value reported on 31 March 2023.

There have been no transfers between Level 1 and Level 2 during the year.

3.9 Details of Group's Building on Leasehold Lands and Storage System stated at Valuation are indicated below;

Non Financial Assets	Valuation Technique	Property Valuer	Significant Unobservable Inputs	Estimates for Unobservable Inputs	Level of Fair Value Hierarchy	Sensitivity of Fair Value to Unobservable Inputs
Buildings on Leasehold Land	Depreciated Replacement Cost	A.R. Ajith Fernando MRICS Chartered Valuation Surveyor	Price per Sq.ft	Rs. 750/- to Rs. 9,000/- per Sq.ft @ Dep. Rate of 3.33%	Level - 03	Positively Correlated Sensitivity
Storage System	Depreciated Replacement Cost	A.R. Ajith Fernando MRICS Chartered Valuation Surveyor	Pallet Locations	Rs. 4,850/- to Rs. 7,650/- per Pallet Location @ Dep. Rate of 6.67%	Level - 03	Positively Correlated Sensitivity

3.10 The carrying amount of revalued assets that would have been included in the Financial Statements had the assets been carried at cost less depreciation is as follows:

Class of Asset	Cost	Cumulative Depreciation if Assets were carried at cost	Net Carrying Amount 2024	Net Carrying Amount 2023
Buildings on Leasehold Land	501,189,196	156,128,415	345,060,781	358,803,033
Storage System	150,619,296	72,421,225	78,198,071	86,863,036
	651,808,492	228,549,640	423,258,852	445,666,069

Company

3.11 Gross Carrying Amounts

	Balance As at 01.04.2023 Rs.	Additions Rs.	Disposals Rs.	Balance As at 31.03.2024 Rs.
At Cost				
Furniture and Fittings	16,117,416	2,945,481	-	19,062,897
Office Equipment	11,012,304	507,425	-	11,519,729
Computer and Accessories	14,021,697	2,532,183	-	16,553,881
Motor Vehicle	2,219,138	3,449,860	(297,040)	5,371,958
Total Value of Depreciable Assets	43,370,555	9,434,950	(297,040)	52,508,465

3.12 Depreciation

	Balance As at 01.04.2023 Rs.	Additions Rs.	Disposals Rs.	Balance As at 31.03.2024 Rs.
At Cost				
Furniture and Fittings	15,869,449	339,783	-	16,209,232
Office Equipment	10,470,100	268,393	-	10,738,493
Computer and Accessories	11,798,074	763,276	-	12,561,350
Motor Vehicle	2,165,768	226,558	(297,040)	2,095,286
Total Depreciation	40,303,390	1,598,012	(297,040)	41,604,363

3.13 Net Book Values

	2024 Rs.	2023 Rs.
At Cost		
Furniture and Fittings	2,853,665	247,967
Office Equipment	781,236	542,204
Computer and Accessories	3,992,531	2,223,623
Motor Vehicle	3,276,672	53,370
Total Carrying Amount of Property, Plant and Equipment	10,904,104	3,067,165

3.14 During the financial year, the Company acquired Property, Plant and Equipment to the aggregate value of Rs. 9,434,950/- (2023 - Rs.1,254,800/-) cash payment amounting to Rs. 9,434,950/- (2023 - Rs. 1,254,800/-) were made during the period for purchase of Property, Plant and Equipment.

3.15 Property, Plant and Equipment include fully depreciated assets having a gross carrying amount of Rs. 41,971,708/- (2023 - Rs. 42,268,748/-).

NOTES TO THE FINANCIAL STATEMENTS CONTD.

4. INTANGIBLE ASSETS

	Group/ Company Computer Software	
	2024	2023
	Rs.	Rs.
Cost		
Balance as at the Beginning of the year	12,960,005	12,924,005
Additions/Transfer	1,286,400	36,000
Balance as at the End of the year	14,246,405	12,960,005
Amortization		
Balance as at the Beginning of the year	12,881,306	12,833,305
Charge for the year	680,826	48,001
Balance as at the End of the year	13,562,131	12,881,306
Carrying Value	684,274	78,699

4.1 During the financial year, the Company / Group acquired intangible assets to the aggregate value of Rs.1,286,400/- (2023 - Rs.36,000/-).

5. INVESTMENTS

	Company	
	2024	2023
	Rs.	Rs.
Investment in Subsidiaries (5.1)	190,250,000	190,250,000
	190,250,000	190,250,000

5.1 Non-Current Investments

Investment in Subsidiaries

Asia Siyaka Warehousing (Pvt) Ltd	190,250,000	190,250,000
Siyaka Produce Brokers (Pvt) Ltd	-	-
	190,250,000	190,250,000

	Holding %	
	2024	2023
Asia Siyaka Warehousing (Pvt) Ltd	100%	100%
Siyaka Produce Brokers (Pvt) Ltd	100%	100%

5.2 The Company currently holds 100% ownership of Siyaka Produce Brokers (Pvt) Ltd (the Subsidiary), which transferred its Rubber Broking License to Asia Siyaka Commodities PLC on 18 April 2017. Due to such transfer the Subsidiary lost its revenue generation from rubber brokering which was the main revenue source. In 2022, Company has fully impaired the Subsidiary and the Board of Directors intends to close down the Subsidiary in the impending future.

6. APPLICATION OF SLFRS 16 - LEASES

At inception of a contract, the Entity assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Entity assesses whether:

- the contract involves the use of an identified asset
- the Entity has the right to obtain substantially all of the economic benefits from use of the asset throughout the period of use; and
- the Entity has the right to direct the use of the asset

The Entity recognises a right-of-use asset and a lease liability at the lease commencement date. The right of use assets of the Group consist of Buildings, Motor Vehicles and Lease Hold Land taken on rent.

6.1 Rights Of Use Asset

The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability (present value of future lease payments discounted using the Group's incremental borrowing rate) adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred. The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right-of-use asset or the end of the lease term. The movement of Right of Use Lease assets of the Company is as follows;

6.1.1 Amounts recognised in the statement of financial position and income statement

	Group			
	Lease Hold Land	Buildings	Motor Vehicles	Total
	Rs.	Rs.	Rs.	Rs.
Right of Use Assets				
Right of Use Assets - Lease hold properties				
Cost				
Recognized as at 1/4/2023	28,435,000	32,069,189	3,900,119	64,404,308
Additions	-	38,037,090	-	38,037,090
Balance as at 31/3/2024	28,435,000	70,106,279	3,900,119	102,441,398
Accumulated amortisation and impairment				
Balance as at 1/4/2023	(3,760,000)	(30,207,913)	(3,687,359)	(37,655,272)
Amortisation	(940,000)	(7,566,839)	(212,760)	(8,719,599)
Balance as at 31/3/2024	(4,700,000)	(37,774,752)	(3,900,119)	(46,374,871)
Net carrying amounts				
Balance as at 31 March 2023	24,675,000	1,861,276	212,760	26,749,036
Balance as at 31 March 2024	23,735,000	32,331,527	-	56,066,527

6.1.2 Asia Siyaka Warehousing (Pvt) Ltd has entered into a 50 year Lease Agreement commencing from 22 June 1999 with the Sri Lanka Land Reclamation and Development Corporation to lease a land in Muthurajawela for a total lease rent of Rs. 47,000,000/-.

NOTES TO THE FINANCIAL STATEMENTS CONTD.

6. APPLICATION OF SLFRS 16 - LEASES (CONTD...)

	Company		
	Buildings	Motor Vehicles	Total
	Rs.	Rs.	Rs.
Right of Use Assets			
Right of Use Assets - Lease hold properties			
Cost			
Recognized as at 1/4/2023	42,451,464	3,920,943	46,372,407
Additions	38,037,090	-	38,037,090
Balance as at 31/3/2024	80,488,554	3,920,943	84,409,497
Accumulated amortisation and impairment			
Balance as at 1/4/2023	(31,508,301)	(3,687,359)	(35,195,660)
Amortisation	(10,146,790)	(233,584)	(10,380,374)
Balance as at 31/3/2024	(41,655,091)	(3,920,943)	45,576,034
Net carrying amounts			
Balance as at 31 March 2023	10,943,163	233,584	11,176,747
Balance as at 31 March 2024	38,833,463	-	38,833,463

6.2 Lease Liability

The lease liability is initially measured at the present value of the lease payments, discounted using the interest rate implicit in the lease or, if that rate can not be readily determined, the Group's incremental borrowing rate. The movement of Lease creditor for the period is as follows;

6.2.1 Amounts recognised in the statement of financial position and income statement

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Lease Liability				
Balance as at 1 April 2023	2,117,669	12,776,183	11,729,370	14,432,574
Additions	38,037,090	-	38,037,090	10,403,099
Reassessment	-	78,897	-	78,897
Interest Expense Recognised in Profit or Loss	5,580,805	1,086,994	7,909,825	2,482,902
Realization of Liability	(10,385,152)	(11,824,405)	(14,625,573)	(15,668,102)
Balance as at 31 March 2024	35,350,412	2,117,669	43,050,712	11,729,370
Lease Liability/Lease Creditor				
Amount repayable within 1 year	5,146,526	2,117,669	7,638,810	4,029,071
Amount repayable after 1 year	30,203,886	-	35,411,902	7,700,299

6.2.1.1 The maturity analysis of Lease Liabilities are disclosed in Note 33.

6.2.1.2 The Group and the Company had total cash outflows for leases of Rs. 10,385,152/- and Rs. 14,625,573/- respectively in 2023/24.

6.3 The amounts recognized in Profit or Loss

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Amortization Expense of Right of Use Assets	8,719,599	9,236,143	10,380,378	10,914,339
Interest Expense Recognised in Profit or Loss	5,580,805	1,086,994	7,909,819	2,482,902

7. INVESTMENT PROPERTY

	Acre. of Land		Group / Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Deniyaya Land	5.542	5.542	755,727	755,727

7.1 In 2018, the Kolonna Divisional Secretariat acquired a land extent of 38.458 acres for a consideration of Rs. 17,649,975/-. The portion of land which remained with the Company of 5.542 acres is reflected at the proportionate cost as Investment Property.

7.2 The fair value of Investment Property is deemed to be Rs. 2,543,458/-, which is based on the price determined by Kolonna Divisional Secretariat and Valuation Department for acquisition of the adjoining property.

8. OTHER FINANCIAL ASSETS

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Balance at the the Beginning of the Year	11,649,911	190,189	11,457,143	62,763
Loan Granted During the Year	-	12,252,363	-	11,946,209
Less : Repayments	(2,446,578)	(792,641)	(2,253,810)	(551,829)
Balance at the the End of the Year	9,203,333	11,649,911	9,203,333	11,457,143
Loans to Company Employees - Non Current	8,118,954	9,888,974	8,118,954	9,888,974
Loans to Company Employees - Current	1,084,379	1,760,937	1,084,379	1,568,169
	9,203,333	11,649,911	9,203,333	11,457,143

NOTES TO THE FINANCIAL STATEMENTS CONTD.

9. OTHER RECEIVABLES, PREPAYMENTS AND ADVANCES

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Refundable Deposits	1,373,791	1,403,891	1,373,791	1,403,891
Prepayments	7,144,385	5,633,560	3,259,788	2,591,772
Medical Recoverable	936,333	1,852,514	936,333	1,852,514
Capital Advances	4,250,455	3,179,160	4,250,455	2,864,160
Other Receivable	47,024,206	7,358,397	46,582,268	7,116,652
	60,729,169	19,427,522	56,402,634	15,828,989

10. INVENTORY

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Packing Material	1,478,005	753,889	1,478,005	753,889
Stationery	193,269	160,294	193,269	160,294
Other Consumables	2,797,560	2,645,394	2,691,899	2,539,733
	4,468,834	3,559,577	4,363,173	3,453,916

11. TRADE RECEIVABLES

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Trade Receivables - Others	901,136,529	818,007,503	851,117,209	755,209,932
Less: Provision for Impairment of Trade Receivables - Others (11.2)	(16,556,215)	(14,242,679)	(15,678,154)	(13,624,823)
	884,580,314	803,764,824	835,439,055	741,585,109
Trade Receivables - Related Parties (11.1)	2,108,966	1,480,689	143,449	124,210
	886,689,281	805,245,513	835,582,504	741,709,319

11.1 Trade Receivables - Related Parties

		Group		Company	
	Relationship	2024	2023	2024	2023
		Rs.	Rs.	Rs.	Rs.
Lanka Commodity Brokers Ltd	Ultimate Parent	2,108,966	1,480,689	-	-
Siyaka Produce Brokers (Pvt) Ltd	Subsidiary	-	-	143,449	124,210
		2,108,966	1,480,689	143,449	124,210

11.2 Provision for Impairment of Trade Receivables

As at 31 March 2024, Trade Receivables of an initial value of Rs. 15,678,154/- (2023 - Rs. 13,624,823/-) were impaired in the Company and Rs. 16,556,215/- (2023 - Rs. 14,242,679/-) were impaired in the Group.

	Group	Company
	2024 Rs.	2024 Rs.
Balance at the Beginning of the Year	(14,242,679)	(13,624,823)
Amount (Charged)/Reversal During the Year	(2,313,536)	(2,053,331)
Balance at the End of the Year	(16,556,215)	(15,678,154)

11.3 Trade Receivables are Non-Interest bearing and on 7 days credit terms. As at 31 March, the Ageing analysis of Trade Receivables is as follows:

Group	2024			2023		
	Total Rs.	Neither past due nor Impaired Rs.	Past due 8-120 days Rs.	Total Rs.	Neither past due nor Impaired Rs.	Past due 8-120 days Rs.
Trade Receivables - Others	901,136,529	825,302,688	75,833,841	818,007,503	726,170,203	91,837,300
Trade Receivables - Related Parties (11.1)	2,108,966	649,384	1,459,582	1,480,689	818,975	661,714
	903,245,495	825,952,072	77,293,423	819,488,192	726,989,178	92,499,014

Company	2024			2023		
	Total Rs.	Neither past due nor Impaired Rs.	Past due 8-120 days Rs.	Total Rs.	Neither past due nor Impaired Rs.	Past due 8-120 days Rs.
Trade Receivables - Others	851,117,209	798,087,755	53,029,454	755,209,932	702,880,478	52,329,454
Trade Receivables - Related Parties (11.1)	143,449	143,449	-	124,210	124,210	-
	851,260,658	798,231,204	53,029,454	755,334,142	703,004,688	52,329,454

12. LOANS AND ADVANCES

	Group		Company	
	2024 Rs.	2023 Rs.	2024 Rs.	2023 Rs.
Short Term Loans to Clients	163,869,913	113,935,204	163,869,913	113,935,204
Advances to Tea Clients	1,557,966,021	1,723,467,431	1,557,966,021	1,723,467,431
Less : Provision for Impairment of Loans and Advances (12.1)	(233,393,136)	(174,793,985)	(233,393,136)	(174,793,985)
Loans and Advances to Rubber and Spices Clients	11,577,698	6,338,121	11,577,698	6,338,121
	1,500,020,496	1,668,946,771	1,500,020,496	1,668,946,771

NOTES TO THE FINANCIAL STATEMENTS CONTD.

12.1 Provision for Impairment of Loans and Advances

As at 31 March 2024, Loans and Advances of an initial value of Rs. 233,393,136/- (2023 - Rs. 174,793,985/-) were impaired in the Company and Group. The movement of the provision for expected credit losses on Loans and Advances are given below.

	Group/ Company	
	2024	2023
	Rs.	Rs.
Balance at the Beginning of the Year	(174,793,985)	(115,170,480)
Impairment Provision of the Year	(69,199,589)	(70,780,558)
Provision Revearsals - Related to Written Off	10,600,438	11,157,053
Balance at the End of the Year	(233,393,136)	(174,793,985)

12.2 As at 31 March, the Aging analysis of Loans and Advances is as follows:

	2024			2023		
	Total	Neither past due nor Impaired	Past due 28 to 90 days	Total	Neither past due nor Impaired	Past due 28 to 90 days
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Group						
Loans and Advances	1,733,413,632	1,500,020,496	233,396,136	1,843,740,755	1,185,527,805	658,212,950
	1,733,413,632	1,500,020,496	233,396,136	1,843,740,755	1,185,527,805	658,212,950
Company						
Loans and Advances	1,733,413,632	1,500,020,496	233,396,136	1,843,740,755	1,185,527,805	658,212,950
	1,733,413,632	1,500,020,496	233,396,136	1,843,740,755	1,185,527,805	658,212,950

13. CASH AND CASH EQUIVALENTS

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Components of Cash and Cash Equivalents				
Favorable Cash and Cash Equivalent balance	118,679,487	122,878,987	113,209,824	114,966,937
Cash and Bank balances	118,679,487	122,878,987	113,209,824	114,966,937
Unfavorable Cash and Cash Equivalent balance	(166,392,561)	(183,951,763)	(166,392,561)	(183,951,763)
Total Cash and Cash Equivalent balance for the purpose of Statement of Cash Flows	(47,713,074)	(61,072,776)	(53,182,737)	(68,984,826)

14. STATED CAPITAL

	2024		2023	
	Number	Rs.	Number	Rs.
Fully Paid Ordinary Shares	260,000,000	100,000,000	260,000,000	100,000,000

15. RETIREMENT BENEFIT OBLIGATION

15.1 Retirement Benefits Obligation-Gratuity

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
At the Beginning of the Year	59,329,465	61,911,306	50,330,931	54,494,939
Charge for the Year	13,919,288	13,212,907	11,692,866	11,277,979
Actuarial Loss /(Gain) for the Year	7,187,191	5,753,417	3,540,465	5,317,823
Benefits Paid	(2,817,131)	(21,548,166)	(2,022,559)	(20,759,810)
At the End of the Year	77,618,812	59,329,465	63,541,703	50,330,931

15.2 Retirement Benefit Obligation costs recognized under Administrative Expenses in the Statement of Profit or Loss

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Current Service Cost	4,248,585	3,492,832	3,488,924	2,722,274
Interest Cost	9,670,703	9,720,075	8,203,942	8,555,705
	13,919,288	13,212,907	11,692,866	11,277,979

15.3 Messrs. Actuarial & Management Consultants (Private) Limited Actuaries, carried out an actuarial valuation of the defined benefit plan gratuity using the Projected Unit Credit (PUC) method as at 31 March 2024 and 31 March 2023. Appropriate and compatible assumptions were used in determining the cost of Retirement Benefits Obligation.

15.4 The Principal Assumptions used are as follows:

	Group		Company	
	2024	2023	2024	2023
Discount Rate per annum	12.1%	16.3%	12.1%	16.3%
Salary Increment Rate per annum	5% - 8%	5% - 6%	5% - 8%	5% - 6%
Staff Turnover Rate per annum	10% - 19%	13% - 14%	10%	14%
Expected Remaining Service Life Years	6.36-6.82	5.3-5.41	6.82	5.41
Retirement Age Years	55-60	55-60	55-60	55-60

NOTES TO THE FINANCIAL STATEMENTS CONTD.

15. RETIREMENT BENEFIT OBLIGATION (CONTD...)

15.5 Sensitivity of Assumptions employed in Actuarial Valuation

The following table demonstrate the sensitivity to a reasonably possible change in the key assumptions employed with all other variables held constant in the Retirement Benefit Obligation measurement.

The effect of per unit changes in Discount Rate, Salary Increment Rate and Staff Turnover Rate on Statement of Other Comprehensive Income and Statement of Financial Position -Retirement Benefit Obligation is as follows.

			2024			
			Group		Company	
Increase/ (Decrease) in Discount Rate	Increase/ (Decrease) in Salary Increment Rate	Increase/ (Decrease) in Staff Turn Over Rate	Effect on Change to Statement of Other Comprehensive Income	Effect on Retirement Benefit Obligation	Effect on Change to Statement of Other Comprehensive Income	Effect on Retirement Benefit Obligation
			Rs.	Rs.	Rs.	Rs.
1%	*	*	2,485,413	(2,485,413)	1,886,606	(1,886,606)
-1%	*	*	(2,670,161)	2,670,161	(2,021,700)	2,021,700
**	1%	*	(3,017,129)	3,017,129	(2,280,506)	2,280,506
**	-1%	*	2,847,413	(2,847,413)	2,158,227	(2,158,227)
**	*	1%	(556,016)	556,016	(403,995)	403,995
**	*	-1%	596,798	(596,798)	435,282	(435,282)

* Salary Increment Rate 5% - 8% for the Company and Group
** Discount Rate 12.1% for the Company and Group
*** Staff Turnover Rate 10% for the Company and 10% - 19% for the Group

			2023			
			Group		Company	
Increase/ (Decrease) in Discount Rate	Increase/ (Decrease) in Salary Increment Rate	Increase/ (Decrease) in Staff Turnover Rate	Effect on Change to Statement of Other Comprehensive Income	Effect on Retirement Benefit Obligation	Effect on Change to Statement of Other Comprehensive Income	Effect on Retirement Benefit Obligation
			Rs.	Rs.	Rs.	Rs.
1%	*	*	1,223,127	(1,223,127)	928,228	(928,228)
-1%	*	*	(1,299,488)	1,299,488	(982,369)	982,369
**	1%	*	(1,600,627)	1,600,627	(1,213,545)	1,213,545
**	-1%	*	1,525,677	(1,525,677)	1,161,950	(1,161,950)
**	*	1%	(525,625)	525,625	(348,934)	348,934
**	*	-1%	557,066	(557,066)	370,325	(370,325)

* Salary Increment Rate 5% - 6% for the Company and Group
** Discount Rate 16.3% for Company and Group
*** Staff Turnover Rate 14% for the Company and 13% - 14% for the Group

15.6 Distribution of Post Employment Benefit Obligation Over Future Lifetime

The following table demonstrates distribution of future working lifetime of the Post Employment Benefit Obligation (Undiscounted) as at the reporting date.

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Future Working Life Time				
Within the next 12 months	20,918,365	35,046,654	17,786,927	33,019,107
Between 1-2 years	27,416,500	7,810,983	25,327,198	4,749,706
Between 2-5 years	14,692,737	10,069,033	11,440,800	8,621,758
Between 5-10 years	10,766,815	5,077,101	6,050,555	3,016,644
Beyond 10 years	3,824,395	1,325,693	2,936,223	923,716
Total	77,618,812	59,329,464	63,541,703	50,330,931

16. INTEREST BEARING BORROWINGS - GROUP

Bank	Amount	Interest Rate	Maturity	2024	2023
				Rs.	Rs.
Commercial Bank	Rs. 450 Mn	AWPLR + 1.5% p.a	March 2024	10,585,954	75,000,002
				10,585,954	75,000,002

	Amount repayable within 1 year	Amount repayable after 1 year	Total
	Rs.	Rs.	Rs.
As at 31 March 2024			
Bank Loans- Commercial Bank	10,585,954	-	10,585,954
	10,585,954	-	10,585,954
As at 31 March 2023			
Bank Loans- Commercial Bank	64,285,710	10,714,292	75,000,002
	64,285,710	10,714,292	75,000,002

	As at 01.04.2023	Loans Obtained	Repayment	As at 01.04.2024
	Rs.	Rs.	Rs.	Rs.
Commercial Bank	75,000,002	-	(64,414,048)	10,585,954
	75,000,002	-	(64,414,048)	10,585,954

NOTES TO THE FINANCIAL STATEMENTS CONTD.

17. TRADE PAYABLES

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Trade Payables - Others	1,051,112,103	985,050,333	1,051,112,103	985,050,333
Trade Payables - Related Parties (17.1)	-	-	54,228,543	14,060,954
	1,051,112,103	985,050,333	1,105,340,646	999,111,287

17.1 Amount payable to Related Parties

		Group		Company	
	Relationship	2024	2023	2024	2023
		Rs.	Rs.	Rs.	Rs.
Asia Siyaka Warehousing (Pvt) Ltd	Subsidiary	-	-	54,228,543	14,060,954
		-	-	54,228,543	14,060,954

The amount due to Asia Siyaka Warehousing (Pvt) Ltd is subject to an annual average interest rate of 16.95% (2023: 26.75%)

18. INTEREST BEARING BORROWINGS ON CLIENT FINANCING

	Group/ Company	
	2024	2023
	Rs.	Rs.
Short Term Loans	886,000,000	990,000,000
	886,000,000	990,000,000

The Group has pledged its assets as security for the Interest Bearing Loans and Borrowings obtained as stated in Note 30.

19. REVENUE FROM CONTRACTS WITH THE CUSTOMERS

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Revenue from Contracts with Customers				
Brokerage Income	465,340,307	523,545,195	465,340,307	523,545,195
Packing Material Operations	2,602,638	3,432,883	2,602,638	3,432,883
Warehousing Income	331,579,033	297,716,396	1,725,747	2,196,734
Others	61,417,491	71,991,255	36,055,009	42,780,583
Total Revenue from Contracts with Customers	860,939,470	896,685,729	505,723,701	571,955,395
Interest on Loans and Client Advances	414,535,331	395,417,032	414,535,331	395,417,032
Total Revenue	1,275,474,800	1,292,102,761	920,259,031	967,372,427

20. OTHER INCOME AND GAINS

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Dividend Income	-	-	-	105,940,790
Profit / (Loss) on Sale of Property Plant and Equipment	913,564	1,064,081	411,000	-
Security Insurance	2,078,015	1,664,472	1,678,507	1,629,865
Consultancy Income	848,680	-	848,680	-
Commission Income	-	-	712,271	630,207
Cash Receipts from Write-off Loans and Advances	10,000,038	5,393,790	10,000,038	5,393,790
Solar Power Income	6,175,400	6,004,262	-	-
Exchange Gain/ (Loss)	(676,586)	491,898	(676,586)	491,898
Other Income - 3PL	2,129,400	967,699	-	-
Others	156,192	191,221	8,500	2,500
	21,624,702	15,777,424	12,982,410	114,089,050

21. FINANCE COST

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Bank Charges	1,913,093	1,518,833	1,880,983	1,489,286
Interest on Overdraft	8,110	466,519	8,110	466,019
Interest on Borrowings	226,643,974	266,786,348	216,417,150	244,267,599
Interest on Intercompany Advances	-	-	3,758,420	9,886,469
Interest Expense on Amortization of Lease Creditor	5,580,805	1,086,994	7,909,829	2,482,902
Ammortaization of Finance Cost-Staff	744,574	126,729	744,574	126,729
	234,890,556	269,985,423	230,719,062	258,719,004

22. FINANCE INCOME

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Interest on Savings Accounts	7,153,168	6,492,996	7,109,679	6,492,996
Interest Income on Penalties	4,064,339	9,198,857	4,064,339	9,198,857
Other Interest	1,930,441	211,588	1,923,324	196,628
	13,147,948	15,903,441	13,097,342	15,888,481

NOTES TO THE FINANCIAL STATEMENTS CONTD.

23. PROFIT BEFORE TAX

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Stated after Charging				
Employee Benefits including the following	158,256,794	148,606,196	120,953,031	107,977,660
Defined Contribution Plan Costs	18,882,624	17,664,900	14,307,320	12,613,002
Retirement Benefit Obligation - Gratuity	13,919,288	13,212,907	11,692,866	11,277,979
Depreciation and Amortization	87,738,865	87,003,606	12,659,212	12,443,532
Provision for Impairment of Loans & Advances	58,599,151	59,623,505	58,599,151	59,623,505
Provision/(Reversal) for Impairment of Trade Receivables	2,313,536	2,524,041	2,053,331	2,560,600
Bad Debt Written Off	6,031,501	6,586,904	6,031,501	6,451,577
External Audit Fees	1,072,629	1,082,991	834,912	795,157
Internal Audit Fees	844,800	798,000	588,800	798,000

24. INCOME TAX EXPENSE

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Current Income Tax				
Current Income Tax Charge	132,450,438	144,751,412	106,549,000	120,412,623
Over/(Under) Provision of Tax Expense in respect of Prior years	(1,011,461)	637,562	213,649	540
	131,438,976	145,388,974	106,762,649	120,413,163
Deferred Income Tax				
Relating Origination and Reversal of Temporary Differences (Note 25)	(22,684,867)	(814,249)	(21,983,828)	(21,206,584)
	108,754,109	144,574,725	84,778,821	99,206,579

24.1 Reconciliation between Accounting Profit and Taxable Income

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Accounting Profit (Profit before Taxation)	317,965,317	397,710,641	232,117,997	413,895,820
Dividend Income from Group Companies	-	105,940,790	-	-
Other Consolidation Adjustments	-	105,770,383	-	-
Profit After Adjustments	317,965,317	609,421,814	232,117,997	413,895,820
Non-Deductible Items	252,552,123	213,585,963	174,280,758	135,369,712
Deductible Items	(145,320,276)	(295,162,869)	(64,332,763)	(173,967,186)
Statutory Income from Business	425,197,164	527,844,908	342,065,992	375,298,346
Investment Income	16,304,304	137,588,550	13,097,342	121,682,859
Total Statutory Income	441,501,469	665,433,457	355,163,334	496,981,205
Total Taxable Income	441,501,469	665,433,457	355,163,334	496,981,205
Statutory Tax Rates				
-Income Tax on Profits (Up to 30/09/2022)	24%	24%	24%	24%
-Income Tax on Profits (From 01/10/2022)	30%	30%	30%	30%
Income Tax on Profitat 14%	-	27,886,262	-	14,831,711
Income Tax on Profitat 24%	-	57,368,491	-	46,924,850
Income Tax on Profitat 30%	132,450,438	59,496,659	106,549,000	58,656,062
Current Income Tax Charge	132,450,438	144,751,412	106,549,000	120,412,623
24.2 Effective Tax Rate	42%	36%	46%	29%

NOTES TO THE FINANCIAL STATEMENTS CONTD.

25. DEFERRED TAX

25.1 Deferred Tax Charge/(Reversal) Recognised through;

	Group		Company	
	2024 Rs.	2023 Rs.	2024 Rs.	2023 Rs.
Statement of Profit or Loss				
Charge/ (Reversal) Arising on During the Year Movement	(22,684,867)	1,824,683	(21,983,828)	(18,606,917)
Charge/ (Reversal) Due to Change in Tax Rates	-	(2,638,932)	-	(2,599,667)
	(22,684,867)	(814,249)	(21,983,828)	(21,206,584)
Other Comprehensive Income				
Charge/ (Reversal) Arising on During the Year Movement	(2,156,157)	89,213,629	(1,062,140)	(1,595,347)
Charge/ (Reversal) Due to Change in Tax Rates	-	22,422,781	-	-
	(2,156,157)	111,636,410	(1,062,140)	(1,595,347)

25.2 Deferred Tax - Group

	Statement of Financial Position		Profit or Loss		Other Comprehensive Income	
	2024 Rs.	2023 Rs.	2024 Rs.	2023 Rs.	2024 Rs.	2023 Rs.
Deferred Tax Liability						
Accelerated Depreciation for Tax Purposes	90,030,669	90,023,576	7,092	21,183,063	-	-
Revaluation of PPE	214,750,180	214,750,180	-	-	-	113,362,435
	304,780,848	304,773,756	7,092	21,183,063	-	113,362,435
Deferred Tax Assets						
Defined Benefit Plans	(23,285,644)	(17,798,839)	(3,330,633)	(1,214,101)	2,156,157	(1,726,025)
Unused Tax Losses	-	-	-	-	-	-
Bad and Doubtful Debts	(50,112,726)	(31,850,786)	(18,261,940)	(21,295,060)	-	-
Unclaimed ROUA	(1,265,174)	(165,788)	(1,099,386)	511,849	-	-
	(74,663,544)	(49,815,413)	(22,691,959)	(21,997,312)	2,156,157	(1,726,025)
Deferred Income Tax Charge			(22,684,867)	(814,249)	(2,156,157)	111,636,410
Net Deferred Tax Liability	230,117,304	254,958,343				

25.3 Deferred Tax - Company

	Statement of Financial Position		Profit or Loss		Other Comprehensive Income	
	2024 Rs.	2023 Rs.	2024 Rs.	2023 Rs.	2024 Rs.	2023 Rs.
Deferred Tax Liability						
Accelerated depreciation for Tax Purposes	488,232	287,704	200,528	(26,523)	-	-
	488,232	287,704	200,528	(26,523)	-	-
Deferred Tax Assets						
Defined Benefit Plans	(19,062,511)	(15,099,279)	(2,901,092)	(425,147)	(1,062,140)	(1,595,347)
Provision for Bad and Doubtful Debts	(49,849,308)	(31,665,429)	(18,183,879)	(21,266,763)	-	-
Tax Loss	-	-	-	-	-	-
Unclaimed ROUA	(1,265,174)	(165,788)	(1,099,386)	511,849	-	-
	(70,176,992)	(46,930,496)	(22,184,357)	(21,180,061)	(1,062,140)	(1,595,347)
Deferred Income Tax Charge			(21,983,828)	(21,206,584)	(1,062,140)	(1,595,347)
Net Deferred Tax Liability	(69,688,760)	(46,642,792)				

26. EARNINGS PER SHARE

26.1 Basic Earnings Per Share is calculated by dividing the net profit for the year attributable to ordinary shareholders of the company, by the weighted average number of ordinary shares outstanding during the year.

26.2 The following reflects the income and share data used in the Basic Earnings Per Share computation.

	Group		Company	
	2024 Rs.	2023 Rs.	2024 Rs.	2023 Rs.
Amount Used as the Numerator:				
Net Profit for the year	209,211,207	253,135,916	147,339,179	314,689,241
Number of Ordinary Shares Used as the Denominator:				
Weighted Average number of Ordinary Shares in issue applicable to Basic Earnings Per Share	260,000,000	260,000,000	260,000,000	260,000,000
Basic Earning Per Share	0.80	0.97	0.57	1.21

26.3 There were no potentially Dilutive Ordinary Shares outstanding at any time during the year.

NOTES TO THE FINANCIAL STATEMENTS CONTD.

27. DIVIDEND PER SHARE

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Total Gross Dividends	143,000,000	124,800,000	143,000,000	124,800,000
Number of Shares	260,000,000	260,000,000	260,000,000	260,000,000
Dividend Per Share	0.55	0.48	0.55	0.48
27.1 Dividend Pay Out Ratio	68%	49%	97%	40%

28. SEGMENTAL INFORMATION AND REVENUE

Primary Reporting Format - Business Segments

As at 31 March 2024, the qualifying segments under business segment reporting are as follows;

- Commodity Brokering
- Warehousing

The following tables present revenue and profit and certain asset and liability information regarding the Group's Business Segments:

Management monitors the operating results of its business units separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profit or loss and is measured consistently with operating profit or loss in the consolidated financial statements.

	Commodity Brokering		Warehousing		Elimination of Inter-Segment		Total	
	2024	2023	2024	2023	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Revenue								
Revenue from Contracts with Customers	529,360,437	598,969,333	331,579,033	297,716,396	-	-	860,939,470	896,685,729
Interest on Loans and Client Advances	414,535,331	395,417,032	-	-	-	-	414,535,331	395,417,032
Total Revenue	943,895,768	994,386,365	331,579,033	297,716,396	-	-	1,275,474,801	1,292,102,761
Results								
Finance Costs	(230,719,062)	(258,719,004)	(9,755,293)	(22,548,796)	5,583,799	11,282,377	(234,890,556)	(269,985,424)
Finance Income	13,097,342	15,888,481	3,299,659	9,901,429	(3,249,052)	(9,886,469)	13,147,948	15,903,442
Depreciation & Amortization	(2,278,838)	(1,529,193)	(76,740,429)	(76,238,270)	-	-	(79,019,266)	(77,767,463)
Amortization of Right of Use Assets	(10,380,374)	(10,914,339)	(940,000)	(940,000)	2,600,775	2,618,196	(8,719,599)	(9,236,143)
Gratuity Expense	(11,692,866)	(11,277,979)	(2,226,422)	(1,934,928)	-	-	(13,919,288)	(13,212,907)
Profit before Income Tax	244,142,198	413,842,618	73,823,119	89,638,406	-	(105,770,383)	317,965,316	397,710,641
Assets and Liabilities								
Segment Assets	2,870,562,294	2,842,059,101	1,366,705,239	1,379,215,751	(240,598,877)	(213,537,874)	3,972,344,645	4,007,736,978
Segment Liabilities	2,344,698,829	2,317,522,523	431,459,071	452,545,544	(14,185,162)	(23,796,865)	2,649,698,695	2,746,271,202

Elimination of inter-segment transactions includes dividend income received from Asia Siyaka Warehousing (Private) Limited of Rs. Nil (2023- Rs.105,940,790/-), vehicle hire charges of Rs. 8,169,231/- (2023 - Rs.7,380,000/-) and warehousing income of Rs. 3,843,697/- (2023 - Rs. 3,441,240/-).

29. COMMITMENTS AND CONTINGENCIES

29.1 Capital Commitments

The Group/ Company has purchase and construction commitments on Property, Plant and Equipment incidental to the ordinary course of business as at 31 March, as follows:

	Group		Company	
	2024	2023	2024	2023
	Rs.	Rs.	Rs.	Rs.
Authorised by the Board, but not Contracted for	-	-	-	-
	-	-	-	-

29.2 Contingencies

Asia Siyaka Warehousing (Pvt) Ltd issue Corporate Guarantees to banks on behalf of the parent company, at the reporting date corporate guarantees issued amounted to Rs. 2,130 Mn (2023 - Rs. 1,950 Mn).

There have been no other significant contingencies as at the end of the reporting period that require adjustments to or disclosure in the financial statements.

30. ASSETS PLEDGED

30.1 Details of Assets Pledged together with the related banking facilities are as follows - Company

Bank	Nature of Facility	Facility Limit	Interest	Security/Assets pledged
NDB Bank	Short term loans	Rs.150Mn	Variable	Mortgage over book debts of Rs.150Mn and Corporate Guarantee from Asia Siyaka Warehousing (Pvt) Ltd for Rs.150Mn.
Commercial Bank	Short term loans	Rs.580Mn	Variable	Mortgage over book debts for Rs. 580 Mn and Corporate Guarantee from Asia Siyaka Warehousing (Pvt) Ltd for Rs. 580 Mn.
Hatton National Bank	Short term loans	Rs. 700Mn	Variable	Corporate Guarantee from Asia Siyaka Warehousing (Pvt) Ltd for Rs.700Mn.
Seylan Bank	Short term loans	Rs. 400Mn	Variable	Corporate Guarantee for Rs.400Mn from Asia Siyaka Warehousing (Pvt) Ltd.
Amana Bank	Short term loans	Rs. 300Mn	Variable	Corporate Guarantee for Rs.300Mn from Asia Siyaka Warehousing (Pvt) Ltd.

30.2 Details of Assets Pledged together with the related banking facilities are as follows - Subsidiary

Bank	Nature of Facility	Amount	Interest	Security/Assets pledged
Commercial Bank	Long Term Loan	Rs. 450 Mn	AWPLR + 1.5% p.a	Mortgage the leasehold rights of the Muthurajawela land

NOTES TO THE FINANCIAL STATEMENTS CONTD.

31. EVENTS AFTER THE REPORTING PERIOD

There have been no material events occurring after the reporting period that require adjustments to the financial statements.
The board of directors of the company has declared a final payment of Dividend of Rs.0.25(25 Cents) per share on 28th May 2024 for the year ended 31st March 2024. This would result in a total cash outflow of Rs.65,000,000/-.

32. RELATED PARTY DISCLOSURES

32.1 Details of significant related party disclosures are as follows;

Nature of Relationship	Group	
	Lanka Commodity Brokers Ltd Parent	Total Rs.
Nature of Transaction		
As at 01 April 2023	1,480,689	1,480,689
Sale of Goods and Rendering of Services	14,964,546	14,964,545
Payments Made	(14,336,269)	(14,336,269)
As at 31 March 2024	2,108,966	2,108,966

Nature of Relationship	Company		
	Siyaka Produce Brokers (Pvt) Ltd Subsidiary Rs.	Asia Siyaka Warehousing (Pvt) Ltd Subsidiary Rs.	Total Rs.
Nature of Transaction			
As at 01 April 2023	124,210	(14,060,954)	(13,936,744)
Sale of Goods and Services	-	(19,473,169)	(19,473,169)
Interest Cost on Loans	-	(3,249,050)	(3,249,050)
Fund Received/(Transferred)	-	(243,714,114)	(243,714,114)
Payments Made	-	160,100,025	160,100,025
Expenses Paid/ (Incurred)	19,239	66,168,724	66,187,963
As at 31 March 2024	143,449	(54,228,538)	(54,085,089)

The sales to and purchases from related parties are made at terms equivalent to those that prevail in arm's length transactions. Outstanding balances at the year-end are unsecured and subject to an average interest of 16.95% per annum except for balances from parent. The guarantees received from Asia Siyaka Warehousing (Private) Ltd is amounting to Rs. 2,130 Mn (2023 - Rs. 1,950Mn). For the year ended 31 March 2024, the Company has not recorded any impairment of receivables relating to amounts owed by related parties (2023 - Nil). This assessment is undertaken in each financial year by examining the financial position of the related party and the market in which the related party operates.

32.1.1 Recurrent related party transactions

There were no recurrent related party transactions which in aggregate value exceeds 10% of the consolidated revenue of the Group as per 31st March 2024 audited financial statements, which required additional disclosure in the 2023/2024 Annual Report under Colombo Stock Exchange listing rule 9.3.2 and Code of Best Practice on Related Party Transactions under the Securities and Exchange Commission Directive issued under Section 13 (c) of the Securities and Exchange Commission Act.

32.1.2 Non Recurrent related party transactions

There were no non -recurrent related party transactions which in aggregate value exceeds 10% of equity or 5% of total assets whichever is lower of the Company as per 31st March 2024 audited financial statements, which required additional disclosure in the 2023/2024 Annual Report under Colombo Stock Exchange listing rule 9.3.2 and Code of Best Practice on Related Party Transactions under the Securities and Exchange Commission Directive issued under Section 13 (c) of the Securities and Exchange Commission Act.

32.2 Transactions with Key Management Personnel (KMP) of the Group

Related parties include KMPs defined as those persons having authority and responsibility for planning, directing and controlling the activities of the Company and it's Subsidiaries. Such KMPs include the Board of Directors, Chief Executive Officer and Other Senior Management Executives of the Group who meet the criteria described above.

	Group	
	2024	2023
	Rs.	Rs.
Salaries and Other Short Term Benefits	133,857,239	93,544,127
Post Employment Benefits	7,455,834	24,036,856
Loans to Employees	9,888,974	11,751,672
Contribution to Employees	-	5,000,000
	151,202,047	134,332,655

32.3 Following Directors are also Directors of the Related Entities

(i) Mr. S.T. Gunatilleke who is a Director of the Company is also the Chairman of Lanka Commodity Brokers Ltd.
(ii) Mr. C.L. de Silva, Mr. A.R. Cooke, Mr. D.J. Wedande, Mr. Y. Kuruneru, Mr. R.C. Dissanayake, Mr. A. Vaithylingam and Mr. M.R. Morris who are Directors of the Company are also Directors of Asia Siyaka Warehousing (Pvt) Ltd which is a fully owned subsidiaries of the Company.
(iii) Mr. A.R. Cooke, Mr. D.J. Wedande and Mr. S. G. Amarasuriya who are Directors of the Company are also Directors of Siyaka Produce Brokers (Pvt) Ltd. which is a fully owned subsidiaries of the Company.
(iv) Mr. S.G. Amarasuriya, Mr. J.N. Dambawinne and Mr.M.R.Morris who are Directors of the Company are also Directors of Lanka Commodity Brokers Ltd
(v) Mr. H. R. V. Caldera who is a Director of the Company is also the Proprietor of VC Associates which provides consultancy services to the company. During the year the Company paid Rs. 7,545,832/- as consultancy fees to VC Associates.
(vi) Mr. D.J. Wedande who is a Director of the Company provides consultancy services to the company. During the year the Company paid Rs. 10,218,391/- as consultancy fees.

NOTES TO THE FINANCIAL STATEMENTS CONTD.

33. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

The Group's principal financial liabilities comprise interest bearing loans and borrowings and trade and other payables. The main purpose of these financial liabilities is to finance the Group's operations. The Group has trade and other receivables, and cash and short-term deposits that arrive directly from its operations.

The Group is exposed to market risk, credit risk and liquidity risk.

The senior management of the Group oversees the management of these risks. The senior management of the Group determine on financial risks and the appropriate financial risk governance framework for the Group. The financial risk-taking activities are governed by appropriate policies and procedures and that financial risks are identified, measured and managed in accordance with Group policies and risk appetite.

The Board of Directors reviews and agrees policies for managing each of these risks which are summarized below.

Market risk

Interest rate risk
Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Group's exposure to the risk of changes in market interest rates relates primarily to the Group's long term debt and short term borrowings with floating interest rates. The Group manages its risk by striking a balance between long term and short term debts. The Group has easy access to funds at competitive interest rates.

Interest rate sensitivity
The following table demonstrates the sensitivity to a reasonably possible change in interest rates on that portion of the long term and short term borrowings. With all other variables held constant, the Group's profit before tax is affected through the impact on floating rate borrowings as follows;

	Group		Company	
	Change in Basis Points	Change in Profit before Tax Rs.	Change in Basis Points	Change in Profit before Tax Rs.
2024	300 (3%)	26,897,579	300 (3%)	26,580,000
2023	300 (3%)	31,950,000	300 (3%)	29,700,000

Equity Price risk
The Group's listed equity securities are susceptible to market price risk arising from uncertainties about the future values of the investments securities.

Credit risk
Credit risk is the risk that a counterparty will not meet its obligations under a financial instrument or customer contract, leading to a financial loss. The Group is exposed to credit risk from its operating activities (primarily for Trade receivables, Loans and advances) and from its financing activities, including deposits with banks.

Trade receivables
Customer credit risk is managed in accordance with the Group's established policy, procedures and control relating to customer credit risk management. Individual credit limits are defined in accordance with the prior experience with the customers. Outstanding customer receivables are regularly monitored. The requirement for an impairment is analyzed at each reporting date on an individual basis for major clients. Additionally, a large number of minor receivables are grouped into homogenous groups and assessed for impairment collectively. The calculation is based on expected credit loss. Hence the Group evaluate the concentration of risk with respect to trade receivable as low.

The maximum exposure to credit risk at the reporting date is the carrying value of Trade and other receivables, Loans and advances and Cash and cash equivalents disclosed in Note 11, 12 and 13 respectively.

Liquidity risk

The table below summarizes the maturity profile of the Group's financial liabilities based on contractual undiscounted payments.

	2024				
Group	On demand Rs.	Less than 3 months Rs.	Payable Within 1 Year Rs.	Payable after 1 Year Rs.	Total Rs.
Bank loans- Commercial Bank	-	-	10,585,954	-	10,585,954
Interest-Bearing Loans and Borrowings on Client Financing - STL	-	886,000,000	-	-	886,000,000
Lease Liabilities	-	-	5,146,526	30,203,886	35,350,412
Trade Payables	-	1,051,112,103	-	-	1,051,112,103
Bank Overdrafts	166,392,561	-	-	-	166,392,561
	166,392,561	1,937,112,103	15,732,480	30,203,886	2,149,441,030

	2023				
	On demand Rs.	Less than 3 months Rs.	Payable Within 1 Year Rs.	Payable after 1 Year Rs.	Total Rs.
Bank loans- Commercial Bank	-	-	64,285,710	10,714,292	75,000,002
Interest-Bearing Loans and Borrowings on Client Financing - SLT	-	990,000,000	-	-	990,000,000
Lease Liabilities	-	-	2,117,667	-	2,117,667
Trade Payables	-	985,050,333	-	-	985,050,333
Bank Overdrafts	183,951,763	-	-	-	183,951,763
	183,951,763	1,975,050,333	66,403,377	10,714,292	2,236,119,765

NOTES TO THE FINANCIAL STATEMENTS CONTD.

Company	2024				
	On demand Rs.	Less than 3 months Rs.	Payable Within 1 Year Rs.	Payable after 1 Year Rs.	Total Rs.
Interest-Bearing Loans and Borrowings on Client Financing - STL	-	886,000,000	-	-	886,000,000
Trade Payables	-	1,105,340,646	-	-	1,105,340,646
Lease Liabilities	-	-	7,638,810	35,411,901	43,050,711
Bank Overdrafts	166,392,561	-	-	-	166,392,561
	166,392,561	1,991,340,646	7,638,810	35,411,901	2,200,783,919

	2023				
	On demand Rs.	Less than 3 months Rs.	Payable Within 1 Year Rs.	Payable after 1 Year Rs.	Total Rs.
Interest-Bearing Loans and Borrowings on Client Financing - STL	-	990,000,000	-	-	990,000,000
Trade Payables	-	999,111,287	-	-	999,111,287
Lease Liabilities	-	-	4,029,071	7,700,299	11,729,370
Bank Overdrafts	183,951,763	-	-	-	183,951,763
	183,951,763	1,989,111,287	4,029,071	7,700,299	2,184,792,420

Capital management

Capital includes equity attributable to the equity holders of the parent. The primary objective of the Group's capital management is to ensure that it maintains healthy capital ratios in order to support its business and maximize shareholder value. The Group manages its capital structure and makes adjustments to it in light of changes in economic conditions. The Group has long term debt in its capital structure amounting to Rs. 10 Mn. (2023- Rs. 75 Mn).

No changes were made in the objectives, policies or processes for managing capital during the years ended 31 March 2024 and 31 March 2023.

SHAREHOLDER INFORMATION

DIRECTORS' AND CEO'S SHAREHOLDING AS AT 31ST MARCH 2024

		No. of Shares	%
1.	Mr. C L de Silva	NIL	-
2.	Mr. A R Cooke	9,747,143	3.75
3.	Mr. D J Wedande	8,403,067	3.23
4.	Mr. S T Gunatilleke	130,000	0.05
5.	Mr. S G Amarasuriya	NIL	-
6.	Mr. Y Kuruneru	2,499,063	0.96
7.	Mr. H R V Caldera	NIL	-
8.	Mr. J N Dambawinne	NIL	-
9.	Mr. R C Dissanayake	1,279,808	0.49
10.	Mr. A Vaithylingam	NIL	-
11.	Mr. M R Morris	NIL	-

SHARE PRICES FOR THE YEAR

	Market Price per Share	As at 31/03/2024	Date	As at 31/03/2023	Date
1.	Highest during the year	Rs. 4.70	24.07.2023	Rs. 6.30	23.09.2022
2.	Lowest during the year	Rs. 3.80	30.05.2023	Rs. 1.90	28.04.2022
3.	As at End of the Year	Rs. 4.20	28.03.2024	Rs. 4.00	31.03.2023
4.	Last traded	Rs. 4.20	28.03.2024	Rs. 4.00	31.03.2023

	2023/2024	2022/2023
Number of Transactions during the year	5,611	18,350
Number of Shares traded during the year	29,878,741	243,783,732
Value of shares traded during the year (Rs.)	127,060,101	1,049,316,658

PUBLIC HOLDING

1. Public Holding Percentage as at 31st March 2024 - **40.43%**
2. Total No. of Shareholders who holds the Public Holding as at 31st March 2024 – **2,099**
3. The float adjusted market capitalization as at 31st March 2024 – **Rs. 431,018,941.10**
4. The Float adjusted market capitalization of the Company falls under **Option 2** of Rule 7.13.1 (i) (b) of the Listing Rules of the Colombo Stock Exchange and the Company has complied with the minimum public holding requirement applicable under the said option.

SHAREHOLDER INFORMATION CONTD.

SHARE DISTRIBUTION

Share Holding as at 31st March 2024

From	To	No. of Holders	No. of Shares	%
1	1,000	1,030	269,477	0.10
1,001	10,000	635	2,641,041	1.02
10,001	100,000	350	12,415,091	4.78
100,001	1,000,000	77	921,270,387	8.18
Over 1,000,000		15	223,404,004	85.92
		2,107	260,000,000	100.00

CATEGORIES OF SHAREHOLDERS

Local Individuals	2,032	74,244,764	28.56
Local Institutions	66	184,228,021	70.86
Foreign Individuals	8	174,600	0.07
Foreign Institutions	1	1,352,615	0.52
	2,107	260,000,000	100.00

TWENTY MAJOR SHAREHOLDERS AS AT 31ST MARCH 2024

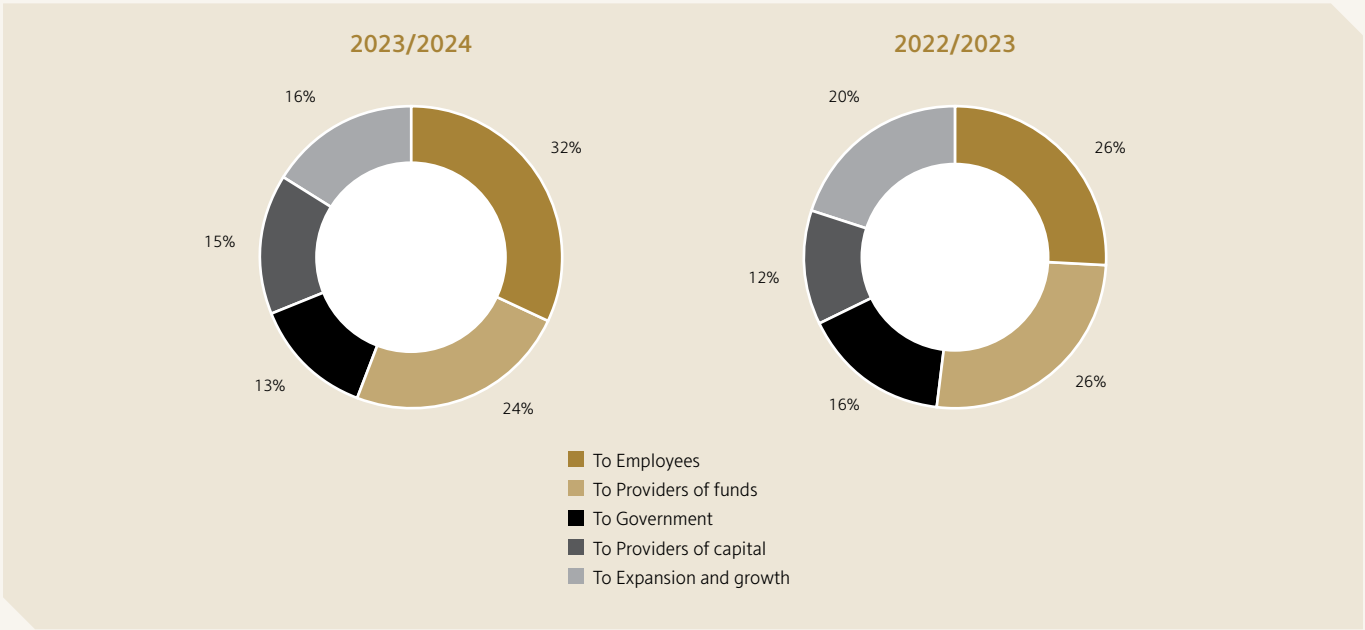
		As at 31st March 2024		As at 31st March 2023	
#	NAME	No. of Shares	%	No. of Shares	%
1.	Lanka Commodity Brokers Limited	132,678,464	51.030	132,678,464	51.030
2.	Maskeliya Tea Exports Pvt Ltd	-	-	30,591,252	11.766
	DFCC Bank PLC/Maskeliya Tea Exports Pvt Ltd	30,591,252	11.766	-	-
3.	Chadstone Pvt Ltd	13,485,035	5.187	13,485,035	5.187
4.	Mr K. V. Hewavitarne	11,000,000	4.231	11,000,000	4.231
5.	Mr A. R. Cooke	9,747,143	3.749	9,747,143	3.749
6.	Mr D. J. Wedande	8,403,067	3.232	8,403,067	3.232
7.	Mr A. D. Edussuriya	3,036,921	1.168	2,500,000	0.962
8.	Mr W. M. K. S. N. D. Fernando	2,625,656	1.010	2,625,656	1.010
9.	Mr Y. Kuruneru	2,499,063	0.961	2,499,063	0.961
10.	Citizens Development Business Finance PLC/R. M. .N C. Bandara	-	-	2,380,387	0.916
	Merchant Bank of Sri Lanka & Finance PLC/R. M. N. C. Bandara	2,380,387	0.916	-	-
11.	Dr. A. R. Mohamed	1,500,551	0.577	827,338	0.318
12.	Mr M. H. M. Nazeer (Deceased)	1,500,000	0.577	1,500,000	0.577
13.	Sandwave Limited	1,352,615	0.520	-	-
14.	Citizens Development Business Finance PLC/F. H. T. C. Silva	-	-	1,324,042	0.509
	Merchant Bank of Sri Lanka & Finance PLC/F. H. T. C. Silva	1,324,042	0.509	-	-
15.	Mr R. C. Dissanayake	1,279,808	0.492	1,279,808	0.492
16.	Mr B. L. S. Peiris & Mrs L.B. Peiris	1,000,000	0.385	1,000,000	0.385
17.	Miss. D. R. Edussuriya	1,000,000	0.385	-	-
18.	Mr B. Y. Edirisuriya & Mrs R. D. Edirisuriya & Mr P. M. Weerasuriya	1,000,000	0.385	175,001	0.067
19.	Mr H. K. S. Halloluwa	815,373	0.314	811,586	0.312
20.	Mr M. H. A. S. R. Perera	800,000	0.308	800,000	0.308
		228,019,377	87.701	223,627,842	86.011
	Others	31,980,623	12.299	36,372,158	13.989
		260,000,000	100.000	260,000,000	100.000

VALUE ADDED STATEMENT

	Group				Company			
	2023/2024		2022/2023		2023/2024		2022/2023	
	Rs.	%	Rs.	%	Rs.	%	Rs.	%
Revenue	1,275,474,802		1,292,102,761		920,259,031		967,372,427	
Other Income	21,624,703		15,777,425		12,982,410		114,089,050	
	1,297,099,505		1,307,880,186		933,241,441		1,081,461,477	
Cost of materials and services obtained	(358,572,966)		(268,982,591)		(231,657,166)		(185,608,870)	
Value Addition	938,526,539		1,038,897,595		701,584,275		895,852,607	
Value Allocated								
To Employees								
Salaries, wages and other benefits	290,179,376	31	266,411,499	26	221,354,876	32	195,073,514	22
To Providers of funds								
Interest to money lenders	228,570,909	24	266,786,348	26	222,064,668	32	254,154,068	28
To Government								
VAT/NTB on Financial Service	12,912,379		19,611,223		12,912,379		19,611,223	
VAT / NBT / Stamp Duty	476,154		684,072		465,150		674,450	
Rates & Taxes	683,537		690,205		10,000		-	
Income Tax	131,438,988		145,388,974		106,762,645		120,413,163	
Deferred Taxation	(22,684,878)		(814,251)		(21,983,831)		(21,206,584)	
	122,826,180	13	165,560,223	16	98,166,343	14	119,492,252	13
To Providers of capital								
Dividend paid to share holders	143,000,000	15	124,800,000	12	143,000,000	20	124,800,000	14
To expansion and growth								
Profit retained	66,211,207		128,335,916		4,339,181		189,889,241	
Depreciation and Amortization	87,738,867		87,003,605		12,659,209		12,443,532	
	153,950,074	16	215,339,525	21	16,998,388	2	202,332,773	23
	938,526,539	100	1,038,897,595	100	701,584,275	100	895,852,607	100

VALUE ADDED STATEMENT CONTD.

	Group			
	2023/2024		2022/2023	
	Rs.	%	Rs.	%
To Employees	290,179,376	32	266,411,499	26
To Providers of funds	228,570,909	24	266,786,348	26
To Government	122,826,180	13	165,560,223	16
To Providers of capital	143,000,000	15	124,800,000	12
To Expansion and growth	153,950,074	16	215,339,525	20
	938,526,539	100	1,038,897,595	100



Note : Previous Year figures were reclassified where relevent for better presentation and to be comparable with those of the current year.

GLOSSARY OF FINANCIAL TERMS

ACCOUNTING POLICIES

The specific principals, bases, conventions, rules and practices adopted by an enterprise in preparing and presenting Financial Statements.

ACCRUAL BASIS

Recording revenue & expenses in the period in which they are earned or incurred regardless of whether cash received or disbursed in that period.

AMORTISATION

The systematic allocation of the depreciable amount of an intangible asset over its useful life.

BORROWINGS

Bank loans, overdrafts, obligations and interest bearing liabilities.

CAPITAL EMPLOYED

Shareholders' funds plus debt.

CASH & CASH EQUIVALENT

Liquid investments with original maturity periods of three months or less.

CONTINGENT LIABILITY

A possible obligation that arises from past events whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the enterprise.

CURRENT RATIO

Current assets divided by current liabilities.

DEBT/EQUITY RATIO

Debt as a percentage of Shareholder funds.

DEFERRED TAXATION

Sum set aside for tax in the accounts of an entity that will become liable in a period other than that under review.

DIVIDEND PAYOUT RATIO

Profit paid out to shareholders as dividends as a percentage of profits made during the year.

DIVIDENDS

Distribution of profits to holders of equity investments.

EARNINGS PER SHARE

Profit attributable to ordinary shareholders divided by the number of ordinary shares.

GSA

The Gross Sales Average. This is the average sales price obtained (over a period of time, for a kilo of produce) before any deductions such as brokerage etc.

GRI

Global Reporting Initiatives

ISO

International Standards Organization

LEED

Leadership in Energy and Environmental Design

MARKET CAPITALISATION

Number of shares in issue at the end of the period multiplied by the market price.

NET ASSETS

Sum of fixed assets and current assets less total liabilities.

NET ASSETS PER SHARE

Net assets at the end of the period divided by the number of ordinary shares in issue.

NET TURNOVER PER EMPLOYEE

Net Turnover over average number of employees.

NSA

Net Sales Average.

PAT

Profit After Taxation.

PBT

Profit Before Taxation.

RELATED PARTIES

Parties who could control or significantly influence the financial and operating policies of the company.

RETURN ON EQUITY

Profit before tax divided by equity at the end of the period.

REVENUE RESERVE

Reserves considered as being available for distributions and investments or the portion of a business' profits retained by the company for investment in future growth, and are not redistributed to the shareholders through regular or special dividends.

SHAREHOLDER FUNDS

Total of issued and fully paid up capital and reserves.

STAFF TURNOVER RATIO

The ratio of the number of employees that leave a company through attrition, dismissal or resignation during a period to the number of employees on payroll during the same period.

TOTAL VALUE ADDED

The difference between revenue and expenses, cost of materials and services purchased from external sources.

VALUE ADDITION

The quantum of wealth generated by the activities of the group and its application.

VALUE CREATION

The performance of actions that increase the worth of goods, services or even a business.

WORKING CAPITAL

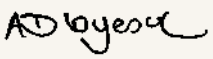
Current Assets exclusive of liquid funds and interest bearing financial receivables less operating liabilities plus non-interest bearing provisions.

NOTICE OF MEETING

NOTICE IS HEREBY GIVEN that the 12th Annual General Meeting of Asia Siyaka Commodities PLC will be held at the Auditorium of the Ceylon Chamber of Commerce No.50, Nawam Mawatha, Colombo 2 on 20th September 2024 at 9.30 a.m. to conduct the following business:

1. To receive and consider the Annual Report of the Board of Directors on the affairs of the Company and its subsidiaries and the Statement of Accounts for the year ended 31st March 2024 and the Report of the Auditors thereon.
2. To re-elect Mr. M R Morris who retires in terms of Article 87(i) of the Articles of Association, as a Director of the Company.
3. To elect Ms. R Rajapaksa in terms of Article 94 of the Articles of Association, as a Director of the Company;
4. To re-appoint Messrs Ernst & Young, Chartered Accountants, the retiring Auditors and to authorise the Directors to determine their remuneration.
5. To authorise the Directors to determine donations for the year ending 31st March 2025 and up to the date of the next Annual General Meeting.

By Order of the Board
ASIA SIYAKA COMMODITIES PLC



P W Corporate Secretarial (Pvt) Ltd
Director/Secretaries
At Colombo

23 August 2024

Notes:
1. A shareholder is entitled to appoint a Proxy to attend and vote at the meeting on his/her behalf.
2. A Proxy need not be a shareholder of the Company.
3. A Form of Proxy accompanies this Notice.
4. The completed Form of Proxy should be deposited at the Office of the Company, 1st Floor, “Deutsche House”, No. 320 T B Jayah Mawatha, Colombo 10 not later than 36 hours before the time appointed for the meeting.

FORM OF PROXY

*I/We.....holder of NIC No. .....

of..... being a *Shareholder /Shareholders of Asia Siyaka Commodities PLC, do hereby

appoint ..... holder of NIC No.....of

.....or failing him/her

Mr. C L de Silva	or failing him
Mr. A R Cooke	or failing him
Mr. D J Wedande	or failing him
Mr. S G Amarasuriya	or failing him
Mr. Y Kuruneru	or failing him
Mr. J N Dambawinne	or failing him
Mr. R C Dissanayake	or failing him
Mr. A Vaithylingam	or failing him
Mr. M R Morris	or failing him
Ms. R Rajapaksa	

..... of .....
as *my/our proxy to represent me/us to speak and vote for me/us on my/our behalf at the 12th Annual General Meeting of the Company to be held on 20th September 2024 at the Auditorium of the Ceylon Chamber of Commerce No.50, Nawam Mawatha, Colombo 2, and at every poll which may be taken in consequence of the aforesaid meeting and at any adjournment thereof.

	For	Against
1. To receive and consider the Annual Report of the Board of Directors on the affairs of the Company and its subsidiaries and the Statement of Accounts for the year ended 31st March 2024 and the Report of the Auditors thereon.	☐	☐
2. To re-elect Mr. M R Morris who retires in terms of Article 87(i) of the Articles of Association, as a Director of the Company.	☐	☐
3. To elect Ms. R Rajapaksa in terms of Article 94 of the Articles of Association, as a Director of the Company.	☐	☐
4. To re-appoint Messrs Ernst & Young, Chartered Accountants, the retiring Auditors and to authorise the Directors to determine their remuneration.	☐	☐
5. To authorise the Directors to determine donations for the year ending 31st March 2025 and up to the date of the next Annual General Meeting.	☐	☐

In witness my/our* hands this..... day of ..... Two Thousand and Twenty Four.

.....
Signature of Shareholder/s

*Please delete the inappropriate words.
Instructions as to completion are noted on the reverse thereof.

FORM OF PROXY CONTD.

INSTRUCTIONS AS TO COMPLETION

1. The full name, National Identity Card number and the registered address of the shareholder appointing the Proxy and the relevant details of the Proxy should be legibly entered in the Form of Proxy which should be duly signed and dated.
2. The completed Proxy should be deposited at the Registered Office of the Company, 'First Floor' "Deutsche House", No. 320 T B Jayah Mawatha, Colombo 10 not later than 36 hours before the time appointed for the meeting.
3. The Proxy shall –
   (a) In the case of an individual be signed by the shareholder or by his/her attorney, and if signed by an Attorney, a notarially certified copy of the Power of Attorney should be attached to the completed Proxy if it has not already been registered with the Company.
   (b) In the case of a company or corporate/statutory body either be under its Common Seal or signed by its Attorney or by an Officer on behalf of the company or corporate/statutory body in accordance with its Articles of Association or the Constitution or the Statute (as applicable).
4. Please indicate with a 'X' how the Proxy should vote on each resolution. If no indication is given, the Proxy in his/her discretion will vote as he/she thinks fit.
5. Articles 62 to 65 of the Articles of Association of the Company dealing with voting are quoted below for information of the shareholders.

62 METHOD OF VOTING

At any General Meeting a resolution put to the vote of the meeting shall be decided on a show of hands unless a poll is (before or on the declaration of the result of the show of hands) demanded by-

i. the Chairman of the meeting; or
ii. not less than three persons present in person or by Attorney or representative or by proxy and entitled to vote; or
iii. a Member or Members present in person or by Attorney or representative or by proxy and representing not less than one tenth of the total voting rights of all the Members having the right to vote at the meeting; or
iv. a Member or Members present in person or by attorney or representative or by proxy and holding shares in the Company conferring a right to vote at the meeting being shares on which an aggregate sum has been paid up equal to not less than one tenth of the total sum paid up on all the shares conferring that right.

A demand for a poll may be withdrawn, unless a poll be demanded (and the demand be not withdrawn) a declaration by the Chairman of the meeting that a resolution has been carried, or carried unanimously, or by a particular majority, or lost, and an entry to that effect in the minute book, shall be conclusive evidence of the fact without proof of the number or proportion of the votes recorded for or against such resolution.

63 HOW A POLL IS TO BE TAKEN

If a poll is duly demanded (and the demand be not withdrawn), it shall be taken in such manner (including the use of ballot or voting papers or tickets) as the Chairman of the meeting may direct, and the results of a poll shall be deemed to be the resolution of the meeting at which the poll was demanded. The Chairman may (and if so requested shall) appoint scrutinizers and may adjourn the meeting to some place and time fixed by him for the purpose of declaring the result of the poll.

64 In the case of an equality of votes, whether on a show of hands or on a poll, the Chairman of the meeting at which the show of hands takes place or at which the poll is demanded shall be entitled to a second or casting vote.

65 A poll demanded on the election of a Chairman of the meeting or on a question of a adjournment shall be taken forthwith. A poll demanded on any other question shall be taken either immediately or at such subsequent time (not being more than thirty days from the date of the meeting) and place as the Chairman may direct. No notice need be given of a poll not taken immediately."

CORPORATE INFORMATION

NAME OF THE COMPANY

ASIA SIYAKA COMMODITIES PLC

COMPANY REGISTRATION NO

PV3562PB/PQ

LEGAL FORM

A Public Quoted Company with Limited Liability

DATE OF INCORPORATION

The Company was incorporated bearing Company Registration No. PV3562 on February 16, 1998 and was converted to a public limited liability company on March 28, 2012 under Company Registration No. PV3562/PB.

The shares were listed in the Colombo Stock Exchange on September 12, 2012. Consequently the name of the Company changed to Asia Siyaka Commodities PLC and the registration number to PV3562PB/PQ.

NATURE OF BUSINESS

To carry on the business of Tea Brokers, Rubber Brokers, Produce Brokers, Auctioneers, Appraisers, Valuers, Commission Agent and General Agents.

HEAD OFFICE & REGISTERED OFFICE

1st Floor, "DEUTSCHE HOUSE"
No. 320, T B Jayah Mawatha,
Colombo 10
Telephone : +94 114 600700
Fax: +94 112 678145
E-mail: tea@siyaka.lk
Website: asiasiyaka.lk

BOARD OF DIRECTORS

Mr. T. Someswaran
Chairman
(Retired w.e.f. 01/06/2023)

Mr. C.L. de Silva
Chairman
(Appointed w.e.f. 23/06/2023)

Mr. A.R. Cooke
Managing Director

Mr. D.J. Wedande
Executive Director

Mr. S.T. Gunatilleke
Non-Executive Director
(Retired w.e.f 31/07/2024)

Mr. S.G. Amarasuriya
Executive Director

Mr. Y. Kuruneru
Executive Director

Mr. H.R.V. Caldera
Non-Executive Director
(Retired w.e.f 02/04/2024)

Mr. J.N. Dambawinne
Non-Executive Director

Mr. R.C. Dissanayake
Executive Director

Mr. A. Vaithylingam
Non-Executive Director

Mr. M.R. Morris
Non-Executive Director

Ms. R. Rajapaksa
Non-Executive Director
(Appointed w.e.f 06/08/2024)

SUBSIDIARY COMPANIES

Asia Siyaka Warehousing (Private) Limited

Siyaka Produce Brokers (Private) Limited

SECRETARIES

P W Corporate Secretarial (Pvt) Ltd
3/17, Kynesy Road, Colombo 08.
Telephone : +94 114 640360-3
Fax : +94 114 740588

LAWYERS

Rohanadeera Associates
Attorneys-at-Law & Notaries Public,
No. 34 1/39, Lawyers' Office Complex,
St. Sebastian Hill, Colombo 12.

EXTERNAL AUDITORS

Ernst & Young,
Chartered Accountants,
Rotunda Towers,
No. 109, Galle Road,
Colombo 03.

INTERNAL AUDITORS

BDO Consulting (Pvt) Ltd
Management & Corporate Consultants,
"Charter House"
65/2, Sir Chittampalan A. Gardiner
Mawatha, Colombo 2.

BANKERS

Amana Bank PLC

Bank of Ceylon

Commercial Bank of Ceylon PLC

DFCC Vardhana Bank PLC

Hatton National Bank PLC

NDB Bank PLC

People's Bank

Sampath Bank PLC

Seylan Bank PLC

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